VERITAS KAPITAL ASSURANCE PLC

ANNUAL REPORT AND

CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2025

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CORPORATE INFORMATION

DIRECTORS

Mr. Nahim Abe Ibraheem	Non-Executive Director - Chairman (Resigned 2 May, 2025)
Mr. Babatunde Ayokunle Irukera	Non-Executive Director - Chairman (Appointed 31 July, 2025)
Dr. Oluwafunsho A. Obasanjo	Non-Executive Director
Mr. Aminu Babangida	Non-Executive Director
Hajia Yabawa Lawan Wabi (MNI)	Non-Executive Director
Mrs. Priya Heal (British)	Non-Executive Director
Mr. Emmanuel Etuh	Non-Executive Director
Mr. Paul Oki	Independent Non-Executive Director
Dr. Adaobi Nwakuche	Managing Director/CEO
Mr. Sunkanmi Adekeye	Executive Director, Operations

COMPANY SECRETARY
Ms. Saratu Umar Garba
FRC/2019/NBA/00000019159

REGISTERED OFFICE
Plot 497, Abogo Largema Street,
Off Constitution Avenue,
Central Business District
Abuja.

www.veritaskapital.com
RC NO: 11785

FRC REGISTRATION NO:
FRC/2013/0000000000717

BANKERS
Unity Bank Plc
Guaranty Trust Bank Limited
First Bank Limited
Fidelity Bank Plc
Keystone Bank Limited
Sterling Bank Plc
Access Bank Limited
Zenith Bank Plc

PROPERTY VALUERS
Jide Taiwo & Co
No 70 Abidjan Street Wuse Zone 3, Abuja
Abuja-FCT

RE-INSURERS
African Reinsurance Corporation
Continental Reinsurance Corporation
WAICA Reinsurance Corporation
Nigerian Reinsurance Corporation
Alwen Hough Johnson (AHJ) Limited
CK Reinsurance Limited
Meridian Risk Solutions Ltd, London
Score Re.
CICA Re.

ACTUARIES
O & A Hedge Actuarial Consulting
(Consulting Actuaries & Chartered Insurers)
Suite 28, Motorways Centre
(Opposite 7UP Bottling Plant)
1 Motorways Avenue
Alausa Ikeja – Lagos, Nigeria

REGISTRARS
Unity Registrars Limited
25 Ogunlana Drive
Surulere Lagos.

AUDITOR
Ernst & Young Nigeria
10th & 13th Floor, UBA House,
57 Marina, Lagos, Nigeria

TAX CONSULTANTS
Kreston Pedabo Professional Services
67 Norman Williams Street, Ikoyi, Lagos

REGULATORY AUTHORITY
National Insurance Commission

Tax Identification Number **01129230-0001**

FINANCIAL RESULT AT A GLANCE

RESULT AT A GLANCE (GROUP)				
Figure in thousands of naira	**2025**	**2024**	**Changes**	
Gross premium	23,733,535	23,694,266	39,269	0%
Insurance revenue	22,579,472	23,310,885	(731,413)	-3%
Insurance service expense	(3,441,948)	(18,590,142)	15,148,194	-81%
Insurance service result before reinsurance contracts held	19,137,524	4,720,743	14,416,781	305%
Net expenses from reinsurance contracts held	(11,174,832)	(8,923,025)	(2,251,807)	25%
Profit/(loss) before income tax	4,180,641	(627,549)	4,808,190	-766%
Income tax expense	(144,939)	(465,319)	320,380	-69%
Profit/(loss) after income tax	**4,035,702**	**(1,092,868)**	5,128,570	-469%

RESULT AT A GLANCE (COMPANY)				
Figure in thousands of naira	**2025**	**2024**	**Changes**	
Gross premium	23,733,535	23,694,266	39,269	0%
Insurance revenue	22,602,820	23,330,242	(727,422)	-3%
Insurance service expense	(3,441,948)	(18,590,142)	15,148,194	-81%
Insurance service result before reinsurance contracts held	19,160,872	4,740,100	14,420,772	304%
Net expenses from reinsurance contracts held	(11,174,832)	(8,923,025)	(2,251,807)	25%
Profit/(loss) before income tax	3,156,814	(1,485,504)	4,642,318	-313%
Income tax expense	(110,042)	(149,092)	39,050	-26%
Profit/(loss) after income tax	**3,046,772**	**(1,634,596)**	4,681,368	-286%

VISION MISSION AND VALUES

MISSION
To help our stakeholders have peace of mind.

VISION
To be one of the top insurance companies of choice in Africa.

PRINCIPLES

Integrity
We will act with openness, fairness, integrity and diligence. We will always adhere to the applicable laws, regulations and standards of doing business.

Performance
We will promote a positive and challenging high performance culture. We will do this by encouraging personal accountability, development and measuring, reward and recognizing success.

Responsibilty

We will act responsibly as individuals and as a Company. This applies to the management of our business, our approach to corporate interaction with key external stakeholders.

Values
Working in teams
Servicing our Customers
Respecting each other
Being proactive
Growing our people
Delivering to our Shareholders
Guarding against arrogance
Upholding the highest levels of integrity

OUR COMMITMENTS

Customers

A satisfied and loyal customer base is core to our business.

We are committed to:

- Delivering the consistent and reliable levels of customer service.
- Acting with integrity, due care and diligence.
- Communicating openly, honestly and with sensitivity and understanding.
- Listening to our customers.
- Handling complaints fairly and promptly.
- Respecting our customers' rights to privacy and confidentiality.
- Protecting our customers and our business from fraud.

Business Partners

We demand high standards from the companies we work with and believe that they should expect the same from us.

We are committed to:

- Carrying out our business with fairness and integrity.
- Being reliable and quick to respond.
- Awarding contracts and selecting business partners solely on the basis of fair and objective business criteria and having regards to high ethical standards.
- Respecting all obligations and confidentiality.
- Protecting our customers and our business from fraud.

Employees

Motivated and skilled employees are critical to our success.

We are committed to:

- Fostering a positive and challenging high performance culture.
- Rewarding superior performance.
- Encouraging personal development.
- Encouraging a culture of frank and honest communication.
- Encouraging teamwork and strong leadership.
- Providing a safe and secure working environment.
- Encouraging diversity and equal opportunities.
- Ensuring that grievances and unethical behaviour can be raised without fear of discrimination.

In return we expect our employees to:

- Act with integrity.
- Take responsibility and accountability for their own actions.
- Show support and commitment for change.
- Focus their energy in getting the best from themselves and others.
- Have the confidence and courage to act with conviction.
- Show understanding for and meet external and internal customers needs.
- Show a relentless desire for success.
- Create positive and effective working relationships.

OUR COMMITMENTS - CONTINUED

Regulators

We have an open, cooperative and transparent relationship with our regulators.

We are committed to:

- Dealing with our regulators in an open, cooperative and transparent manner.
- Managing our business with appropriate standards of risk management and controls.
- Preventing and reporting any instances of significant financial crime.
- Preventing breaches of relevant regulatory requirements.
- Complying with all set standards.

Community & Environment

We believe in continuous improvement of our environmental performance and in taking action around emerging environmental issues. Whenever we operate, we will seek positive engagement with local communities.

We are committed to:

- As a business, we have a responsibilty to manage our impacts on the environment through appropriate use of resources such as energy, paper and water and the investment of our assets.
- We also have a responsibility to take proactive action on environmental issues that are likely to affect our business and community at large.
- In each of these areas, we will look to make continuous improvement and actively monitor our performance.

Shareholders

We are committed to fufilling the aspirations of our shareholders through a commitment to business performance, and high standards of transparency, communication and corporate governance.

We are committed to:

- A culture of business performance, focused on delivering returns to shareholders.
- Comprehensive and transparent disclosure.
- Aiding Shareholder's understanding through the disclosure of relevant financial and non-financial information.
- Listening to the views of our shareholders.
- Managing our business with appropriate standards of risk and control.
- Ensuring due care in the selection of our third party advisers, including our auditors.
- Preventing and reporting any market abuse.
- Acting with due sense of responsibilty on confidence entrusted to us.

ENTERPRISE RISK MANAGEMENT (ERM) FRAMEWORK 2025

OVERVIEW

The Enterprise Risk Management (ERM) Framework of Veritas Kapital Assurance Plc "the Company" or "VKAP" establishes a comprehensive, structured, and integrated approach to the identification, assessment, measurement, management, monitoring, and reporting of risks across the Company.

This Framework is developed in strict alignment with applicable regulatory and supervisory requirements, including guidelines issued by the National Insurance Commission (NAICOM), as well as globally recognized best-practice standards such as the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Enterprise Risk Management Framework. It further reflects sound corporate governance principles and industry standards applicable to insurance institutions operating in Nigeria.

The ERM Framework provides a holistic enterprise-wide view of risk, ensuring that risk management is not treated as a standalone compliance function but as a core strategic capability embedded within:

- Corporate strategy formulation and execution
- Underwriting and claims management processes
- Investment and treasury activities
- Operational and technology systems
- Regulatory compliance and reporting
- Product development and innovation
- Human capital and outsourcing arrangements

The Framework adopts a "three lines model" governance structure to ensure accountability, independence, and effective oversight across the Company. It clearly defines roles and responsibilities for the Board of Directors, Board Committees, Executive Management, the Risk Management Function, Internal Audit, and business unit risk owners.

ERM within Veritas Kapital Assurance Plc promotes a proactive risk culture characterized by:

- Clear articulation of risk appetite and tolerance levels
- Transparent risk communication and escalation protocols
- Ownership of risks at operational levels
- Continuous monitoring and periodic reporting to the Board
- Accountability for risk-adjusted performance

The Framework supports business continuity, financial soundness, regulatory compliance, and long-term sustainability. By embedding risk considerations into decision-making at all levels, the Company enhances its resilience to adverse events, protects stakeholder value, and strengthens its ability to achieve strategic and operational objectives in a dynamic and evolving risk environment.

1 ENTERPRISE RISK MANAGEMENT OBJECTIVES

The Enterprise Risk Management Framework of Veritas Kapital Assurance Plc is designed to achieve the following strategic and operational objectives:

§ Strategic Integration	§ Enterprise-Wide Risk Identification and Assessment
§ Risk Appetite and Tolerance Management	§ Governance and Internal Control Strengthening
§ Risk-Informed Decision-Making	§ Capital and Financial Protection
§ Regulatory Compliance and Supervisory Engagement	§ Reputation and Stakeholder Confidence
§ Business Continuity and Resilience	§ Sustainable Growth and Long-Term Stability

2 SCOPE OF ENTERPRISE RISK MANAGEMENT

The Enterprise Risk Management (ERM) Framework of Veritas Kapital Assurance Plc applies across the entire organization and encompasses all material risks—whether strategic, financial, operational, regulatory, or reputational— arising from the Company's underwriting, investment, administrative, technological, and stakeholder engagement activities.

The Framework is enterprise-wide in scope and extends to the Board, Executive Management, all business units, subsidiaries (where applicable), outsourced service providers, intermediaries, agents, and strategic partners whose activities may impact the Company's risk profile. It also considers both current and emerging risks that may affect the Company's ability to achieve its strategic objectives, maintain solvency, and comply with regulatory obligations, including those of the National Insurance Commission (NAICOM).

The ERM Framework covers, but is not limited to, the following categories of risk:

§ Legal and Compliance Risk	§ Underwriting Risk	§ Reinsurance Risk
§ Claims Risk	§ Operational Risk	§ Market and Investment Risk
§ Credit Risk	§ Liquidity Risk	§ Business (Strategic) Risk
§ Reserving Risk	§ Reputational Risk	§ Pandemic and Emerging Risks

§ Anti-Money Laundering/Combating the Financing of Terrorism/Combating Proliferation Financing (AML/CFT/CPF)

3 RISK MANAGEMENT PRINCIPLES

The risk management philosophy of Veritas Kapital Assurance Plc is anchored on sound corporate governance, regulatory compliance, and long-term value creation. The Company's Enterprise Risk Management (ERM) Framework is guided by the following core principles:

§ Regulatory Compliance and Legal Adherence	§ Protection of Corporate Integrity and Core Values
§ Balanced Risk–Return Consideration	§ Strategic Alignment
§ Informed and Responsible Risk-Taking	§ Continuous Improvement
§ Value Creation and Preservation	§ Financial Strength and Business Sustainability
§ Shared Accountability	

4 RISK GOVERNANCE AND CULTURE

4.0.1 GOVERNANCE STRUCTURE

Ultimate responsibility for risk oversight resides with the Board of Directors, which provides strategic direction, approves the Risk Appetite Statement, and ensures the adequacy and effectiveness of the ERM Framework.

The Board, through its Risk Management Committee (or equivalent committee), exercises delegated oversight responsibilities, including:

- Reviewing risk reports and key risk indicators
- Monitoring compliance with approved risk appetite thresholds
- Evaluating emerging risks and stress testing outcomes
- Ensuring alignment between risk management and corporate strategy

Day-to-day responsibility for implementing and maintaining effective risk management practices is delegated to Senior Management, led by the Managing Director/Chief Executive Officer and supported by the Chief Risk Officer (or designated risk function). Management is responsible for embedding risk controls within operational processes and ensuring timely escalation of material risk issues to the Board.

4.0.2 RISK CULTURE

Veritas Kapital Assurance Plc is committed to fostering a proactive and disciplined risk culture characterized by openness, accountability, and continuous vigilance.

The Company's risk culture is designed to:

- Encourage Early Risk Identification and Escalation
- Embed Risk Awareness Across All Departments
- Require Pre-Implementation Risk Assessment
- Consider Both Quantitative and Qualitative Risks
- Evaluate Internal and External Risk Drivers
- Protect Reputation While Supporting Growth

5 RISK GOVERNANCE STRUCTURE — THREE LINES OF DEFENSE

Veritas Kapital Assurance Plc adopts a structured Three Lines of Defense Model to ensure clear accountability, effective risk oversight, and independent assurance across the organization. This model aligns with global best practices in corporate governance and regulatory expectations for insurance institutions.

The framework establishes clear separation of duties between risk ownership, risk oversight, and independent assurance functions, while ensuring strong Board-level supervision.

01 - FIRST LINE OF DEFENSE — RISK OWNERSHIP AND MANAGEMENT

The First Line of Defense consists of business units, functional departments, and process owners who are directly responsible for managing risks within their respective areas of operation.

Key responsibilities:

-Risk Identification and Assessment
-Policy Compliance
-Escalation of Material Risks
-Risk Control Implementation
-Operational Risk Management

Business and process owners are accountable for the risks they originate and manage. Risk ownership cannot be delegated to the Risk function.

Board Oversight

While operational ownership rests with Management, the Board of Directors and the Board Risk Management Committee provide strategic oversight by:

Approving the Risk Appetite Statement
Reviewing periodic risk reports and Key Risk Indicators (KRIs)
Monitoring compliance with approved limits
Providing direction on material risk exposures

02 - SECOND LINE OF DEFENSE — RISK CONTROL AND OVERSIGHT

The Second Line of Defense is led by the Risk Management Function, which provides independent oversight, challenge, and support to the First Line. This function is responsible for designing and maintaining the Enterprise Risk Management (ERM) Framework and ensuring consistent application across the Company.

Key Responsibilities:

-Development of Risk Frameworks and Policies
-Risk Monitoring and Reporting
-Risk Advisory Role
-Enterprise Risk Register Management
-Control Effectiveness Review
-Risk Awareness and Training

Chief Risk Officer (CRO) Responsibilities

The Chief Risk Officer (or designated Head of Risk) leads the Second Line of Defense and has functional access to the Board Risk Management Committee to ensure independence.

The CRO is responsible for:
-Implementing approved ERM policies, frameworks, and procedures
-Coordinating periodic risk assessments, stress testing, and scenario analysis
-Consolidating and reporting enterprise-wide risk exposures
-Advising Management and the Board on risk mitigation strategies and emerging risk trends
-Monitoring adherence to the Risk Appetite Statement
-Driving continuous improvement of risk management practices
-Strengthening and embedding a proactive risk culture across the organization

The CRO operates independently from revenue-generating and operational functions to ensure objective oversight.

03 - THIRD LINE OF DEFENSE — Independent Assurance

The Third Line of Defense is provided by the Internal Audit Function, which offers independent and objective assurance on the effectiveness of governance, risk management, and internal control processes.

Key Responsibilities:

-Review of Internal Controls
-Reporting to the Board
-Independent Evaluation of Risk Management Effectiveness
-Governance Process Evaluation
-Follow-Up and Remediation Monitoring

5.0.1 **Separation, Independence, and Coordination**

The effectiveness of the Three Lines of Defense model depends on:
-Clear role definition and accountability
-Independence of the Second and Third Lines
-Regular coordination and information sharing between lines
-Strong Board oversight and tone at the top

6 RISK APPETITE STATEMENT

The Risk Appetite Statement (RAS) of Veritas Kapital Assurance Plc articulates the nature, type, and level of risk the Company is willing to assume in pursuit of its strategic objectives, while safeguarding policyholders' interests, maintaining regulatory compliance, and preserving long-term financial stability.

The Risk Appetite Statement is reviewed at least annually and approved by the Board of Directors. It is aligned with the Company's corporate strategy, capital position, solvency requirements, and regulatory expectations. The RAS serves as a foundational guide for strategic decision-making, underwriting practices, investment strategies, reinsurance arrangements, and operational activities.

6.0.1 OBJECTIVES OF THE RISK APPETITE STATEMENT

The Company's Risk Appetite Statement is designed to:

-Minimize Avoidable Losses

-Protect Earnings and Capital

-Optimize Capital Utilization

-Improve Return on Equity (ROE)

-Maintain Low Tolerance for Operational Risk

-Maintain Zero Tolerance for Internal Fraud and Ethical Misconduct

6.0.2 RISK LIMITS AND THRESHOLDS

To operationalize the Risk Appetite Statement, the Company establishes measurable risk limits, tolerance thresholds, and Key Risk Indicators (KRIs) across major risk categories, including underwriting, reinsurance, market, credit, liquidity, operational, and compliance risks.

-Limits are clearly documented and communicated to relevant business units.

-Breaches or near-breaches are escalated in accordance with defined reporting protocols.

-Risk exposures are monitored regularly and reported to Executive Management and the Board Risk Management Committee.

-Stress testing and scenario analysis are conducted to evaluate resilience under adverse conditions.

-The Risk Appetite Statement is embedded within business planning, budgeting, capital management, product approval processes, and performance evaluation frameworks.

7 RISK CLASSIFICATION AND MANAGEMENT

Veritas Kapital Assurance Plc adopts a structured and comprehensive approach to risk classification to ensure that all material risks are properly identified, assessed, monitored, and mitigated in line with its approved Risk Appetite Statement and regulatory requirements.

Each risk category is supported by defined control frameworks, monitoring mechanisms, escalation procedures, and periodic reporting to Executive Management and the Board Risk Management Committee. They are as follows:

MARKET/INVESTMENT RISK

Definition:

The risk of financial loss arising from adverse movements in market variables such as interest rates, equity prices, foreign exchange rates, and property valuations, which may negatively impact the Company's asset portfolio and capital position.

Management Approach:

- Portfolio diversification across asset classes and sectors
- Exposure limits consistent with regulatory investment guidelines
- Asset-liability matching strategies
- Regular portfolio performance review and stress testing
- Active oversight by Management and the Investment Committee
- Compliance with statutory investment regulations and internal investment policy

CREDIT RISK

Definition:

The risk of financial loss resulting from the failure of counterparties—such as reinsurers, brokers, financial institutions, or policyholders—to meet their contractual obligations when due.

Management Approach:

- Comprehensive due diligence and counterparty credit assessment
- Approved counterparty selection criteria
- Exposure limits and obligor concentration thresholds
- Periodic review of reinsurer credit ratings and financial strength
- Premium receivables monitoring and recovery procedures
- Compliance with regulatory limits on concentration risk

OPERATIONAL RISK

Definition:

The risk of loss arising from inadequate or failed internal processes, systems, people, or from external events, including cyber threats and fraud.

Management Approach:

- Clearly documented standard operating procedures
- Segregation of duties and internal control mechanisms
- Process automation and system enhancements
- Staff training and competency development
- Information security controls and cyber risk management
- Incident reporting and root cause analysis
- Vendor and outsourcing risk oversight

LIQUIDITY RISK	
Definition:	
The risk that the Company may be unable to meet its financial obligations—such as claims payments, operating expenses, or regulatory obligations—when they fall due.	
Management Approach	
-Asset-liability matching strategies	-Maintenance of adequate liquid asset buffer
-Liquidity ratio monitoring and early warning indicators	-Periodic CASH flow forecasting
-Oversight by the Investment Committee and Executive Management	

REINSURANCE RISK	
Definition:	
The risk of financial loss arising from inadequate, ineffective, or poorly structured reinsurance arrangements, including counterparty default risk.	
Management Approach:	
-Board-approved reinsurance strategy and retention limits	-Careful reinsurer selection based on financial strength and rating criteria
-Diversification of reinsurance counterparties	-Periodic review of treaty performance and recoveries
-Monitoring of outstanding reinsurance receivables	

UNDERWRITING RISK	
Definition:	
The risk of loss resulting from inappropriate pricing, poor risk selection, inaccurate risk assessment, or unexpected claim frequency and severity.	
Management Approach:	
-Product approval and review governance	-Technical pricing standards and actuarial input
-Portfolio monitoring and accumulation control	-Periodic underwriting audits and performance analysis
-Clearly defined underwriting guidelines and authority limits	

REPUTATIONAL RISK	
Definition:	
The risk of brand damage, loss of stakeholder confidence, or adverse publicity arising from operational failures, ethical breaches, or regulatory sanctions.	
Management Approach:	
-Strong ethical culture and code of conduct	-Transparent governance and regulatory compliance
-Active stakeholder communication and media engagement	-Crisis communication planning
-Service quality standards and customer complaint resolution framework	

BUSINESS (STRATEGIC) RISK

Definition:

The risk of loss arising from flawed strategic decisions, ineffective execution, competitive pressures, technological disruption, or changing market dynamics.

Management Approach:

-Stakeholder and customer engagement strategies	-Product governance and new initiative risk assessments
-Profitability and cost analysis	-Competitive market monitoring
-Structured strategic planning and periodic performance reviews	

CLAIMS RISK

Definition:

The risk arising from ineffective claims management processes, including fraud, excessive settlement costs, delays, leakage, or poor documentation.

Management Approach:

-Structured and documented claims handling procedures	-Defined authority limits and escalation protocols
-Expert loss assessment and investigation processes	-Fraud detection controls
-Defined claims settlement timelines	-Claims performance monitoring and reporting

LEGAL/COMPLIANCE RISK

Definition:

The risk of regulatory breaches, legal sanctions, financial penalties, or litigation arising from non-compliance with applicable laws and standards.

Management Approach:

-Know Your Customer (KYC) procedures	-Anti-bribery and anti-corruption policies
-Corporate governance standards	-Data protection and privacy controls
-Whistleblowing and ethics reporting mechanisms	-Regulatory reporting and periodic compliance reviews
-Anti-Money Laundering/Combating the Financing of Terrorism/Combating Proliferation Financing (AML/CFT/CPF) controls	

PANDEMIC AND EMERGING RISK

Definition:

The risk of significant operational, financial, or systemic disruption arising from pandemics, widespread health emergencies, climate events, geopolitical shifts, or emerging threats.

Management Approach:

-Implementation of health and safety protocols	-Periodic scenario analysis and stress testing
-Staff rotation and workforce continuity planning	-Vaccination and employee wellness initiatives
-Comprehensive Business Continuity Management (BCM) framework	-Remote work capability and digital infrastructure

ANTI-MONEY LAUNDERING/COMBATING THE FINANCING OF TERRORISM/COMBATING PROLIFERATION FINANCING (AML/CFT/CPF) RISK

Definition:

The risk of the Company being used—intentionally or unintentionally—for money laundering, terrorism financing, or proliferation financing activities.

Management Approach

-Sanctions and watchlist screening	-Politically Exposed Persons (PEPs) checks
-Source-of-funds and source-of-wealth verification	-Ultimate Beneficial Owner (UBO) identification and verification
-Ongoing transaction monitoring and red flag detection	-Risk-based Customer Due Diligence (CDD) procedures
-Periodic AML/CFT/CPF training and independent compliance review	
-Filing of regulatory reports, including Currency Transaction Reports (CTR) and Suspicious Transaction Reports (STR), in accordance with applicable laws	

8 RISK REPORTING

Veritas Kapital Assurance Plc maintains a structured and transparent risk reporting framework to ensure that risk information is timely, accurate, and relevant for effective decision-making at both Management and Board levels. Risk reporting forms a critical component of the Enterprise Risk Management (ERM) Framework and supports proactive oversight, regulatory compliance, and strategic alignment.

8.0.1 PURPOSE OF RISK REPORTING

Risk assessments conducted across business units are consolidated into periodic Enterprise Risk Reports designed to:

a. Highlight Key and Emerging Risks.
b. Evaluate Control Effectiveness
c. Present Risk Ratings and Trends
d. Support Management Decision-Making
e. Inform Board Risk Committee Oversight

8.0.2 REPORTING STRUCTURE AND FREQUENCY

Risk reports are prepared on a periodic basis (e.g., quarterly) and escalated in accordance with defined governance protocols.

Material risk events, breaches of risk limits, or significant control failures are reported promptly outside the regular reporting cycle.

Reports include Key Risk Indicators (KRIs), Key Control Indicators (KCIs), incident summaries, regulatory compliance updates, and progress on remediation plans.

8.0.3 Escalation and Accountability

Where risk exposures exceed approved tolerance thresholds:

- Immediate notification is made to Executive Management.
- Corrective action plans are developed with defined timelines and responsible officers.
- Significant matters are escalated to the Board Risk Management Committee for oversight and guidance.

8.0.4 CONTINUOUS IMPROVEMENT

The risk reporting framework is subject to periodic review to ensure:

-Alignment with evolving regulatory requirements and industry best practices

-Adequate coverage of emerging risks

-Clarity, consistency, and relevance of risk metrics and analysis

9 RISK CONTROL AND SELF-ASSESSMENT (RCSA)

Veritas Kapital Assurance Plc implements a structured Risk and Control Self-Assessment (RCSA) process as a key component of its Enterprise Risk Management (ERM) framework. The RCSA enables proactive identification, evaluation, and mitigation of risks at the operational level and strengthens accountability within the First Line of Defense.

9.0.1 OBJECTIVES OF THE RCSA PROCESS

The Company conducts periodic risk assessment exercises to:

a. Evaluate existing Key Controls

b. Identify Control Gaps and Weaknesses

c. Update Risk Registers

d. Incorporate Audit Findings and Loss Events

e. Strengthen Mitigation Measures

9.0.2 GOVERNANCE AND IMPLEMENTATION

a. RCSA exercises are coordinated by the Risk Management Function and conducted in collaboration with business unit heads and process owners.

b. Risk ratings are determined using standardized likelihood and impact criteria to ensure consistency across the enterprise.

c. Results are consolidated into enterprise risk reports and escalated to Executive Management and the Board Risk Management Committee where necessary.

9.0.3 ROLE OF RISK CHAMPIONS

The Company designates Risk Champions within business units to:

-Facilitate RCSA workshops and documentation

-Promote risk awareness at the departmental level

-Ensure timely implementation of corrective actions

-Act as liaison between business units and the Risk Management function

This structured approach enhances ownership, strengthens internal controls, and reinforces a proactive risk culture across the organization.

10 HEALTH, SAFETY AND ENVIRONMENT (HSE)

Veritas Kapital Assurance Plc is committed to maintaining a safe, healthy, and environmentally responsible workplace for employees, contractors, customers, and other stakeholders. The Health, Safety, and Environment (HSE) Program is guided by documented policies and procedures that define responsibilities, reporting protocols, and preventive measures.

10.0.1 HSE OBJECTIVES

-Provide safe and healthy working conditions
-Prevent workplace injuries, accidents, and occupational hazards
-Promote employee wellness and mental health awareness
-Ensure compliance with applicable health and safety regulations
-Foster environmental responsibility in operational activities

10.0.2 KEY HSE CONTROLS

-Clearly defined HSE roles and responsibilities
-Workplace risk assessments and hazard identification
-Fire safety systems and emergency evacuation procedures
-Periodic safety drills and staff awareness training
-Incident reporting and investigation procedures
-Monitoring of environmental and workplace safety standards
-HSE performance is periodically reviewed, and corrective measures are implemented to address identified gaps.

11 BUSINESS CONTINUITY MANAGEMENT (BCM)

Veritas Kapital Assurance Plc maintains a comprehensive Business Continuity Management (BCM) Framework to ensure operational resilience and continuity of critical services in the event of disruptions such as system failures, cyber incidents, pandemics, natural disasters, or other unforeseen events.

11.0.1 BUSINESS CONTINUITY PLAN (BCP) OBJECTIVES

The Business Continuity Plan (BCP) is designed to:
-Safeguard critical business operations
-Protect policyholder data and financial records
-Minimize service disruption
-Ensure timely recovery of essential systems and processes
-Maintain regulatory compliance during crises

11.0.2 KEY COMPONENTS OF THE BCP

-Data Backup and Cloud Redundancy to ensure data integrity and availability.
-Disaster Recovery (DR) Procedures
-Remote Work Capabilities
-Emergency Response Protocols
-Periodic Penetration Testing and Vulnerability Assessments

11.0.3 TESTING AND CONTINUOUS IMPROVEMENT

-The BCP and Disaster Recovery Plan are tested periodically through simulations and tabletop exercises.

-Gaps identified during testing exercises or real-life incidents are documented, analyzed, and addressed through structured remediation plans.

-Continuous improvement is embedded within the BCM framework to ensure evolving risks and technological changes are adequately addressed.

RISK MANAGEMENT DECLARATION

The Board Enterprise Risk Management Committee of Veritas Kapital Assurance Plc hereby declares as follows:

a The company has systems in place for the purpose of ensuring compliance with NAICOM guidelines;

b The Board is satisfied with the efficacy of the processes and systems surrounding the production of financial information of the company;

c The company has in place a Risk Management Strategy, developed in accordance with the requirements of NAICOM's guideline on Enterprise Risk Management (ERM), setting out its approach to risk management; and

d The systems that are in place for managing and monitoring risks, and the risk management framework, are appropriate to the company, having regard to such factors as the size, business mix and complexity of the company's operations.

....	....
Dr. Adaobi Nwakuche	Mr. Babatunde Ayokunle Irukera
Managing Director/ CEO	Chairman
FRC/2021/003/00000023865	FRC/2022/PRO/NBA/002/843576

THE AUDIT COMMITTEE REPORT

TO THE MEMBERS OF VERITAS KAPITAL ASSURANCE PLC

By the provision of Section 404 (7) of the Companies and Allied Matters Act (CAMA) 2020, we confirm that we have seen the Audit Plan and Scope and the Management' Letter on the audit of the books of the Group and Company and the response.

In our opinion, the plan and scope of the audit for the year ended 31 December 2025 were adequate.

We have reviewed the auditor's findings and we are satisfied with the management response thereon.

We also confirm that the accounting and reporting policies of the company are in accordance with legal requirements and ethical practices.

…………………………………….
Mr. Emmanuel Etuh
FRC/2022/PRO/NBA/002/571378
Chairman, Audit Committee

Mr. Emmanuel Etuh	Non-Executive Director	Chairman
Hajia Yabawa Lawan Wabi (MNI)	Non-Executive Director	Member
Mal. Muhammad B. Alhassan	Shareholders' Representative	Member
Alh. Usman Abaji	Shareholders' Representative	Member
Mr. Olusegun J. Akintunde	Shareholders' Representative	Member

DIRECTORS' REPORT

The Directors have the pleasure of presenting their report on the affairs of Veritas Kapital Assurance Plc ('the Company') and its subsidiaries together('the Group') with the audited consolidated and separate financial statements and auditor's report for the year ended 31 December 2025.

1 Legal Form

The Company was incorporated in Nigeria under the Companies and Allied Matters Act, 2020 (as Amended) as a private limited liability company in 1973. It started business in 1974 as Kano State Insurance Company Limited. The name was changed to Kapital Insurance Company Limited in 1981. In 2005, it merged with Global Commerce and General Assurance Company Limited and Inter-Continental Assurance Company Limited. In 2008, the name of the company was changed to Unity Kapital Assurance Plc and subsequently Veritas Kapital Assurance Plc. The Company became quoted on the Nigerian Exchange (NGX) on 17 December 2009. Veritas Kapital Assurance Plc, as of the reporting date, has two subsidiaries namely Veritas Glanvills Pensions Limited (70%) and Veritas HealthCare Limited (94%) in addition to a 51.53% stake in Goldlink Insurance Plc.

2 Principal Activities and Business Review

The principal activity of the Company is to transact general (Non-Life) insurance business. The principal activity of the subsidiaries are as follows: Veritas Glanvills pensions limited principal activity is the administration and management of pension fund assets in line with the provision of the Pension Reform Act 2014 and the relevant National Pension Commission's circulars while Veritas Healthcare limited is to provide Health Insurance Services to individuals and organizations in both the private sector and the formal sector under the National Health Insurance Authority.

3 Directors and their interest

The direct and indirect interests of the Directors in the issued share capital of the company, as recorded in the Register of Directors' shareholding and/or as notified by the Directors for the purpose of Section 303 of the Companies and Allied Matters Act, 2020 and the listing requirements of the Nigerian Exchange Limited as at 31 December 2025, are as follows:

Names	Direct Shareholding	Indirect shareholding	%	Interest represented
Mr. Aminu Babangida		7,321,989,662	52.80	Veritas Capital Limited
Mr. Emmanuel Etuh	112,280,700	196,600,567	1.41	Tak Asset Management Limited

4 Dividend

At the Company's meeting of the board of directors, no dividend was approved and declared (2024: Nil).

5 Donations

The company did not donate to any charitable organisations during the year Group N15.210 million (2024: N29.125 million) and Company nil (2024: N0.05 million)

DIRECTORS' REPORT - Continued

6 Directors' Remuneration

The Company ensures that remuneration paid to its Directors complies with the provisions of the Codes of Corporate Governance guidelines issued by its Regulators.

In compliance with Section 34(5) of the Nigerian Code of Corporate Governance (NCCG), the Company discloses the remuneration paid to its directors as follows:

Type of package fixed	Description	Timing
Basic Salary	· Part of the gross salary package for Executive Directors only. · It reflects the industry competitive salary package and the extent to which the Company's objectives have been met for the financial year.	Paid monthly during the financial year.
13th-month salary	· Part of the gross salary package for Executive Directors only. · It reflects the industry competitive salary package and the extent to which the Company's objectives have been met for the financial year.	Paid last month of the financial year.
Director fees	Paid quarterly to Non-Executive Directors only as approved by members at the Annual General Meeting.	Paid quarterly to Non-Executive Directors only as approved by members at the Annual General Meeting.
Sitting allowances	Allowances paid to Non-Executive Directors only for attending Board and Board Committee Meetings.	Paid after each Meeting.
Reimbursable travel and hotel expenses.	This is paid to Non-Executive Directors residing outside the venue for Board/Committee meetings.	Paid after each meeting.

7 Changes on the Board

The following changes were made on the Board of the Company in the financial year ended 31 December 2024.

NAME	POSITION HELD	STATUS
Mr. Nahim Abe Ibraheem	Non-Executive Director	Resigned 2 May, 2025
Mr. Babatunde Irukera	Non-Executive Director	Appointed 2 may, 2025

8 Directors

The name of the directors as at this report and those who held office during the year are as follows

Mr. Babatunde Ayokunle Irukera	Non-Executive Director/Chairman
Dr. Oluwafunsho A. Obasanjo	Non-Executive Director
Mr. Paul Oki	Independent Non-Executive Director
Mr. Aminu Babangida	Non-Executive Director
Emmanuel Etuh	Non-Executive Director
Hajia Yabawa Lawan Wabi (mni	Non-Executive Director
Mrs Priya Heal (British)	Non-Executive Director
Dr. Adaobi Nwakuche	Managing Director/CEO
Mr. Sunkanmi Adekeye	Executive Director, Operations

9 Directors Interest in Contracts

In compliance with Section 303 of the Companies and Allied Matters Act of Nigeria, none of the directors has notified the Company of any declarable interest in contracts deliberated by the Company during the year under review.

10 Acquisition of Own Shares

The company did not acquire any of its shares during the year ended 31 December 2025.

DIRECTORS' REPORT - Continued

11 Property and Equipment

Information relating to changes in Property and Equipment is given in note 9 to the consolidated and separate financial statement. The Directors are of the opinion that the market value of the Company's assets is not lower than the value shown in the financial statements.

12 Security Trading Policy

In compliance with Rule 17.15 Disclosure of Dealings in issuers' Share, Rulebook of the Exchange, 2015 (Issuers' Rule), the Company set up a Security Trading Policy that applies to all Employees and Directors. Policy processes include the need to enforce confidentiality against external advisers.

The Policy is regularly reviewed and updated by the Board. Relevant persons are prohibited from dealing in the Company's shares both when they have material non-public information about the Company's activities and during their closed period.

The Company has made specific inquiries of all Directors whether they have complied with the required standards set out in the listing rules and the Company's Code of Conduct regarding securities transactions by Directors and it is not aware of any non-compliance as of the year ended, 31 December 2025.

13 Corporate Social Responsibility

In alignment with its Corporate Social Responsibility (CSR) Policy, Sustainability Framework, and commitment to Environmental, Social and Governance (ESG) principles, Veritas Kapital Assurance Plc executed several impactful community and industry-focused initiatives in 2025.

These initiatives were strategically designed to:

- Promote preventive healthcare and community wellbeing
- Support insurance education and professional development
- Foster youth empowerment and industry inclusion
- Strengthen community engagement through lifestyle and safety advocacy
- Promote diversity, inclusion, and resilience

The following were the initiatives carried out by the Company in the year 2025:

STRATEGIC CSR INITIATIVE: HEALTH AWARENESS ROAD WALK **THEME:** Promoting Preventive Health **DATE:** 29 March 2025 **PARTNER:** Waka Community International Foundation		
Objective		Impact
To promote preventive healthcare awareness, encourage healthy lifestyles, and reinforce the importance of early detection and risk mitigation within communities.	▪ Community road walk and public sensitization campaign	Increased awareness of preventive health practices
	Distribution of health awareness materials	Strengthened community trust and corporate reputation
Strategic Rationale		Enhanced visibility of the Company's health risk advocacy role
As an insurance company committed to risk prevention—not merely risk transfer—Veritas Kapital Assurance Plc recognizes that proactive health management reduces long-term financial and social burdens. The initiative aligns with the Company's preventive risk philosophy and ESG social objectives.	Engagement with community leaders and residents	Reinforced alignment between insurance principles and public health education
	Public education on the role of insurance in health risk management	

STRATEGIC CSR INITIATIVE: INDUSTRIAL VISIT – ASISA LASU STUDENTS
THEME: Inspiring Future Insurance Professionals
DATE: 19 June 2025
PARTNER: Actuarial Science and Insurance Students Association, Lagos State University

OBJECTIVE AND STRATEGIC RATIONALE	PROGRAMME HIGHLIGHTS	OUTCOMES
Objective: To expose undergraduate students to practical insurance operations, corporate governance standards, actuarial functions, underwriting processes, claims administration, compliance culture, and risk management practices.	Executive welcome session and corporate overview	Enhanced student understanding of insurance operations
	Interactive sessions on underwriting, actuarial science, claims, compliance, and risk management	Strengthened academia-industry collaboration
Strategic Rationale: As part of its industry development mandate, Veritas Kapital Assurance Plc is committed to strengthening Nigeria's insurance talent pipeline by bridging the gap between academic theory and real-world application.	Exposure to regulatory expectations and corporate governance culture	Encouraged career interest in actuarial science and insurance
	Career mentorship dialogue with management representatives	Positioned Veritas Kapital Assurance Plc as an employer of choice
	Question-and-answer engagement session	

STRATEGIC CSR INITIATIVE: INSURANCE SUMMIT & AWARENESS DAY **THEME:** Supporting Industry Education and Professional Development **DATES: 17-18 July 2025** **PARTNER:** Actuarial Science and Insurance Students Association, Lagos State University		
OBJECTIVE AND STRATEGIC RATIONALE	**AREAS OF ENGAGEMENT**	**IMPACT**
Objective: To support insurance literacy, promote awareness of risk management principles, and encourage professionalism within the next generation of industry practitioners.	Sponsorship support	Increased insurance literacy among students
	Technical presentations by Company representatives	Strengthened professional development pathways
Strategic Rationale: The insurance penetration rate in Nigeria remains relatively low. Supporting educational summits directly contributes to improving awareness, understanding, and acceptance of insurance as a financial protection tool.	Panel discussions on industry trends and regulatory developments	Enhanced corporate visibility within academic and professional circles
	Career pathway advisory sessions	Reinforced Veritas Kapital Assurance Plc's leadership role in industry advocacy.
	Insurance awareness sensitization for non-insurance students	

STRATEGIC CSR INITIATIVE: THE CAR LOVERS CONNECT THEME: Engaging Communities through Automotive Passion & Road Safety Advocacy DATES: 2 August 2025 & 1 November 2025 PARTNER: Automotive Mechanics Associations and Car Enthusiast Groups		
OBJECTIVE AND STRATEGIC RATIONALE	**KEY COMPONENTS**	**IMPACT**
Objective: To engage automotive communities while promoting motor insurance awareness, road safety, and responsible vehicle ownership.	Insurance education sessions for vehicle owners	Increased awareness of insurance compliance
	Awareness on compulsory third-party motor insurance	Strengthened relationship with automotive communities
Strategic Rationale: Motor insurance constitutes a significant class of general insurance business. Engagement with automotive communities enables the Company to promote compliance with compulsory insurance requirements and advocate safe driving practices.	Engagement with automobile mechanics on risk prevention	Promoted responsible vehicle ownership culture
	Road safety sensitization	Enhanced public perception of the Company as a proactive risk partner
	Interactive brand engagement sessions	

STRATEGIC CSR INITIATIVE: FCT PARA-ATHLETIC COMPETITION THEME: Celebrating Excellence, Inclusion & Resilience DATES: 4 October 2025 STRATEGIC CSR INITIATIVE: FCT PARA-ATHLETIC COMPETITION		
OBJECTIVE AND STRATEGIC RATIONALE	**ENGAGEMENT AREAS**	**IMPACT**
Objective: To support inclusive sports development and celebrate the resilience, excellence, and determination of para-athletes.	Event sponsorship support	Promoted inclusive community participation
	Brand participation and advocacy	Supported sports development for persons with disabilities
Strategic Rationale: Veritas Kapital Assurance Plc is committed to diversity, equity, and inclusion (DEI). Supporting para-athletic competitions reflects the Company's dedication to empowering persons with disabilities and promoting equal opportunity participation in society.	Inclusion-focused messaging	Strengthened ESG social performance metrics
	Community engagement with athletes and stakeholders	Demonstrated corporate commitment to social equity

OVERALL CSR IMPACT – 2025

Through these initiatives, Veritas Kapital Assurance Plc achieved:

a. Enhanced community engagement and brand trust
b. Strengthened educational partnerships
c. Increased insurance literacy among youths and community members
d. Promotion of preventive health and safety culture
e. Reinforcement of ESG and sustainability objectives
f. Improved corporate reputation and stakeholder confidence

CONCLUSION

The 2025 CSR initiatives reflect Veritas Kapital Assurance Plc's commitment to responsible corporate citizenship, sustainable development, and long-term stakeholder value creation.

The Company remains dedicated to:

a. Supporting community wellbeing
b. Strengthening Nigeria's insurance ecosystem
c. Promoting financial protection awareness
d. Encouraging inclusion and resilience
e. Aligning business growth with social impact

CSR - CONTINUED

Veritas Kapital Assurance Plc will continue to implement structured, measurable, and high-impact CSR programmes consistent with regulatory expectations, corporate governance standards, and global ESG best practices.

14 Complaints Management Policy

The Company has in place, a Compliant Management Policy and an investor complaints desk at the Head Office to resolve complaints arising from issues covered under the Investment and Securities Act (ISA) 2007 by the shareholders.

15 Agent and Brokers

The Company maintains a network of licensed agents and renders services to its customers through Insurance Licensed Brokers and Registered Agents.

16 Human Resources

Staff Gender Analysis

The number of males and females employed as at 31 December 2025 vis-a-vis total workforce is as follows:

EMPLOYEES	MALE	FEMALE	TOTAL
	62 (Sixty-two)	57 (Fifty-seven)	119 (One Hundred and Nineteen)

Other Human Resources matters within the year in the review are as follows:

Staff Recritment

The Company conforms with all regulatory requirements in the employment of staff, whilst also ensuring that only fit and proper persons are approved for appointment to the board and top management positions. All prescribed pre-employment screening for prospective employees and other requirements for regulatory confirmation of top management appointments is duly implemented.

i. Employee Involvement, Training and Development

In the year under review, we had a staff strength of 119 (62 Males and 57 Females).
Veritas Kapital Assurance Plc encourages the participation of employees in arriving at decisions in respect of matters affecting their well-being through various forums including town hall meetings.

The Company also places a high premium on the development of its Workforce. Consequently, employees were sponsored for various training courses in the year under review.

ii. Dissemination of Information

To maintain a shared perception of our goals, we are committed to communicating information to employees in a fast and effective manner as possible.

We consider this critical to the maintenance of team spirit and high employee morale. Circulars and newsletters are published in respect of relevant corporate issues. A good communication link with the workforce is also maintained through regular meetings between the Management and Staff. Engagement is viewed as an important driver of employee performance.

iii. Employment of Physically Challenged Persons

Veritas Kapital Assurance Plc is an equal opportunity employer and does not discriminate on any ground. Thus, we provide employment opportunites to physically challenged persons. However, this actually goes beyond the need to ensure that there is no discrimination against such persons, but driven by a deep conviction that even in disability, there could be immense ability.

iv. Employment Equity, Gender, Policies & Practices

Our resourcing and promotion policy ensures equity and is free from the discriminatory bias of gender, ethnicity, origin, age, marital status, sexual orientation, disability, religion, and other diversity issues. This is role modelled throughout our end-to-end employee life cycle process.

DIRECTORS' REPORT - Continued

v. Staff Diversity, Employee, Development & Training Initiatives

In the year under review, we had a staff strength of 83 (42 Males and 41 Females).

vi. Combating the global challenge on HIV/AIDS, Malaria and other health challenges

Veritas Kapital Assurance Plc has a robust plan to address HIV/AIDS, Malaria and other health challenges that might affect the company's employees and their families. The members of staff enjoy free and comprehensive medical services which are extended to members of their families through the payment of reasonable medical allowances.

vii. Health and Safety

Veritas Kapital Assurance Plc maintains business premises designed to guarantee the safety and healthy living conditions of its employees and customers alike. Employees are adequately insured against occupational and other hazards. Also, the Company provides medical facilities to its employees and their immediate families at its expense.

The Company has in place several training programs, workshops, and enlightenment programs/publications designed to equip staff members with basic health management tips, First Aid, fire prevention and other occupational safety skills. Fire prevention and fire-fighting equipment are installed in strategic locations within the Company's premises.

The Company also operates a Group Life and Group Personal Accident (formerly known as Workmen's Compensation) Insurance covers and Employee Compensation Act contributions for the benefit of its employees. It also operates a contributory pension plan in line with the Pension Reform Act 2004 (amended in 2014) as well as a terminal gratuity scheme for its employees

17 Share Capital Information

The analysis of the distribution of the shares of the Company as of 31 December 2025, is as follows:

a. Share Range Analysis	Holdings	Uniits	%	=N=
1-500000	472	26,925,903	0.19	13,462,952
500001-1000000	51	32,412,215	0.23	16,206,108
1000001-5000000	236	1,695,097,208	12.22	847,548,604
50000001-10000000	15	1,083,097,208	7.82	541,984,337
100000001-500000000	14	2,229,532,677	16.08	1,114,766,339
500000001-1000000000	1	535,758,596	3.86	267,879,298
1000000001-50000000000	2	8,262,971,394	59.59	4,131,485,697
Total		**13,865,795,201**	**100**	**6,933,333,335**

b. Substantial Interest in Shares

According to the Register of Members as of 31 December 2025, no individual shareholder held more than 5% of the issued share capital of the Company except for the following:

Names	Share units	%
Dr.Emmanuel I.U Ojei	1,287,628,018	9.29
Veritas Capital Limited	7,321,989,662	52.8

2024

Names	Share units	%
Dr.Emmanuel I.U Ojei	1,287,628,018	9.29
Veritas Capital Management	7,321,989,662	52.8

17 Share Capital Information - continued

c. Share Capital History

YEAR	AUTHORIZED (₦)			ISSUED AND FULLY PAID UP			CONSIDERATION
	Increase	Cummulative	Naira Value (₦)	Increase	Cumulative	Naira Value (₦)	Increase
1974	200,000	200,000	100,000	200,000	200,000	100,000	Cash
1977	100,000	300,000	150,000	100,000	300,000	150,000	Cash
1978	37,500	337,500	168,750	37,500	337,500	168,750	Cash
1980	162,500	500,000	250,000		337,500	168,750	
1981		500,000	250,000	151,394	488,894	244,447	Cash
1983		500,000	250,000	11,106	500,000	250,000	Cash
1990	4,500,000	5,000,000	2,500,000	900,000	1,400,000	700,000	Cash & Bonus
1991	10,000,000	15,000,000	7,500,000	2,100,000	3,500,000	1,750,000	Cash & Bonus
1992		15,000,000	7,500,000	1,800,000	5,300,000	2,650,000	Cash
1993		15,000,000	7,500,000	4,700,000	10,000,000	5,000,000	Cash
1996	85,000,000	100,000,000	50,000,000	10,000,000	20,000,000	10,000,000	Cash & Bonus
1997		100,000,000	50,000,000	20,000,000	40,000,000	20,000,000	Cash & Bonus
1998		100,000,000	50,000,000	35,685,000	75,685,000	37,842,500	Cash & Bonus
1999		100,000,000	50,000,000	14,315,000	90,000,000	45,000,000	Cash
2003	400,000,000	500,000,000	250,000,000	30,000,000	120,000,000	60,000,000	Cash & Bonus
2004		500,000,000	250,000,000	230,000,000	350,000,000	175,000,000	Cash & Bonus
2005		500,000,000	250,000,000	44,000,000	394,000,000	197,000,000	Cash & Bonus
2006	3,000,000,000	3,500,000,000	1,750,000,000		394,000,000		
2007		3,500,000,000	1,750,000,000	2,000,000,000	2,394,000,000	1,197,000,000	Cash & Bonus
2008	3,500,000,000	7,000,000,000	3,500,000,000	3,606,000,000	6,000,000,000	3,000,000,000	
2008	7,000,000,000	14,000,000,000	7,000,000,000	6,000,000,000	12,000,000,000	6,000,000,000	Split 50k per share
2008		14,000,000,000	7,000,000,000	350,000,000	12,350,000,000	6,175,000,000	Cash
2009		14,000,000,000	7,000,000,000	650,000,000	13,000,000,000	6,500,000,000	Bonus
2011		14,000,000,000	7,000,000,000	866,666,666	13,866,666,666	6,933,333,333	Bonus

DIRECTORS' REPORT - Continued

18 **Unclaimed Dividends Account**

These are maintained in a fixed deposit account with Unity Bank Plc. The amount is jointly managed by both Veritas Kapital Assurance Plc and Unity Registrars Limited. The total amount in the account as of 31 December 2025, was N6,467,815.95 (Six million, four hundred and sixty seven thousand, eight hundred and fifteen naira ninety five kobo only).

19 **Audit and Compliance Committee**

By section 404(3) of the Companies and Allied Matters Act, 2020, the Audit Committee members of the Company re-elected at the last Annual General Meeting were as follows:

Mr. Emmanuel Etuh	Non-Executive Director		Chairman
Hajiya Yabawa Lawan Wabi mni	Non-Executive Director		Member
Mr. Olusegun J. Akintunde	Shareholders' representative		Member
Mal. Usman Abaji	Shareholders' representative		Member
Muhammad B. Alhassan	Shareholders' representative		Member

20 **Events after reporting date**

There are no significant post-balance sheet events that have not been provided for in these financial statements.

21 **External Auditors**

Messrs Ernst & Young was appointed on 3 August 2023 as auditors of the Company in accordance with Section 401(1) of the Companies and Allied Matters Act of Nigeria, 2020, and have indicated their willingness to continue in office as the Company's auditors.

A resolution will be proposed at the Annual General Meeting to authorize the Directors to determine the remuneration of the External Auditors.

BY THE ORDER OF THE BOARD

....
Ms. Saratu Umar Garba
COMPANY SECRETARY/LEGAL ADVISER
FRC/2019/NBA/00000019159

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RELATION TO THE PREPARATION OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

The Directors of Veritas Kapital Plc. accept responsibility for the preparation of the consolidated and separate financial statements that give a true and fair view of the financial position of the Group and Company as at 31 December 2025, and the results of its operations, cash flows and changes in equity for the year then ended, in compliance with IFRS Accounting Standards as issued by the International Accounting Standards Board and in the manner required by the Companies and Allied Matters Act of Nigeria, Nigerian Insurance Industry Reform Act (NIIRA) 2005, circulars and guidelines issued by the National Insurance Commission (NAICOM) and the Financial Reporting Council of Nigeria (Amendment Act), 2023.

In preparing the financial statements, the Directors are responsible for:
- properly selecting and applying accounting policies;
- presenting information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- providing additional disclosures when compliance with the specific requirements in IFRS Accounting Standards are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Group's financial position and financial performance.

Going Concern:
The Directors have made an assessment of the Group's and Company's ability to continue as a going concern and have no reason to believe the Group will not remain a going concern in the year ahead.

The financial statements of the Group and Company for the year ended 31 December 2025 were approved by the directors on 16 March 2026.

………………………………………	………………………………………
Dr. Adaobi Nwakuche	Mr. Babatunde Ayokunle Irukera
Managing Director	Chairman
FRC/2021/003/00000023865	FRC/2022/PRO/NBA/002/843576

CORPORATE GOVERNANCE REPORT

Introduction

At Veritas Kapital Assurance Plc, we are committed to upholding the creed and principles of good Corporate Governance in all our operations. Our good corporate governance is the bedrock of strong public trust and confidence reposed in us by shareholders, business partners, employees, and the financial markets and the key to our continued long-term success.

In the pursuit of delivering greater shareholder value, we continue to subject our operations to the highest standards of corporate governance, which is an essential foundation for sustainable corporate success.

Our Code of Corporate Governance provides a robust framework for the governance of the Board and the Company. The Company also ensures compliance with the Nigeria Code of Corporate Governance (NCCG), 2018, and the Corporate Governance Guidelines as issued by the various Regulators.

Furthermore, the Company's Code of Corporate Governance ("the Code") is continuously reviewed to align with additional legal and regulatory requirements and global best practices, to remain a pacesetter in the area of good corporate governance practices. In addition to the Code, the Company aggressively promotes its core values to its employees through its Code of Professional Conduct; as well as its Communications Policy, which regulates employee relations with internal and external parties. This is a strong indicator of the Company's determination to ensure that its employees remain professional at all times in their business practices.

The Company also conducts an Annual Board and Directors' Evaluation covering all aspects of the Board's structure, composition, responsibilities, processes, and relationships, in compliance with the requirements of the relevant Codes. To conduct the Annual Board Appraisal for the financial year ended 31 December 2025, the Board engaged the consultancy firm of Messer's Planet Governance Advisory Limited. The independent consultants carried out a comprehensive review of the effectiveness of the Board by evaluating the performance of the Board, the Board Committees, and the Directors.

The Board Evaluation report for the financial year ended 31 December 2025, by the independent consultants to the Board revealed that the Company was in substantial compliance with the provisions of the FRC Code.

During the 2025 financial year, the Company executed various governance initiatives/activities which included; the review of its Corporate Governance Code and other Corporate Governance Policies to align with additional regulatory requirements and global best practices, to remain a pacesetter in the area of good corporate governance practices. The Board and its Committees also carried out annual self-assessments to evaluate compliance with the terms of reference as contained in their respective Charters.

THE CORPORATE GOVERNANCE STRUCTURE

The Board

The governance of the Company resides with the Board of Directors which is accountable to shareholders for creating and delivering sustainable value through the management of the Company's business. The Board of Directors are responsible for the efficient operation of the Company and to ensure the Company fully discharges its legal, financial, and regulatory responsibilities.

The Board is committed to the highest standards of business integrity, ethical values, and governance; it ensures that an appropriate level of checks and balances is maintained. Members of the Board possess the right balance of expertise, skills, and experience, which translates to an effective Board and an executive management team capable of steering the affairs of the Company in an ever-changing and challenging environment.

Furthermore, the Board also reviews corporate performance, monitors the implementation of corporate strategy, and sets the Company's performance objectives. The Board monitors the effectiveness of its governance practices, manages potential conflict, and provides general direction to management.

Members of the Board of Directors are seasoned professionals, who have excelled in various sectors including; Banking, Accounting, Oil and Gas, Insurance, Private Business, Politics, Legal Profession, etc. They possess the requisite integrity, skills, and experience to bring to bear independent judgment on the deliberations and decisions of the Board. The Directors have a good understanding of the Company's businesses and affairs to enable them to properly evaluate information and responses provided by Management and to provide an objective challenge to Management.

In addition to the Board's direct oversight, the Board exercises its oversight responsibilities through its various committees namely:

a. Statutory Audit and Compliance Committee
b. Finance, Investment, and General-Purpose Committee
c. Establishment and Governance Committee
d. Enterprise Risk Management Committee

The Board and its various Committees convene quarterly, with additional meetings scheduled as necessary to address critical matters. The Board is structured to ensure a balanced mix of leadership, consisting of both Executive and Non-Executive Directors, all of whom are accountable to the shareholders.

The Board comprises a total of nine (9) members, including seven (7) Non-Executive Directors—comprising the Chairman, an Independent Director, and other Non-Executive Directors—as well as two (2) Executive Directors. This composition is designed to foster effective governance, strategic oversight, and sound decision-making.

Composition of the Board of Directors as of 31 December 2025

S/N	NAMES OF DIRECTORS	DESIGNATION	STATUS
		NON-EXECUTIVE DIRECTORS	
1	Mr. Babatunde Irukera	Chairman	Existing Director
2	Hajia Yabawa Lawan Wabi *mni*	Non-Executive Director	Existing Director
3	Mr. Emmanuel Etuh	Non-Executive Director	Existing Director
4	Mr. Paul Oki	Independent Non-Executive Director	Existing Director
5	Mrs. Priya Heal	Non-Executive Director	Existing Director
6	Mr. Aminu Babangida	Non-Executive Director	Existing Director
7	Dr. Oluwafunsho A. Obasanjo	Non-Executive Director	Existing Director
		EXECUTIVE DIRECTORS	
8	Dr. Adaobi Nwakuche	Managing Director/CEO	Existing Director
9	Mr. Sunkanmi Adekeye	Executive Director, Operations	Existing Director

Gender analysis of the Board of Directors as at 31 December 2025, is as follows:

BOARD	MALE	FEMALE	TOTAL
	5 (Five)	4 (Four)	9 (Nine)

Responsibilities of the Board

The Board determines the strategic objectives of the Company in delivering long-term growth and short-term goals. In fulfilling its primary responsibilities, it is aware of the importance of achieving a balance between conformance to governance principles and economic importance.

The power reserved for the Board includes the following:

a. Determination of Board structure, size, and composition, including appointment and removal of Directors, succession planning for the Board, Senior Management, and Board Committee members.
b. Approval of mergers and acquisitions, branch expansion/reduction, the establishment of subsidiaries, approval of remuneration policy and packages of the Board members.
c. Approval of policy documents on significant issues including Enterprise-wide Risk Management, Human Resources, Corporate Governance, and Anti-money laundering.
d. Approval of resources and corresponding documentation for shareholders in general meeting(s), shareholders circulars, prospectus, and principal regulatory filings with regulators.
e. Approval of major changes to the Company's corporate structure, and changes relating to the Company's capital structure or its status as a public liability company.
f. Approval of quarterly, half-yearly, and full-year financial statements (whether audited or unaudited) and any significant change in accounting policies and/or practices.
g. Approval of the Company's strategy, medium and short-term plans, and its annual operating and capital expenditure budget.
h. Recommendation to shareholders of the appointment or removal of auditors and the remuneration of auditors.

The Chairman

The roles of the Chairman and Chief Executive Officer are separate and no one individual combines the two positions. The Chairman is responsible for providing overall leadership of the Company and the Board and eliciting the constructive participation of all Directors to ensure that it operates effectively and fully discharges its legal and regulatory responsibilities. The Chairman is responsible for ensuring that Directors receive accurate, timely, and clear information to enable the Board to make informed decisions and provide advice to promote the success of the Company. The Chairman also facilitates the contribution of Directors and promotes effective relationships and open communications between Executive and Non-Executive Directors, both inside and outside the Boardroom.

The Chief Executive Officer

The Board has delegated the responsibility for the day-to-day management of the Company to the Managing Director/Chief Executive Officer, who is supported by Executive Management. The Managing Director executes the powers delegated to him following the guidelines approved by the Board of Directors. Executive Management is accountable to the Board for the development and implementation of strategies and policies. The Chief Executive Officer is charged with the supervisory role over the technical operations of the Company. The Board regularly reviews group performance, matters of strategic concern, and any other matter it regards as material.

The Independent Director

The Independent Director is responsible for the protection of shareholder's rights and interest in the Company and brings a high degree of objectivity to the Board for sustaining stakeholder trust and confidence. The Independent Director does not have a significant shareholding interest or special business relationship with the Company.

The Company Secretary

The Company Secretary is a point of reference and support for the Directors. The Company Secretary performs both functional and administrative responsibilities to the Board and Management, respectively by assisting in the formulation of an annual Board plan, organization of Board meetings, ensuring that the minutes of each meeting highlight the resolutions of the Board, and ensuring that the decisions are implemented.

Director's Nomination and Appointment Process

The Board Establishment and Governance Committee is charged with the responsibility of leading the process for Board appointments and for identifying, interviewing, and nominating suitable candidates for the approval of the Board. In identifying suitable candidates, the Committee considers candidates on merit against objective criteria and with due regard for the benefits of diversity on the Board, including gender as well as the balance and mix of appropriate skills and experience.

Shareholding in the Company is not considered a criterion for the nomination or appointment of a Director. The appointment of Directors is subject to the approval of the National Insurance Commission and the Shareholders at the Annual General Meeting.

Separation of the Positions of Chairman and Managing Director

The positions of the Managing Director and that of the Chairman of the Board are occupied by different persons and the Managing Director is responsible for the implementation of the Company's business strategy and the day-to-day management of the business.

Induction and Continuous Training

Upon appointment to the Board and Board Committees, all Directors receive an induction upon appointment and continuous training tailored to meet their requirements.

The induction, which is arranged by the Company Secretary, may include meetings with senior management staff and key external advisors, to assist Directors in acquiring a detailed understanding of the Bank's operations, its strategic plan, its business environment, the key issues the Company faces, and to introduce Directors to their fiduciary duties and responsibilities.

The Company Secretary is in charge of evolving a continuing education program to ensure existing Directors stay current with the Company's business and objectives as well as relevant industry information and other external factors such as corporate governance requirements and best practices. As part of the program, Directors are encouraged to periodically attend appropriate continuing education seminars or programs that would be beneficial to the Company and the Directors' service on the Board.

The Company attaches great importance to training its Directors and for this purpose, continuously offers training and education from onshore and offshore institutions to its Directors, to enhance their performance on the Board and the various Committees to which they belong.

Non-Executive Director's (NED) Remuneration

The Company's policy on remuneration of Non-Executive Directors is guided by the provisions of the NAICOM Code and the Financial Reporting Council (FRC) Code, which stipulates that Non-Executive Directors' remuneration should be limited to sitting allowances, Directors' fees, and reimbursable travel and hotel expenses.

Attendance to Board and Board Committee Meetings

The primary mission of the Board of Directors is to advance the interests of shareholders by creating a valuable long-term business. The Board believes that this mission is best served by establishing a corporate culture of accountability and ethical responsibility through the careful selection and evaluation of Directors and Senior Management Team and carrying out the Board's responsibilities with integrity and honesty.

The Board carries out its responsibilities through its committees, namely: Statutory Audit and Compliance Committee, Establishment and Governance Committee, Finance, Investment, and General-Purpose Committee, and Enterprise Risk Management Committee.

Through these Committees, the Board can more effectively deal with complex and specialized issues and fully utilize its expertise to formulate strategies for the Company. The Committees make recommendations to the Board which retains responsibility for final decision-making.

All Committees in the exercise of their powers as delegated, conform to the regulations laid down by the Board, with well-defined terms of reference contained in the charter of each committee. The Committees render reports on their meetings and recommendations to the Board at the Board's quarterly meetings.

Below are the Board Committees:

a. Establishment and Governance Committee:

The Establishment and Governance Committee is charged with instituting a transparent procedure for the appointment of new Directors to the Board and making recommendations to the Board regarding the tenures and the re-appointment of Non-Executive Directors on the Board and also reviewing and submitting it to the Board for approval, staff qualified for Senior Management positions, bi-annually reviews the description of the Executive Directors and establish objectives to assess performance, etc.

b. Finance, Investment, and General-Purpose Committee:

The Finance, Investment, and General-Purpose Committee is responsible for monitoring the integrity of the financial statements of the Company and also considering and approval of investments above the Management limit among others. The Committee comprises members selected to provide a wide range of financial, commercial, and international experience.

c. Statutory Audit and Compliance Committee:

The Company has an Audit Committee set up by the provisions of the Companies and Allied Matters Act. It comprises a mixture of Non-Executive Directors and shareholders elected at the Annual General Meeting. It evaluates annually, the independence and performance of external auditors, receives the interim and final audit presentation from the external auditors, and also reviews with management and the external auditors, the annual audited financial statements before their submission to the Board. During the year, the Committee approved the audit plan and scope of the external auditors' work for the financial year and reviewed quarterly and half-yearly financial results before they were presented to the Board. The Committee also received reports from management on the accounting system and internal controls framework of the Company.

d. Enterprise Risk Management Committee:

The primary purpose of the Enterprise Risk Management Committee is to assist the Board and the Audit Committee in supervising, reviewing, and assessing the overall adequacy and integrity of the risk management framework of the Company. The coverage of supervision includes the following: Credit Risk, Reputational Risk, Operations Risk, Technology Risk, Market Risk, Liquidity Risk, and other pervasive risks as may be posed by the events in the industry at any point in time.

BOARD AND COMMITTEE ATTENDANCE FOR THE YEAR ENDED 31 DECEMBER 2025

PRESENT	
ABSENT WITH APOLOGIES	
LEFT THE COMMITTEE/BOARD	
NYM	NYM

BOARD OF DIRECTORS MEETING

S/N	NAME OF MEMBERS	POSITION	30/01/2025	02/05/2025	31/07/2025	30/10/2025
1	Mr. Nahim Abe Ibraheem	CHAIRMAN/NON-EXECUTIVE DIRECTOR				
2	Mr. Babatunde Irukera	CHAIRMAN/NON-EXECUTIVE DIRECTOR	NYM			
3	Dr. Adaobi Nwakuche	MANAGING DIRECTOR/CEO				
4	Mr. Aminu Babangida	NON-EXECUTIVE DIRECTOR				
5	Dr. Oluwafunsho Obasanjo	NON-EXECUTIVE DIRECTOR				
6	Mrs. Priya Heal	NON-EXECUTIVE DIRECTOR				
7	Hajia Yabawa L. Wabi mni	NON-EXECUTIVE DIRECTOR				
8	Mr. Paul Oki	NON-EXECUTIVE DIRECTOR				
9	Mr. Emmanuel Etuh	NON-EXECUTIVE DIRECTOR				
10	Mr. Sunkanmi Adekeye	EXECUTIVE DIRECTOR				

AUDIT AND COMPLIANCE COMMITTEE MEETING

S/N	NAME OF MEMBERS	POSITION	27/01/2025	28/04/2025	28/07/2025	27/10/2025
1	Mr. Emmanuel Etuh	NON-EXECUTIVE DIRECTOR/CHAIRMAN				
2	Hajia Yabawa L. Wabi	NON-EXECUTIVE DIRECTOR				
3	Mr. Usman Abaji	SHAREHOLDER REPRESENTATIVE				
4	Mr. Akintunde J. Olusegun	SHAREHOLDER REPRESENTATIVE				
5	Mr. Mohammed B. Alhassan	SHAREHOLDER REPRESENTATIVE				

ENTERPRISE RISK MANAGEMENT COMMITTEE MEETING

S/N	NAME OF MEMBERS	POSITION	30/01/2025	02/05/2025	31/07/2025	30/10/2025
1	Hajia Yabawa L. Wabi mni	CHAIRMAN/NON-EXECUTIVE DIRECTOR				
2	Mr. Aminu Babangida	NON-EXECUTIVE DIRECTOR				
3	Dr. Oluwafunsho Obasanjo	NON-EXECUTIVE DIRECTOR				
4	Mrs. Priya Heal	NON-EXECUTIVE DIRECTOR				
5	Mr. Paul Oki	NON-EXECUTIVE DIRECTOR				
6	Dr. Adaobi Nwakuche	MANAGING DIRECTOR/CEO				
7	Mr. Sunkanmi Adekeye	EXECUTIVE DIRECTOR				

FINANCE, INVESTMENT AND GENERAL-PURPOSE COMMITTEE MEETING

S/N	NAME OF MEMBERS	POSITION	30/01/2025	02/05/2025	31/07/2025	30/10/2025
1	Mrs. Priya Heal	CHAIRMAN/NON-EXECUTIVE DIRECTOR				
2	Hajia Yabawa L. Wabi mni	NON-EXECUTIVE DIRECTOR				
3	Dr. Oluwafunsho Obasanjo	NON-EXECUTIVE DIRECTOR				
4	Mr. Emmanuel Etuh	NON-EXECUTIVE DIRECTOR				
5	Dr. Adaobi Nwakuche	MANAGING DIRECTOR/CEO				
6	Mr. Sunkanmi Adekeye	EXECUTIVE DIRECTOR				

ESTABLISHMENT AND GOVERNANCE COMMITTEE MEETING

S/N	NAME OF MEMBERS	POSITION	30/01/2025	02/05/2025	31/07/2025	30/10/2025
1	Mr. Aminu Babangida	CHAIRMAN/NON-EXECUTIVE DIRECTOR				
2	Mrs. Priya Heal	NON-EXECUTIVE DIRECTOR				
3	Dr. Oluwafunsho Obasanjo	NON-EXECUTIVE DIRECTOR				
4	Mr. Paul Oki	NON-EXECUTIVE DIRECTOR				
5	Hajia Yabawa L. Wabi mni	NON-EXECUTIVE DIRECTOR				
6	Mr. Emmanuel Etuh	NON-EXECUTIVE DIRECTOR				

NOTES:	
1	**Mr. Nahim Abe Ibraheem resigned from the Board on the 2 May 2025 and Mr. Babatunde Irukera was appointed as a member of the Board on the 2 May 2025.**
2	**Mr. Babatunde Irukera was unanimously appointed as Chairman of the Board of Directors on the 31 July 2025.**

Annual Board Evaluation and Appraisal

The Company recognizes that a good corporate governance framework must be anchored on an effective and accountable Board of Directors whose performance is assessed periodically. The Annual Board Appraisal for the financial year ended 31 December 2025, was conducted by Messer's Planet Governance Advisory Limited. The annual appraisal covered all aspects of the Board's structure, composition, responsibilities, processes, relationships, individual members' competencies, and respective roles in the Board performance, as well as the Company's compliance status with the provisions of the various Codes.

Code of Business Conduct and Ethics

The Company has a Code of Business Conduct which is based on our purpose and values as an organization. The Code sets out collective and individual commitments to ethical business practices in line with the Company's global Policies, relevant laws, regulations, and industry standards. The Code applies to all employees, Directors, and business partners of the Company, and employees are trained and annually certified on the salient provisions of the Code.

In addition to the Code of Business Ethics, we have policies that inspire and guide how we work every day and everywhere. These key policies govern our conduct in all facets of the Company's operations and include policies on Anti-Corruption, Anti-Money Laundering etc. We apply the principles of fairness, integrity, and transparency in all our business dealings as entrenched in our Code of Business Ethics and in line with international best practices. Training, communication programs, and compliance monitoring mechanisms are in place to ensure that all relevant stakeholders remain aware of and comply with the provisions of the Code and policies.

Shareholders

The General Meeting of the Company is the highest decision-making body. The General Meetings are conducted transparently and fairly. Shareholders have the opportunity to express their opinions on the Company's financial results and other issues affecting it. The Annual General Meetings are attended by representatives of regulators such as the National Insurance Commission, the Securities and Exchange Commission, the Nigerian Stock Exchange, the Corporate Affairs Commission as well as representatives of Shareholders' Associations.

The Company has an Investors Relations Unit, which deals directly with inquiries from shareholders and ensures that Shareholders' views are escalated to Management and the Board. Also, quarterly, half-yearly, and annual financial results are published in widely-read national newspapers. The Company also dispatches its annual reports, providing the highlight of all the Company's activities to its Shareholders.

Protection of Shareholder's Right

The Board ensures the protection of statutory and general rights of shareholders at all times, particularly their right to attend and vote at general meetings. All Shareholders are equally treated regardless of the volume of Shareholding or social status.

Communication Policy

The Board and Management of the Company ensure that communication and dissemination of information regarding the operations and management of the Company to shareholders, stakeholders, and the public is timely, accurate, and continuous, to give a balanced and fair view of the Company's financial and non-financial matters. Such information, which is in plain language, readable and understandable, is available on the Company's website: http://www.veritaskapital.com. The website is constantly updated with information as events occur.

The website also has an investor relations portal where the Company's Financial Reports and other relevant information are published and made accessible to its shareholders, stakeholders, and the public. The main objective of the Company's Communication Policy is to support the Company in achieving the overall goals described in its core values which strengthens the Company's culture of transparency in pursuit of best corporate governance practices.

Insider Trading and Price Sensitive Information

The Company has in place a policy regarding trading in its shares by its Directors and employees on the terms and conditions similar to the standards set out by the Nigerian Stock Exchange. The policy is periodically circulated on the Company's internal communication network ("Intranet") to serve as a reminder to staff of their obligations.

Directors, insiders, and their related persons in possession of confidential price-sensitive information ("insider information") are prohibited from dealing with the securities of the Company where such would amount to insider trading. Directors, insiders, and related parties are prohibited from disposing of, selling, buying, or transferring their shares in the Company for a "lock-up" period commencing from the date of receipt of such insider information until such a period when the information is released to the public or any other period as defined by the Company from time to time.

Monitoring Compliance with Corporate Governance

a. The Chief Compliance Officer monitors compliance with money laundering requirements and implementation of the Code of Corporate Governance of the Company. The Chief Compliance Officer together with the Chief Executive Officer certifies each year to the National Insurance Commission (NAICOM) and Securities Exchange Commission (SEC) that they are not aware of any other violation of the corporate governance code other than as disclosed during the year.

b. Whistle Blowing Procedures: In line with the Group's commitment to instilling the best corporate governance practice, a whistleblowing procedure was established that ensures anonymity on any reported incidence(s). The Company has a dedicated e-mail address for whistleblowing procedures. The whistleblowing policy can be obtained from the Company's website: www.veritaskapital.com

Unclaimed Dividends

The list of unclaimed dividends has been provided by the Registrars in a separate document for the year ended 31 December 2025

Compliance with Regulatory Requirements

The Company continued to maintain its commitment to achieving 100% compliance with Statutory and other Regulatory requirements. It complied substantially with the Nigeria Code of Corporate Governance (NCCG), 2018, the Corporate Governance Guidelines as issued by the various Regulators, and the post-listing requirements of the Nigerian Exchange Limited (NGX).

To ensure the effectiveness of the Company's compliance system, the level of compliance is monitored regularly by the Internal Audit weekly and by the Audit Committee and the Board through quarterly compliance reports detailing the Company's level of compliance and sanctions imposed (if any) prepared by the Chief Compliance Officer.

Management Committees

Management Committees are set up for a smooth and effective running of the Company. The Committees are risk-driven as they are set up to identify, analyze, synthesize, and make recommendations on risks arising from the day-to-day activities of the Company. They also ensure that risk limits as contained in the Board and Regulatory policies are complied with at all times. They provide inputs for the respective Board Committees and also ensure that the recommendations of the Board Committees are effectively and efficiently implemented. They meet as frequently as necessary to immediately take action and decisions within the confines of their powers.

The Committees are as follows:

1	Executive Management Committee	2	IT Steering Committee
3	Product Development Committee	4	Appraisal Committee
5	Claims Committee	6	Savage Committee
7	Asset Disposal Committee	8	Disciplinary Committee
9	Performance Management Committee	10	BID Committee
11	Cost Optimization Committee		

CERTIFICATION BY COMPANY SECRETARY

In my capacity as Company Secretary, I hereby certify, in terms of the Companies and Allied Matters Act, that for the year ended 31 December 2025, the company has lodged all such returns as are required of a Company in terms of this Act, and that all such returns are, to the best of my knowledge and belief, true, correct and up to date.

SARATU UMAR GARBA
Company Secretary/Legal Adviser
FRC/2019/PRO/NBA/004/00000019159

STATEMENT OF CORPORATE RESPONSIBILITY FOR THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

In compliance with section 405 of Companies and Allied Matters Act (CAMA) 2020, we have reviewed the audited Consolidated and Separate financial statements of the Group/Company for the year ended 31 December 2025 and based on our knowledge confirm as follows:

1 The audited Consolidated and Separate financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading;

2 The audited Consolidated and Separate financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Company as of and for the year ended 31 December 2025;

3 The Group's internal controls have been designed to ensure that all material information relating to the Company and its subsidiaries is received and provided to the Auditors in the course of the audit;

4 The Group's internal controls were evaluated within 90 days of the financial reporting date and are effective as of 31 December 2025;

5 That we have disclosed to the Auditors and the Audit committee the following information:

(a). There are no significant deficiencies in the design or operation of the Company's internal controls which could
(b). There is no fraud involving management or other employees which could have any significant role in the Group's

6 There are no significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of this audit, including any corrective actions with regard to any observed deficiencies and material weaknesses.

Signed:

....	....
Mr. Mojeed Somorin	Dr Adaobi Nwakuche
Chief Financial Officer	**Managing Director**
FRC/2017/PRO/ICAN/001/00000016849	FRC/2021/003/00000023865
16 March 2026	**16 March 2026**

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INDEPENDENT AUDITOR'S ATTESTATION REPORT ON MANAGEMENT'S ASSESSMENT OF INTERNAL CONTROL OVER FINANCIAL REPORTING

TO THE MEMBERS OF VERITAS KAPITAL ASSURANCE PLC

Scope

We have been engaged by Veritas Kapital Assurance Plc ('the Company') to perform a 'limited assurance engagement', based on International Standards on Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, herein referred to as the engagement, to report on Veritas Kapital Assurance Plc Internal Control over Financial Reporting (ICFR) (the "Subject Matter") contained in the company's Management's Assessment on Internal Control over Financial Reporting as of 31 December 2025 (the "Report").

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

(1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company.

(2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and

(3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Criteria applied by Veritas Kapital Assurance Plc

In designing, establishing and operating the Internal Control over Financial Reporting (ICFR) and preparing the Management's assessment of the Internal Control over Financial Reporting (ICFR), Veritas Kapital Assurance Plc applied the requirements of Internal Control-Integrated Framework (2013) of the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting (Criteria). Such Criteria were specifically designed to enable organizations effectively and efficiently develop systems of internal control that adapt to changing business and operating environments, mitigate risks to acceptable levels, and support sound decision making and governance of the organization; As a result, the subject matter information may not be suitable for another purpose.

INDEPENDENT AUDITOR'S ATTESTATION REPORT ON MANAGEMENT'S ASSESSMENT OF INTERNAL CONTROL OVER FINANCIAL REPORTING

TO THE MEMBERS OF VERITAS KAPITAL ASSURANCE PLC-Continued

Veritas Kapital Assurance Plc's responsibilities

Veritas Kapital Assurance Plc's Management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Veritas Kapital Assurance Plc's *Management's assessment of the Internal Control over Financial reporting as of* 31 December 2025 in accordance with the criteria.

Our responsibilities

Our responsibility is to express a conclusion on the design and operating effectiveness of the Internal Control over Financial Reporting based on our Assurance engagement.

We conducted our engagement in accordance with the *International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, those standards require that we plan and perform our engagement to obtain limited assurance on the entity's internal control over financial reporting based on our assurance engagement.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the International Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants (including International Independence Standards) (IESBA Code) and have the required competencies and experience to conduct this assurance engagement.

We also apply International Standard on Quality Management 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements*, which requires that we design, implement, and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed.

The procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk.

Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provides a basis for our report on the internal control put in place by Management over financial reporting.

The procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have obtained had a reasonable assurance engagement been performed.

INDEPENDENT AUDITOR'S ATTESTATION REPORT ON MANAGEMENT'S ASSESSMENT OF INTERNAL CONTROL OVER FINANCIAL REPORTING

TO THE MEMBERS OF VERITAS KAPITAL ASSURANCE PLC-Continued

Conclusion

In conclusion, nothing has come to our attention to indicate that the internal control over financial reporting put in place by Management is not adequate as of 31 December 2025, based on the requirements of Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting.

Other Matter

We also have audited, in accordance with the International Standards on Auditing, the financial statements for the year ended 31 December 2025 of Veritas Kapital Assurance Plc and we expressed an unmodified opinion in our Auditor's report dated 26 March 2026. Our conclusion is not modified is respect of this matter.

Oluwasayo Elumaro

FRC/2012/PRO/ICAN/004/00000000139

For: Ernst & Young

Lagos, Nigeria.

26 March 2026

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
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INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF VERITAS KAPITAL ASSURANCE PLC
Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of Veritas Kapital Assurance Plc ("the Company") and its subsidiaries (together "the Group"), which comprise the consolidated and separate statements of financial position as at 31 December 2025, and the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of the Group and the Company as at 31 December 2025, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the provisions of the Companies and Allied Matters Act, 2020,the Nigeria Insurance Industry Reform Act (NIIRA) 2025, the Pension Reforms Act, 2014,the relevant guidelines and circulars issued by the National Insurance Commission (NAICOM) and in compliance with the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the Group and the Company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) as applicable to audits of financial statements of public interest entities, together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Nigeria, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

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The Key Audit Matters apply equally to the audit of the consolidated and separate financial statements.

Key Audit Matter	How the matter was addressed in the audit
Valuation of Insurance Contract Liabilities The valuation of insurance contract liabilities is a significant area of judgment for entity. As at 31 December 2025, insurance contract liabilities amounted to ₦ 9.71 billion as at 31 December 2025 (2024: ₦16.3billion), and this amount represents a significant portion of its total liabilities for the respective period. The Company currently adopts only the Premium Allocation Approach in measuring a group of contracts which is the total of: a) the premiums received at initial recognition b) minus any insurance acquisition cashflows at that date c) plus or minus arising from the derecognition of any asset for insurance acquisition cashflows and any other asset or liability previously recognized for cashflows related to the group of contracts. When projecting future cashflows for these insurance contract liabilities, the Company primarily uses deterministic projections using best estimate assumptions. Key assumptions are subjective including the evenly occurrence of risk, sustained future claims payment pattern, large loss increase rate, directly attributable expenses, taxes etc. Auditing the valuation of insurance contract liabilities was complex and required the application of significant audit judgement due to the complexity of the cashflow models, the selection and use of assumptions and the interrelationship of these variables in measuring insurance contract liabilities. The audit also required specialized skills and knowledge in evaluating the audit evidence obtained. Refer to the note 17 ("Summary of Insurance Contract Issued and Re-insurance contract held") to the consolidated and separate financial statements.	Our audit procedures were amongst included but were not limited to the following. We: Obtained an understanding of the insurance contract liabilities valuation process. For this process, we focussed on understanding the Company's IFRS 17 implementation process including the approach for classification of insurance contracts for the purpose of measuring insurance contract liabilities. Also, we focussed on management's consistent application of the accounting policies and an inquiry into the actuarial models as well as management's process to ensure integrity of data used. • Involved our actuarial specialists in assessing the methodology and assumptions used in valuation of the insurance contract liabilities in respect to compliance with the Company's policies and IFRS. • Tested underlying support documentation for the inputs into the valuation of insurance contract liabilities, including reviewing a sample of experience studies supporting specific assumptions, evaluating the nature, timing and completeness of changes recorded, and assessing whether individual changes were errors or refinements of estimates. Assessed the adequacy of the disclosures related to the valuation of the insurance contract liabilities.

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF VERITAS KAPITAL ASSURANCE PLC-Continued

Other Information

The Directors are responsible for the other information. The other information comprises the information included in the document titled "Veritas Kapital Assurance Plc Annual Report and Consolidated and Separate Financial Statements for the year ended 31 December 2025", which includes the Report of the Directors, Audit Committee's Report, Statement of Corporate Responsibility for the Consolidated and Separate Financial Statements, Statement of Directors' Responsibilities in Relation to the preparation of the Consolidated and Separate Financial Statements, Management's Report on the Effectiveness of Internal Control over Financial Reporting, Certification of Management's Assessment of Internal Control over Financial Reporting, and Other National Disclosures. The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon as part of this opinion.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The Directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the provisions of the Companies and Allied Matters Act, 2020, the Nigeria Insurance Industry Reform Act , 2025, the Pension Reforms Act, 2014,the relevant guidelines and circulars issued by the National Insurance Commission (NAICOM) and in compliance with the Financial Reporting Council of Nigeria (Amendment) Act, 2023, and for such internal control as the Directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

EY
Shape the future
with confidence

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF VERITAS KAPITAL ASSURANCE PLC-Continued

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements
In accordance with the requirement of the Fifth Schedule of the Companies and Allied Matters Act, 2020, we confirm that:

- We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit;
- In our opinion, proper books of account have been kept by the Group and Company, in so far as it appears from our examination of those books;
- The consolidated and separate statements of financial position and the consolidated and separate statements of profit or loss and other comprehensive income are in agreement with the books of account; and
- In our opinion, the consolidated and separate financial statements have been prepared in accordance with the provisions of the Companies and Allied Matters Act, 2020 so as to give a true and fair view of the state of affairs and financial performance of the Company and its subsidiaries.

- The company incurred a penalty in respect of contravention of violation of NAICOM circular on foreign re-insurance participation without prior approval. The details of the contravention and penalty are disclosed in Note 40 of the financial statements.

In accordance with the requirements of the Financial Reporting Council of Nigeria (FRC) Guidance on Assurance Engagement Report on Internal Control over Financial Reporting:

We performed a limited assurance engagement and reported on Management's assessment of the Company's internal control over financial reporting as of 31 December,2025. The work performed was done in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, and we have issued an unmodified conclusion in our report dated 26 March 2026.

Oluwasayo Elumaro,
FRC/2012/PRO/ICAN/004/00000000139
For Ernst & Young
Lagos, Nigeria
Date: 26 March 2026

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
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The opinion expressed in these financial statements is to enable the Company to comply with the regulatory requirements for the submission of its financial statements to the National Insurance Commission (NAICOM). Consequently, these financial statements should not be distributed or made available to any third party in whole or in part pending the final approval by NAICOM and subsequent auditor's opinion thereon.

CONSOLIDATED AND SEPARATE STATEMENTS OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025

	Notes	2025 Group N'000	2024 Group N'000	2025 Company N'000	2024 Company N'000
Assets					
Cash and cash equivalents	3	7,975,130	11,196,743	7,179,475	9,830,861
Investment securities:					
Fair value through profit or loss	4a	173,376	138,264	173,376	138,264
Amortised cost	4b	12,451,756	10,197,218	6,148,171	5,084,068
Fair value through OCI	4c	607,208	492,056	607,208	492,056
Premium receivables	5	2,321,542	1,545,616	2,321,542	1,545,616
Reinsurance contract assets	17	3,279,213	5,841,671	3,279,213	5,841,671
Other receivables and prepayments	6	1,217,353	884,867	237,275	174,054
Investment in subsidiaries	7	-	-	4,026,300	4,026,300
Property and equipment	9	6,288,073	6,020,334	5,149,831	5,033,899
Goodwill	10	316,884	316,884	-	-
Intangible assets	11	411,196	551,789	400,006	539,166
Statutory deposits	12	355,000	355,000	355,000	355,000
Total assets		35,396,731	37,540,442	29,877,397	33,060,955
Liabilities:					
Insurance contract liabilities	17	9,706,533	16,303,627	9,706,533	16,303,627
Other contract liabilities	25	6,389	8,899	-	-
Other technical liabilities	13	2,729,426	2,785,406	2,729,428	2,785,406
Employees retirement benefit obligations	14	28,401	27,710	-	-
Provision and other payables	15	3,054,056	2,351,635	1,857,862	1,690,510
Income tax liabilities	16	275,050	404,691	130,294	173,210
Deferred tax liabilities	16.2	469,729	372,737	280,162	190,671
Total liabilities		16,269,584	22,254,705	14,704,279	21,143,423
Share capital & reserves:					
Share capital	18	6,933,333	6,933,333	6,933,333	6,933,333
Share premium	19	663,600	663,600	663,600	663,600
Statutory contingency reserves	20	3,323,290	2,611,284	3,323,290	2,611,284
Retained earnings/(accumulated losses)	21	1,560,415	(1,189,506)	29,016	(2,305,749)
Other components of equity:					
Asset revaluation reserve	22	4,102,776	3,974,282	3,863,989	3,735,496
Fair value reserve	23	356,200	275,880	359,889	279,569
Equity attributable to equity holders of the parent		16,939,614	13,268,874	15,173,117	11,917,531
Non Controlling interest (NCI)	37	2,187,533	2,016,863	-	-
Total equity		19,127,147	15,285,737	15,173,117	11,917,531
Total equity & liabilities		35,396,731	37,540,442	29,877,397	33,060,955

These financial statements were approved by the Board on 16 March 2026 and signed on its behalf by:

....	....	....
Mr. Mojeed Somorin	Mr. Babatunde Ayokunle Irukera	Dr. Adaobi Nwakuche
Chief Financial Officer	Chairman	Managing Director
FRC/2017/PRO/ICAN/001/00000016849	FRC/2022/PRO/NBA/002/843576	FRC/2021/003/00000023865

The statement of material accounting policies and the accompanying notes to the consolidated and separate financial statements form an integral part of these financial statements.

CONSOLIDATED AND SEPARATE STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	2025 Group N'000	2024 Group N'000	2025 Company N'000	2024 Company N'000
Insurance revenue	26	22,579,472	23,310,885	22,602,820	23,330,242
Insurance service expenses	27	(3,441,948)	(18,590,142)	(3,441,948)	(18,590,142)
Insurance service result before reinsurance contracts held		19,137,524	4,720,743	19,160,872	4,740,100
Net expenses from reinsurance contracts held	28	(11,174,832)	(8,923,025)	(11,174,832)	(8,923,025)
Insurance service result		**7,962,692**	**(4,202,282)**	**7,986,040**	**(4,182,925)**
Interest income calculated using the effective interest method	31a	1,009,382	1,243,847	436,659	450,343
Net fair value gains on financial assets at fair value through profit or loss	31c	30,171	25,754	30,171	25,754
Net foreign exchange (loss)/gain	32	(597,426)	5,087,119	(596,493)	5,087,119
Credit loss reversal/(expense) on financial assets	34	27,873	(28,824)	39,983	(57,730)
Other investment income	31b	3,565,624	2,801,394	942,684	899,447
Net investment income		**4,035,624**	**9,129,290**	**853,004**	**6,404,933**
Finance expenses from insurance contracts issued	29	(2,853,243)	(956,336)	(2,853,243)	(956,336)
Finance income from reinsurance contracts held	30	914,565	250,922	914,565	250,922
Net insurance finance expense		**(1,938,678)**	**(705,414)**	**(1,938,678)**	**(705,414)**
Net insurance and investment result		**10,059,638**	**4,221,594**	**6,900,366**	**1,516,594**
Other operating income	33	1,336,358	368,002	34,169	47,441
Other operating expenses	35	(7,226,959)	(5,217,145)	(3,787,004)	(3,049,539)
Profit/(loss) before income tax		**4,169,037**	**(627,549)**	**3,147,531**	**(1,485,504)**
Income tax expense	36	(144,939)	(465,319)	(110,042)	(149,092)
Profit/(loss) for the year		**4,024,098**	**(1,092,868)**	**3,037,489**	**(1,634,596)**
Other comprehensive income:					
Items that will not be reclassified subsequently to profit or loss(net of tax):					
Net acturial loss on retirement benefit obligation	50a	1,186	(15,114)	-	-
Gain on revaluation of property and equipment (net of tax)	50b	128,493	339,311	128,493	339,311
Fair value gain on financial asset at FVOCI(net of tax)	50c	80,320	39,896	80,320	39,896
Other comprehensive income, net of tax		**209,999**	**364,093**	**208,813**	**379,206**
Total comprehensive Income/(loss) for the year		**4,234,097**	**(728,775)**	**3,246,302**	**(1,255,390)**
Profit/(loss) for the period, attributable to:					
* Non-controlling interests		290,951	131,530	-	-
* Owners' of the Parent		3,733,147	(1,224,398)	-	-
		4,024,098	**(1,092,868)**	-	-
Total comprehensive income/(loss), attributable to:					
* Non-controlling interests		290,951	130,547	-	-
* Owners' of the Parent		3,943,146	(859,323)	-	-
		4,234,097	**(728,775)**	-	-
Basic earnings/(loss) per Share	24	0.58	(0.16)	0.44	(0.24)

The statement of material accounting policies and the accompanying notes to the consolidated and separate financial statements form an integral part of these financial statements.

CONSOLIDATED AND SEPARATE STATEMENTS OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2025

Group

	Share Capital N'000	Share Premium N'000	Asset revaluation reserve N'000	Fair value reserve N'000	Statutory contingency reserve N'000	Retained Earnings N'000	Total attributable to equity holders of Parent N'000	Non-Controlling Interest N'000	Total Equity N'000
At 1 January 2025	6,933,333	663,600	3,974,282	275,880	2,611,284	(1,189,506)	13,268,874	2,016,863	15,285,736
Profit for the year	-	-	-	-	-	3,744,751	3,744,751	290,951	4,035,702
Other Comprehensive Income:									
Gain on revaluation of properties, plant and equipment	-	-	128,493	-	-	-	128,493	-	128,493
Fair value gain on financial asset at FVOCI	-	-	-	80,320	-	-	80,320	-	80,320
Transfer of revaluation gain on disposal of PPE	-	-	-	-	-	-	-	-	-
Acturial gain on retirement benefit obligation	-	-	-	-	-	1,186	1,186	-	1,186
Total comprehensive income	-	-	128,493	80,320	-	3,745,936	3,954,750	290,951	4,245,701
Transfer to Contingency Reserve (Note 20)	-	-	-	-	712,006	(712,006)	-	-	-
Transactions with owners of equity									
Dividends to equity holders (Note 21)	-	-	-	-	-	(284,010)	(284,010)	(120,281)	(404,291)
At 31 December 2025	6,933,333	663,600	4,102,776	356,200	3,323,290	1,560,415	16,939,613	2,187,533	19,127,147

	Share Capital N'000	Share Premium N'000	Asset revaluation reserve N'000	Fair value reserve N'000	Statutory contingency reserve N'000	Accumulated losses N'000	Total attributable to equity holders of Parent N'000	Non-Controlling Interest N'000	Total Equity N'000
At 1 January 2024	6,933,333	663,600	3,634,971	235,984	1,900,456	1,008,862	14,377,206	1,991,597	16,368,802
(Loss)/profit for the year	-	-	-	-	-	(1,224,398)	(1,224,398)	131,530	(1,092,868)
Other Comprehensive Income:							-		-
Gain on revaluation of properties, plant and equipment	-	-	339,311	-	-	-	339,311	-	339,311
Fair value gain on financial asset at FVOCI	-	-	-	39,896		-	39,896	-	39,896
Transfer of revaluation gain on disposal of PPE	-	-	-	-	-	-	-	-	-
Acturial gain on retirement benefit obligation			-	-		(14,131)	(14,131)	(982)	(15,114)
Total Comprehensive Income	-	-	339,311	39,896	-	(1,238,529)	(859,323)	130,547	(728,775)
Transfer to Contingency Reserve	-	-	-	-	710,828	(710,828)	-	-	-
Transactions with owners of equity:					-	-			
Dividends to equity holders (Note 21)	-	-	-	-	-	(249,010)	(249,010)	(105,280)	(354,290)
At 31 December 2024	6,933,333	663,600	3,974,282	275,880	2,611,284	(1,189,506)	13,268,873	2,016,863	15,285,737

The statement of material accounting policies and the accompanying notes to the Consolidated and separate financial statements form an integral part of these financial statements.

CONSOLIDATED AND SEPARATE STATEMENTS OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2025

Company

	Share Capital	Share Premium	Asset revaluation reserve	Fair value reserve	Statutory contingency reserve	Retained earnings	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
At 1 January 2025	6,933,333	663,600	3,735,496	279,569	2,611,284	(2,305,749)	11,917,531
Profit for the year	-	-	-	-	-	3,046,772	3,046,772
Other Comprehensive Income:							
Gain on revaluation of properties, plant and equipment	-	-	128,493	-	-	-	128,493
Fair value gain on financial asset at FVOCI	-	-	-	80,320	-	-	80,320
Transfer of revaluation gain on disposal of PPE	-	-	-	-	-	-	-
Total comprehensive income	-	-	128,493	80,320	-	3,046,772	3,255,585
Transfer to Contingency Reserve	-	-	-	-	712,006	(712,006)	-
At 31 December 2025	6,933,333	663,600	3,863,989	359,889	3,323,290	29,016	15,173,117

	Share Capital	Share Premium	Asset revaluation reserve	Fair value reserve	Contingency Reserve	Accumulated losses	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
At 1 January 2024	6,933,333	663,600	3,396,185	239,673	1,900,456	39,675	13,172,922
Loss for the year	-	-	-	-	-	(1,634,596)	(1,634,596)
Other Comprehensive Income:							
Gain on revaluation of properties, plant and equipment	-	-	339,311	-	-	-	339,311
Fair value gain on financial asset at FVOCI	-	-	-	39,896	-	-	39,896
Transfer of revaluation gain on disposal of PPE	-	-	-	-	-		-
Total Comprehensive income	-	-	339,311	39,896	-	(1,634,596)	(1,255,391)
Transfer to Contingency Reserve					710,828	(710,828)	-
At 31 December 2024	6,933,333	663,600	3,735,496	279,569	2,611,284	(2,305,749)	11,917,531

The statement of material accounting policies and the accompanying notes to the Consolidated and separate financial statements form an integral part of these financial statements.

CONSOLIDATED AND SEPARATE STATEMENTS OF CASHFLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025

		2025	2024	2025	2024
		Group	Group	Company	Company
Cash flows from operating activities:	**Notes**	**N'000**	**N'000**	**N'000**	**N'000**
Premium received	17	22,934,220	23,178,430	22,957,609	23,178,430
Amount received in respect of claims	17	8,730,592	824,834	8,730,592	824,834
Other operating income	33	1,336,358	350,797	34,169	31,565
Cash paid to and on behalf of employees	35	(2,775,315)	(2,259,134)	(1,455,459)	(1,069,303)
Premium and similar expense paid	17b	(16,428,402)	(14,192,596)	(16,428,402)	(14,192,596)
Insurance benefits and claims paid	17a	(10,723,245)	(2,322,812)	(10,723,245)	(2,162,686)
Acquisition costs paid	17a	(3,114,727)	(3,220,986)	(3,114,727)	(3,220,986)
Other acqusition (Maintenance expense) paid during the year	17a	(84,832)	(86,616)	(84,832)	(86,616)
Other directly attributable expenses paid	17a	(293,838)	(788,750)	(293,838)	(788,750)
Realized exchange (loss)	32	(212,009)	(39,888)	(212,009)	(39,888)
Cash paid to intermediaries and other suppliers		(1,845,443)	(1,222,566)	(2,015,537)	(1,059,598)
Company income tax paid	16	(274,580)	(222,145)	(152,958)	(31,242)
Net cash flows (used in)/from operating activites		(2,751,220)	(1,432)	(2,758,636)	1,383,164
Cash flow from investing activities:					
Purchase of property and equipment	9	(392,290)	(462,806)	(93,800)	(387,443)
Purchase of intangible assets	11	(6,960)	(233,692)	-	(231,594)
Proceed from sale of property and equipment	49a	27,100	17,533	11,789	30,963
Dividend income from equity investment at FVTPL	31b	596,921	23,825	312,911	272,835
Interest received	31a&31b	1,834,234	4,599,632	993,331	2,811,208
Purchase of financial assets at FVPL	4a	(5,350)	-	(5,350)	-
Purchase of amortised cost investment	4b	(3,152,662)	(4,002,563)	(1,574,392)	(3,143,438)
Investment in subsidiary		-	-	-	-
Purchase of financial assets at FVOCI	4c	(409)	(1,104)	(409)	(1,104)
Disposal of amortised cost investments	4b	-	50,000		50,000
Redemption/repayment on amortised cost investments	4b	1,262,267	1,862,715	688,127	1,200,176
Net cash flows from investing activites		162,851	1,853,539	332,207	601,602
Cash flow from financing activities:					
Dividend paid	21&37	(404,291)	(354,290)	-	-
Net cash flows used in financing activites		(404,291)	(354,290)	-	-
Net (decrease)/increase in cash and cash equivalents		(2,992,660)	1,497,817	(2,426,429)	1,984,766
Cash and cash equivalents at the 1 January		11,258,477	6,576,971	9,890,315	4,721,860
Effects of exchange rate changes on cash and cash equivalents		(280,904)	3,183,689	(279,971)	3,183,689
Cash and cash equivalents at the 31 December	3	7,984,913	11,258,477	7,183,915	9,890,315

The statement of material accounting policies and the accompanying notes to the Consolidated and separate financial statements form an integral part of these financial statements.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

1.1 **Reporting Entity**

Veritas Kapital Assurance Plc ("the Company") was initially incorporated under the name of Kapital Insurance Company Limited as a private limited liability Company On the 8 August, 1973. on 14 March 2007, it acquired and merged withs two other insurance companies became a public limited liability group. Its shares are quoted on the Nigerian Exchange Group.

Its Head Office is located at 497 Abogo Largema Street, Off constitution Avenue, Central Business District, Abuja

The Company has 93.5% equity interest in Veritas Health Care Limited and 70% interest in Veritas Glanvills Pensions Limited and 51.53% in Goldlink Insurance Plc. The group comprises of two subsidiaries, an associate and the parent Company.

1.2 **Principal Activities**

The principal business of the group is underwriting of non-life insurance risks.

The subsidiaries activities are:
- Veritas Glanvills Pensions Limited, the administration and management of pension fund assets.
- Veritas Health Care Limited provision of health insurance.

1.3 **Components of Financial**

The Consolidated and Separate Financial Statements comprise the Statements of Profit or Loss and Other Comprehensive Income, Consolidated and separate statements of Financial Position, Consolidated and separate Statement of Changes in Equity, Consolidated and separate Statements of Cash Flows, and the accompanying Notes.

Income and expenses (excluding the components of other comprehensive income) are recognised in the profit or loss segment of profit or loss to arrive at the profit for the year.

Other comprehensive income is recognised in the other comprehensive segment of the statement of other comprehensive income and comprises items of income and expenses that are not recognised in the statement of profit or loss as required or permitted by IFRS Accounting Standards.

The addition of the profit for the year and the other comprehensive income gives the total comprehensive income for the year.

Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the group in their capacity as owners are recognised in the statement of changes in equity.

1.4 **Basis of preparation and measurement**

Historical cost basis was used in preparation of the consolidated and separate financial statements as modified by the certain items of:
- Property and equipment at valuation
- Investment property at fair value
- Investments at fair value
- Impaired assets at their recoverable amounts

1.5 **Compliance with IFRS and NAICOM**

These Consolidated and separate financial statements have been prepared in accordance with the (IFRS) Accounting SStandards, IFRS Interpretations Committee (IFRIC) Interpretations applicable to companies reporting under IFRS as issued by the International Accounting Standards Board (IASB), Financial Reporting Council of Nigeria (Amendment) Act, 2023, Nigerian Insurance Industry Reform Act (NIIRA), 2025 and regulatory guidelines as pronounced from time to time by National Insurance Commission (NAICOM). Additional information required by national regulations have been included where appropriate.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

1.6 **Going Concern status**

The consolidated and separate financial statements have been prepared on the going concern basis. The group has no intention or need to reduce substantially its business operations. The management believes that the going concern assumption is appropriate for the company and group due to sufficient liquidity and based on historical experience that short-term obligations will be refinanced in the normal course of business. Liquidity ratio and continuous evaluation of current ratio of the group is carried out to ensure that there are no going concern threats to the operation of the group.

1.7 **Presentation of financial**

The group presents its consolidated and separate statements of financial position broadly in order of liquidity. An analysis regarding recovery or settlement within twelve months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Notes.

1.8 **Significant judgements and key sources of estimation uncertainty**

In the process of applying the accounting policies adopted by the group and company, the Directors make certain judgements and estimates that may affect the carrying values of assets and liabilities in the next financial period. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. the directors evaluate these at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available.

The preparation of the group's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future. These factors should include:

The judgements made by the Directors in the process of applying the group's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

· Claims arising from insurance contracts

Liabilities for unpaid claims are estimated on a case by case basis. The liabilities recognised for claims fluctuate based on the nature and severity of the claim reported. Claims incurred but not reported are determined using statistical analyses and the group deems liabilities reported as adequate.

. Fair value of unquoted equity financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data using valuation models.

· Property and equipment

Property and equipment represent one of the most significant proportion of the asset base of the group, accounting for about 26% of the group's total assets. Therefore, the estimates and assumptions made to determine their carrying value and related depreciation are critical to the group's financial position and performance.

The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. Increasing an asset's expected life or its residual value would result in the reduced depreciation charge in the statement of comprehensive income.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

1.8 Significant judgements and key sources of estimation uncertainty - continued

The useful lives and residual values of the property and equipment are determined by management based on historical experience as well as anticipation of future events and circumstances which may impact their useful lives.

. Goodwill

Goodwill is tested for impairment annually or whenever we identify certain triggering events or circumstances that would more likely than not reduce the fair value of a reporting unit below its carrying amount. Events or circumstances that might indicate an interim evaluation is warranted include, among

other things, unexpected adverse business conditions, macro and reporting unit specific economic factors (for example, interest rate and foreign exchange rate fluctuations, and loss of key personnel), supply costs, unanticipated competitive activities, and acts by governments and courts.

Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of the cash generating unit to which the goodwill relates. Where the recoverable amount of the cash generating unit is less than their carrying amount, an impairment is recognized.

. Deferred Tax Assets

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that taxable profit will be available against which temporary differences can be utilized. Management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and other factors.

1.9 Functional and presentation currency

The consolidated and separate financial statements are presented in Nigerian Naira (Naira), rounded to the nearest thousand, this is also the functional currency of the group.

2 Summary of material accounting policies

2.1 Introduction to summary of accounting policies

The material accounting policies applied in the preparation of these consolidated and separate financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.2 Insurance contracts

A. Key types of insurance contracts issued, reinsurance contracts held and measurement approach.

The Group issues non-life insurance to individuals and businesses. Non-life insurance products offered include motor, general accident, marine, fire bond, oil & gas, engineering and agriculture. These products offer protection of policyholder's assets and indemnification of other parties that have suffered damage as a result of a policyholder's accident.

The company accounts for these contracts applying the Premium Allocation Approach (PAA).

The company also holds reinsurance contracts to mitigate risk exposures. The types of reinsurance contracts held include - facultative reinsurance, treaty Reinsurance. proportional reinsurance, non-proportional reinsurance. These are also accounted for using the Premium Allocation Approach (PAA).

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

2 Summary of material accounting policies

2.1 Introduction to summary of accounting policies

B. Definition and Classification

Insurance products sold by the company are classified as insurance contracts when the company accepts significant insurance risk from a policyholder by agreeing to compensate the policyholder if a specified uncertain future event adversely affects the policyholder. This assessment is made on a contract-by-contract basis at the contract issue date. In making this assessment, the company considers all its substantive rights and obligations, whether they arise from contract, law or regulation. The company determines whether a contract contains significant insurance risk by assessing if an insured event could cause the company to pay to the policyholder additional amounts that are significant in any single scenario with commercial substance even if the insured event is extremely unlikely or the expected present value of the contingent cash flows is a small proportion of the expected present value of the remaining cash flows from the insurance contract. The company does not issue any contracts with direct participating features.

The company has assessed whether its portfolio of insurance contracts needs to be treated as a single contract and if there exist any embedded derivatives investment components and goods and services components, which would have to be separated and accounted for under another standard. There is currently no product with such components.

C. Combining a set or series of contracts

Sometimes, the company enters into two or more contracts at the same time with the same or related counterparties to achieve an overall commercial effect. The company accounts for such a set of contracts as a single insurance contract when this reflects the substance of the contracts. When making this assessment, the company considers whether:

i· The rights and obligations are different when looked at together compared to when looked at individually.
ii· The company is unable to measure one contract without considering the other.

D. Separating components from insurance and reinsurance contracts

In line with the requirement of IFRS 17, the company assesses its insurance and reinsurance products to determine whether they contain components which must be accounted for under another IFRS rather than IFRS 17 (distinct non- insurance components). After separating any distinct components, an entity must apply IFRS 17 to all remaining components of the (host) insurance contract.
Currently, the company's products do not include distinct components that require separation.

E. Level of aggregation (Unit of account)

IFRS 17 requires an entity to determine the level of aggregation for applying its requirements. The company identifies portfolios by aggregating insurance contracts that are subject to similar risks and managed together. In grouping insurance contracts into portfolios, the company considers the similarity of risks rather than the specific labelling of product lines. The company has determined that all contracts within each product line, as defined for management purposes, have similar risks. Therefore, when contracts are managed together, they represent a portfolio of contracts. Each portfolio is subdivided into groups of contracts to which the recognition and measurement requirements of IFRS 17 are applied. At initial recognition, the company segregates contracts based on when they were issued. A cohort contains all contracts that were issued within a 12-month period. Each cohort is then further disaggregated into three groups of contracts:

- Contracts that are onerous on initial recognition
- Contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently
- Any remaining contracts

For short term contracts accounted for applying the PAA, the company determines that contracts are not onerous on initial recognition, unless there are facts and circumstances indicating otherwise. As IFRS 17 does not define what "facts/circumstances" entail; the following are considered on their impact on expected cashflows and resulting profitability:

-Significant changes in external conditions including economic or regulatory changes.
-Changes to the organization or processes
-Changes in underwriting and pricing strategies
-Trends in experience and expected variability in cashflows

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

E. **Level of aggregation (Unit of account) - continued**

This consideration is only required for Liabilities for Remaining Claims (LRC) and not Liabilities for Incurred Claims (LIC) which is already measured at the current fulfillment value. Fulfillment cashflows can be estimated at whichever aggregate level is deemed appropriate and then subsequently allocated into IFRS 17 portfolios and groups. The fact that incurred claims of a particular cohort are loss-making does not mean the LRC will also be onerous. Judgment is applied to determine whether each cohort's LRC will be similar to this incurred experience and hence onerous. For example, actions taken to improve profitability a historically loss-making cohort may indicate that the cohort will be non-onerous going forward.

All short-term contracts have currently been assessed as having no possibility of becoming onerous.

subsequent periods, non-onerous contracts are re-assessed based on the likelihood of prevailing facts and circumstances leading to significant possibility of becoming onerous.

Reinsurance contracts held are assessed for aggregation on an individual contract basis and are assessed separately from insurance contracts. The smallest unit of account is a reinsurance contract, even where this contract covers more than one type of insurance product. However, there are cases where a reinsurance contract covers separate and identifiable product lines which are only included in the same legal document for administrative convenience. These contracts have been separated into its different component.

If two or more reinsurance contracts are written on a particular product line, these may be grouped together in the same portfolio as they will be covering risks of the same nature and will be managed together. For example, the Surplus contracts (1&2) on Fire have been grouped together as they cover risks of the same nature and can be measured under the same measurement approach (PAA because they have a contract boundary of 1 year). While, facultative and excess of loss contracts are in separate groups; though they cover the same risks and are even managed together, differing measurement approaches as well as recognition requirements may apply.

F. **Recognition**

The company recognizes groups of insurance contracts issued from the date when the first payment from a policyholder in the group becomes due. As the company adheres to the statutory "no premium no cover", the date premium is received from the policyholder will always be earlier or on the same date as the coverage period. This premium receipt date would then be used to separate the groups of insurance contracts into yearly cohorts. The contract groupings shall not be reassessed until they are derecognized.

G. **Contract Boundaries**

The company includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the group. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Group can compel the policyholder to pay the premiums, or in which the Group has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation to provide insurance contract services ends when:

- The Company has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks Or
- Both of the following criteria are satisfied:
- The Company has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio.
- The pricing of the premiums up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date.

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract are not recognized. Such amounts relate to future insurance contracts.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

H. Measurement of insurance contracts issued.

Discount Rate

The time value of money and financial risk is measured separately from expected future cash flows with changes in financial risks recognized in profit or loss at the end of each reporting period unless the Company has elected the accounting policy to present the time value of money separately in profit or loss and other comprehensive income. The Company measures the time value of money using discount rates that reflect the liquidity characteristics of the insurance contracts and the characteristics of the cash flows, consistent with observable current market prices. They exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts (e.g., credit risk).

In determining discount rates for cash flows, the Company uses the 'bottom-up approach' to estimate discount rates starting from a risk-free rate with similar characteristics, plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields of highly liquid FGN Bonds. The illiquidity premium is determined by reference to observable market rates, including sovereign debt, corporate debt and market swap rates. However, for the current year the company has adopted a Bottom-up approach which was adopted in setting the average discount rate for the liability valuation, having regard to the published yield curve by the Nigeria Actuarial Society (NAS) on its website or on the NAICOM website and adjusts it to reflect the illiquidity in the insurance contracts. An average spot/zero curve locked in rate of 28.20% per year was adopted to estimate the value of the future expected cashflows from the liability for incurred claims (LIC) obligations as at the valuation date. No deduction for illiquidity premium and No (additional) spread has been applied. The NAS interest curve used to discount future cash flows is derived from the published yield curve by the Nigeria Actuarial Society (NAS) on its website or on the NAICOM website and adjusts it to reflect the illiquidity in the insurance contracts with similar characteristics (in terms of timing, currency and liquidity requirements) as the future fulfillment cashflows.

Risk adjustment for non-financial risk

The Company measures the compensation it would require for bearing the uncertainty about the amount and timing of cash flows arising from insurance contracts, other than financial risk, separately as an adjustment for non-financial risk.

The company adopts the Value at Risk approach as a measure of the risk adjustment for non-financial risks. The Confidence level used was set at 75th percentile in determining the discounted best estimate liability for incurred claims. This also applies to the reinsurance held.

A full IFRS 17 liability distribution is generated across all non-financial risks and the risk adjustment is calculated as the difference between the best estimate liability and the liability value at the chosen confidence level. This is allocated to all the group of insurance contracts. Diversification benefits are derived from a study of the negative correlation that exists among the different non-financial variables impacting the cash flows from the portfolios of the Company and results in lower economic capital being necessary to absorb the residual level of uncertainty.

A bootstrap (Mack) stochastic reserving approach was used to derive the risk margin or risk adjustment in the above. The Confidence level used in the calculation of the company's technical provisions was set at an average of 75th percentile (75% confidence level) yielding 16.97% of the discounted best estimate liability for incurred claims. The risk adjustment as a proportion of the discounted liability at 99.5% confidence level using VAR method would be 252,0%. This also applies to the reinsurance held. "

Premium Allocation Approach (PAA)

This is a simplification of the general model. The Company applies the PAA to the measurement of non-life insurance contracts with a coverage period of each contract in the group of one year or less.

Contracts with coverage period above one year which are not immediately eligible for the PAA, will be subjected to a PAA eligibility by assessing the expected LRC cashflows under both the PAA and General Model approaches. However, there is no material difference in the measurement of the liability for remaining coverage between PAA and the general model, therefore, these qualify for PAA.

On initial recognition, the company measures the carrying amount of the Liability for remaining coverage for insurance contracts held as the premiums received - Gross Written premium

At subsequent measurement, the LRC is effectively the unearned premium reserve (UPR) under IFRS 4 less the deferred acquisition costs (DAC). Unlike IFRS 4, DAC will not be presented as an asset under IFRS17. It is instead reflected in the overall insurance contract liability for remaining coverage, without being identified as a separate component in the statement of financial position.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

Premium Allocation Approach (PAA)

Premium Experience Adjustment: Where premium experience adjustments relate to current/ past service and are treated at the end of the period, this will be immediately recognized in the P&L as insurance revenue.

Insurance acquisition cash flows

IFRS 17 defines insurance acquisition cash flows as cash flows arising from the costs of selling, underwriting and starting a group of insurance contracts that are directly attributable to the portfolio of insurance contracts to which the group belongs. These include direct and indirect costs incurred in originating insurance contracts, including cashflows related to unsuccessful efforts to obtain new business.

Under the PAA, an entity can choose to immediately expense insurance acquisition cash flows in the P&L when incurred if and only if each insurance contract in a group has a coverage period of one year or less. The company has opted not to expense acquisition cash flows immediately when incurred. Alternatively, an entity can recognize insurance acquisition cash flows in the measurement of liability for remaining coverage (LRC) and amortize insurance acquisition cash flows in the P&L (systematically - in line with earning pattern of premium revenue OR passage of time, with the former being the method adopted by the Company).

The exiting IFRS 4 approach is to recognize a separate deferred acquisition cost (DAC) assets for costs associated with writing new insurance contracts (e.g., commissions paid to brokers). Under IFRS 17, if acquisition costs are paid before the related insurance groups are recognized, an entity shall recognize an asset. These assets are derecognized when the group of insurance contracts are recognized. If insurance acquisition cash flows are expected to be paid after the related group is recognized, then they are included as part of the measurement of insurance contracts (LRC).

IFRS 17 allows for the deferral of acquisition costs to smooth out the recognition of profits. Paid acquisition costs are an asset that is amortized (or derecognized) when they are included in the measurement of the related group of insurance contracts. Company has chosen to defer all insurance acquisition cash flows and recognize them over the coverage period of contracts or groups they are attributed to. Therefore, acquisition costs and related revenue are recognized over the same periods and in the same pattern, based on the passage of time.

It must be noted that IFRS 17 requires allocation to future renewals if the acquisition cashflows are judged to support future renewals. Also, the expensing acquisition costs policy choice only applies for contracts with coverage period one year or less.

For contracts measured under PAA in the Company, insurance acquisition costs comprise of costs:

- that are directly attributable to individual contracts or groups of contracts in a portfolio that are not directly attributable to individual contracts but, directly attributable to the portfolio of insurance contracts to which the group belongs; with the costs being allocated to groups on a systematic and rationale method e.g., Activity- Based Costing method or based on GWP proportions or claims cost etc.

Onerous contracts

The Company considers an insurance contract to be onerous if the expected fulfilment cash flows allocated to the contract, any previously recognized acquisition cash flows and any cash flows arising from the contract at the date of initial recognition in total result in a net cash outflow.

On initial recognition, the onerous assessment is done on an individual contract level assessing future expected cash flows on a probability-weighted basis including a risk adjustment for non-financial risk. Contracts expected on initial recognition to be loss-making are grouped together and such groups are measured and presented separately. Once contracts are allocated to a group, they are not re-allocated to another group, unless they are substantively modified.

On initial recognition, the CSM of the group of onerous contracts is nil and the group's measurement consist entirely of fulfilment cash flows. A net outflow expected from a group of contracts determined to be onerous is considered to be the group's 'loss component'. It is initially calculated when the group is first considered to be onerous and is recognized at that date in profit or loss. The amount of the group's loss component is tracked for the purposes of presentation and subsequent measurement.

After the loss component is recognized, the Company allocates any subsequent changes in fulfilment cash flows of the LRC on a systematic basis between the loss component and the LRC excluding the loss component. For groups of onerous contracts, without direct participating features, the Company uses locked-in discount rates. They are determined at initial recognition to calculate the changes in the estimate of future cash flows relating to future service (both changes in a loss component and reversals of a loss component).

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

Insurance acquisition cash flows - continued

For all issued contracts, other than those accounted for applying the PAA, the subsequent changes in the fulfilment cash flows of the LRC to be allocated are:

- Insurance finance income or expense
- Changes in risk adjustment for non-financial risk recognized in profit or loss representing release from risk in the period.
- Estimates of the present value of future cash flows for claims and expenses released from the LRC because of incurred insurance service expenses in the period.

The Company determines the systematic allocation of insurance service expenses incurred based on the percentage of loss component to the total fulfilment cash outflows included in the LRC, including the risk adjustment for non- financial risk, excluding any investment component amount.

For contracts that are measured under PAA, the assumption is that there are no onerous contracts at initial recognition, unless facts and circumstances indicate otherwise. If the measurement of the LIC results in a loss-making group, this does not translate to the LRC being onerous. In this case, the group will be assessed as to whether its LRC will be similar to the incurred experience and hence considered to be onerous. For example, actions taken to improve profitability on the fire portfolio which has been historically loss-making may indicate that the LRC will have a different loss experience.

If facts and circumstances indicate that a group of contracts is onerous during the coverage period, the onerous liability is calculated as the difference between:

-the carrying amount of the liability for remaining coverage; and

- the FCF that relates to remaining coverage similar to what is needed under the GMM. This difference is recognized as a loss and shall increase the liability for remaining coverage.

I. **Measurement of Reinsurance contracts issued.**

1 **Recognition**

Proportional reinsurance contracts held will be first recognized on the later of the beginning of the coverage period of the reinsurance contract or the date that the first underlying insurance contract in the treaty is initially recognized.

Non-Proportionate reinsurance coverage is recognized at the beginning of the coverage period of the contract.

2 **Reinsurance contracts held measured under the PAA.**

All reinsurance contracts with contract boundaries not exceeding one year are automatically considered to meet PAA eligibility. Most of the company's Surplus reinsurance contracts are immediately eligible for PAA as they are written on a clean-cut basis. At the end of the period, the reinsurer withdraws from the contract and the reinsurance held portfolio (including outstanding recoveries and ceded portion of unexpired premiums) is transferred to a new reinsurer.

A smaller number of surplus reinsurance contracts and all Facultative contracts are written on an underwriting year basis. This basis extends the contract boundary beyond one year as coverage of contracts ceded to the treaty may continue even after the underwriting year has ended.

For example, if an insurance contract incepted in May 2022 and cedes to the Marine Hull Surplus reinsurance treaty (which incepted 1 January 2022); the contract boundary extends till May 2023 when the insurance contract will expire. So, the contract boundary for the reinsurance contract is beyond one year i.e., 1 Jan 2022 – May 2023.

Where the reinsurance contracts held covers a group of onerous underlying insurance contracts, the Company adjusts the carrying amount of the asset for remaining coverage and recognizes a gain when, in the same period, it reports a loss on initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The recognition of this gain results in the recognition for the loss recovery component of the asset for the remaining coverage of a group of reinsurance contracts held.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

J. **Modification and Derecognition**

The Company derecognizes the original contract and recognizes the modified contract as a new contract, if the terms of insurance contracts are modified and the following conditions are met:

- If the modified terms were included at contract inception and the Group would have concluded that the modified contract:
  - Is outside of the scope of
  - Results in a different insurance contract due to separating components from the host contract
  - Results in a substantially different contract
  - Would be included in a different group of contracts.
- The original contract met the definition of an insurance contract with direct participating features, but the modified contract no longer meets the definition.
- The original contract was accounted for applying the PAA, but the modified contract no longer meets the PAA eligibility criteria for that approach.

longer meets the PAA eligibility criteria for that approach.

When the Company derecognizes an insurance contract due to modification, it derecognizes the original insurance contract and recognizes a new one. The Company adjusts the CSM of the Company from which the modified contract has been derecognized for the difference between the change in the carrying amount of the Company as a result of adjustment to fulfilment cash flows due to derecognition and the premium the Company would have charged had it entered into a contract with equivalent terms as the new contract at the date of the contract modification, less any additional premium actually charged for the modification.

K. **Presentation**

The Company has presented separately in the company's statement of financial position the carrying amount of portfolios of insurance contracts that are assets and those that are liabilities, and the portfolios of reinsurance contracts held that are assets and those that are liabilities.

The Company disaggregates the amounts recognized in the consolidated and separate statement of profit or loss and other comprehensive income into an insurance service result sub-total that comprises insurance revenue and insurance service expenses and, separately from the insurance service result, the insurance finance income or expenses' sub-total. The company has voluntarily included the net insurance finance income or expenses line in another sub- total: net insurance and investment result, which also includes the income from all the assets backing the Company's insurance liabilities.

The Company includes any assets for insurance acquisition cash flows recognized before the corresponding groups of insurance contracts are recognized in the carrying amount of the related portfolios of insurance contracts issued.

1 **Insurance Revenue**

As the Company provides insurance services under a group of insurance contracts issued, it reduces its LRC and recognizes insurance revenue, which is measured at the amount of consideration the Company expects to be entitled to in exchange for those services.

For groups of insurance contracts measured under the General Model, insurance revenue consists of the sum of the changes in the LRC due to:

- The insurance service expenses incurred in the period measured at the amounts expected at the beginning of the period, excluding:

o Amounts allocated to the loss component.
o Repayments of investment components, if any.
o Amounts that relate to transaction-based taxes collected on behalf of third parties.
o Insurance acquisition expenses.
o Amounts relating to risk adjustment for non-financial risk.

- The change in the risk adjustment for non-financial risk, excluding:

o Changes that relate to future service that adjust the CSM.
o Amounts allocated to the loss component.

- Other amounts, such as experience adjustments for premium receipts that relate to current or past service, if any Insurance revenue also includes the portion of premiums that relate to recovering those insurance acquisition cash flows included in the insurance service expenses in each period.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - CONTINUED

1 **Insurance Revenue - continued**

Both amounts are measured in a systematic way on the basis of the passage of time. The company applies PAA in determine its insurance revenue. When applying the PAA, the Company recognizes insurance revenue for the period based on the passage of time by allocating expected premium receipts including premium experience adjustments to each period of service.

At the end of each reporting period, the Company considers whether there was a change in facts and circumstances indicating a need to change, on a prospective basis, the premium receipt allocation due to changes in the expected pattern of claim occurrence.

2 **Insurance service expenses**

Insurance service expenses arising from a group of insurance contracts issued comprises:

- Incurred claims
- Changes in the LIC related to claims and expenses incurred in the period excluding repayment of investment components. (if any)
- Changes in the LIC related to claims and expenses incurred in prior periods (related to past service)
- Other directly attributable insurance service expenses incurred in the period. The company has adopted a policy of allocating average of 40% of some specific expense items to insurance service expense. The specific expense items include technical staff, business development, customer care staff salaries, marketing & advertising expenses. All other costs are allocated to operational /administrative expenses
- Amortization of insurance acquisition cash flows, is recognized at the same amount in both insurance service expense and insurance contract revenue for products measured using the GMM Model
- Loss component of onerous groups of contracts initially recognized in the period.

3 **Income or expenses from reinsurance contracts held.**

The Company presents income or expenses from a group of reinsurance contracts held and reinsurance finance income or expenses in profit or loss for the period separately. Income or expenses from reinsurance contracts held are split into the following two amounts:

- Amount recovered from reinsurers.
- An allocation of the premiums paid.

The Company presents cash flows that are contingent on claims as part of the amount recovered from reinsurers. Ceding commissions that are not contingent on claims of the underlying contracts are presented as a deduction in the premiums to be paid to the reinsurer which is then allocated to profit or loss.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 **Summary of material accounting policies - continued**

2.2 **Insurance contracts - continued**

3 **Income or expenses from reinsurance contracts held - cotinued**

The Company establishes a loss recovery component of the asset for the remaining coverage for a group of reinsurance contracts held. This depicts the recovery of losses recognized on the initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The loss recovery component adjusts the CSM of the group of reinsurance contracts held. The reinsurance contracts held. This depicts the recovery of losses recognized on the initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The loss recovery component adjusts the CSM of the group of reinsurance contracts held.

- Changes in the fulfilment cash flows of the underlying insurance contracts that relate to future service and do not adjust the CSM of the respective groups to which the underlying insurance contracts belong to.
- Reversals of loss recovery component to the extent those reversals are not changes in the fulfilment cash flows of the group of reinsurance contracts held.
- Allocations of the loss recovery component against the amounts recovered from reinsurers reported in line with the associated reinsured incurred claims or expenses.

4 **Insurance finance income and expenses**

Insurance finance income or expenses present the effect of the time value of money and the change in the time value of money, together with the effect of financial risk and changes in financial risk of a group of insurance contracts and a group of reinsurance contracts held.

The use of OCI presentation for insurance finance income and expenses

The Company has an accounting policy choice to present all the period's insurance finance income or expenses in profit or loss or to split the amount between profit or loss and other comprehensive income (OCI). When considering the choice of presentation of insurance finance income or expenses, the company examines the assets held for that portfolio and how they are accounted for.

Currently the Company present all the period's insurance finance income or expenses in the profit or loss.

The Company does not write participating contracts and does need to reassess its accounting policy choice in respect of such policies. Comparatives are not restated.

When applying the PAA, the Company does not discount the liability for remaining coverage to reflect the time value of money and financial risk for its non-life policies with a coverage period of one year or less. For those claims that the Company expects to be paid within one year or less from the date of incurrence, the Company does not adjust future cash flows for the time value of money and the effects of financial risks. However, claims expected to take more than one year to settle are discounted applying the discount rate at the time the incurred claim is initially recognized.

2.3 **Foreign currencies**

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the group operates or transact business), which is Nigerian Naira. Transactions in foreign currencies during the year are converted into the functional currency using the exchange rate prevailing at the transaction date.

Monetary assets and liabilities at the statement of financial position date denominated in foreign currencies are translated into the functional currency using the exchange rate prevailing as at that date. The resulting foreign exchange gains and losses from the settlement of such transactions and from year-end translation are recognised on a net basis profit or loss in the year in which they arise, except for difference arising on translation of non-monetary available-for-sale financial assets, which are recognised in other comprehensive income.

2.3 **Cash and cash equivalents**

Cash and cash equivalents comprise cash on hand and demand deposits, together with other short-term, highly liquid investments that are readily convertible into known amounts of cash and which are subject to an insignificant risk of changes in value. Cash equivalents have a maturity period of less than or equal to three months.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 Summary of material accounting policies - continued

2.3 Financial instruments

a. **Initial recognition and measurement**

Financial instruments are recognised initially when the group becomes a party to the contractual provisions of the instrument.

All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss where transaction cost is expensed in profit or loss.

The group classifies financial instruments or their components parts, on initial recognition as a financial asset, a financial liability, or an equity instrument in accordance with the substance of the contractual agreement. Classification depends on the purpose for which the financial instruments were obtained or incurred and takes place at initial recognition.

Regular-way purchases and sales of financial assets are recognised on settlement date which is the date on which the group commits to purchase or sell the asset. Financial instruments are initially measured at fair value plus transaction costs for all financial assets not carried at fair value through profit and loss. These transaction costs are expensed in profit or loss.

b. **Measurement and recognition of expected credit losses**

"The measurement of expected credit losses is a function of the probability of default, loss given default (i.e., the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information as described above. As for the exposure at default, for financial assets, this shall be an estimate of the exposure at a future default date; for financial guarantee contracts, the exposure includes the amount drawn down as at the reporting date, together with any additional amounts expected to be drawn down in the future by default date determined based on historical trend, the group's understanding of the specific future financing needs of the debtors, and other relevant forward-looking information.

If the group has measured the loss allowance for a financial instrument at an amount equal to lifetime ECL in the previous reporting period, but determines at the current reporting date that the conditions for lifetime ECL are no longer met, the group measures the loss allowance at an amount equal to 12-month ECL at the current reporting date, except for assets for which simplified approach was used.

The group recognises an impairment gain or loss in profit or loss for all financial instruments with a corresponding adjustment to their carrying amount through a loss allowance account, except for investments in debt instruments that are measured at FVTOCI, for which the loss allowance is recognised in other comprehensive income and accumulated in the investment revaluation reserve and does not reduce the carrying amount of the financial asset in the statement of financial position.

c. **Derecognition of financial instruments**

Previously recognised financial assets are derecognised when either the contractual rights to receive the cash flows from these assets have ceased to exist or the assets expire or the group transfers the assets such that the transfer qualifies for derecognition. The decision as to whether a transfer qualifies for derecognition is made by applying a combination of risks, rewards and control tests.

Financial assets that are transferred to a third party but do not qualify for derecognition are presented in the statement of financial position as pledged assets, if the transferee has the right to sell or repledge them.

Derecognition of a financial liability occurs only when the obligation is extinguished. A financial liability is said to be extinguished when the obligation is discharged, cancelled or expired.

d. **Offsetting financial instruments**

Financial assets and liabilities are offset and the net amount reported in the consolidated and separate statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

e. **Financial assets**

a) Classification and subsequent measurement

For the purpose of measuring a financial asset after initial recognition, IFRS 9 classifies financial assets into the following categories: at fair value through profit or loss; at fair value through other comprehensive income and at amortised cost. The classification is based on the results of the group's business model test and the contractual cashflow characteristics of the financial assets. The category relevant to the group as at 31 December 2024 are fair value through profit or loss; at fair value through other comprehensive income and at amortised cost. At initial recognition all assets are measured at Fair Value.

i) Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are financial assets held for trading and those designated by the group as at fair value through profit or loss upon initial recognition. Financial assets classified as held through profit or loss are those that have been acquired principally for the purpose of selling in the short term or repurchasing in the near term, or held as part of a portfolio that is managed together for short-term profit.

Financial instruments included in this category are recognised initially at fair value; transaction costs are taken directly to profit or loss. Gains and losses arising from changes in fair value are included directly in profit or loss and are reported as 'Net fair value gains on financial assets at fair value through profit or loss'. Interest income and expense and dividend income on financial assets held for trading are included in 'Other investment income', respectively. Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in 'Net gains from financial assets held for trading'.

ii) Amortised Cost

"Except for financial assets that are designated at initial recognition as at fair value through profit or loss a financial asset is measured at amortised cost only if both of the following conditions are met:

a. the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows (the business model test) and

b. the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (the contractual cash flows characteristics test).

If a financial asset satisfies both of these conditions, it is required to be measured at amortised cost unless it is designated as at fair value through profit or loss (FVTPL) on initial recognition"

iii) Fair Value through other comprehensive income (FVTOCI)

"Except for financial assets that are designated at initial recognition as at fair value through profit or loss, a financial asset is measured at fair value through other comprehensive income (FVTOCI) if both of the following conditions are met:

a. the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets (the business model test); and

b. the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (the contractual cash flows characteristics test). "

b) Impairment of financial assets

The impairment model under IFRS 9 reflects expected credit losses, as opposed to incurred credit losses under IAS 39. Under the impairment approach in IFRS 9, it is no longer necessary for a credit event to have occurred before credit losses are recognised. Instead, a group always accounts for expected credit losses and changes in those expected credit losses. The amount of expected credit losses should be updated at each reporting date to reflect changes in credit risk since initial recognition.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 Summary of material accounting policies - continued

2.3 Financial instruments - continued

"The group recognizes loss allowances for Expected Credit Losses (ECL) on the following financial instruments that are not measured at FVTPL:

The group has recognized ECL for its debt instruments at amortised cost, cash and cash equivalents, premium receivables and other receivables. The group measures expected credit losses and recognizes interest income on risk assets based on the following stages:"

"Stage 1: Assets that are performing. If credit risk is low as of the reporting date or the credit risk has not increased significantly since initial recognition, the group recognize a loss allowance at an amount equal to 12-month expected credit losses. This amount of credit losses is intended to represent lifetime expected credit losses that will result if a default occurs in the 12 months after the reporting date, weighted by the probability of that default occurring.

Stage 2: Assets that have significant increases in credit risk. In instances where credit risk has increased significantly since initial recognition, the group measures a loss allowance at an amount equal to full lifetime expected credit losses. That is, the expected credit losses that result from all possible default events over the life of the financial instrument. For these debt instruments, interest income recognition will be based on the EIR multiplied by the gross carrying amount.

Stage 3: Credit impaired. For debt instruments that have both a significant increase in credit risk plus observable evidence of impairment.

"The group's process to assess changes in credit risk is multi-factor and has three main elements;

I. Quantitative element, a quantitative comparison of PD at the reporting date and PD at initial recognition
II. Qualitative elements
III. Backstop indicators

For individually significant exposures such as corporate and commercial risk assets, the assessment is driven by the internal credit rating of the exposure and a combination of forward-looking information that is specific to the individual borrower and forward-looking information on the macro economy, commercial sector (to the extent such information has not been already reflected in the rating process).

For other exposures, significant increases in credit risk are made on a collective basis that incorporates all relevant credit information, including forward-looking macroeconomic information. For this purpose, the group groups its exposures on the basis of shared credit risk characteristics."

Significant increase in credit risk: "The group decision on whether expected credit losses are based on 12-month expected credit losses or lifetime expected credit losses depends on whether there has been a significant increase in credit risk since initial recognition. An assessment of whether credit risk has increased significantly is made at each reporting date. When making the assessment, the group uses the change in the risk of a default occurring over the expected life of the financial instrument instead of the change in the amount of expected credit losses. This forms the basis of stage 1, 2 and 3 classification and subsequent migration.

The group applies qualitative and quantitative criteria for stage classification and for its forward and backward migration.

i) Assets carried at amortised cost

The amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in profit or loss. If a financial instrument has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from disposal less costs for obtaining and selling the collateral, whether or not disposal is probable.

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (i.e., on the basis of the group's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 Summary of material accounting policies - continued

2.3 Financial instruments - continued

Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not currently exist.

Estimates of changes in future cash flows for groups of assets are reflected and directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes in the probability of losses in the group and their magnitude). The methodology and assumptions used for estimating future cash flows are reviewed regularly by the group to reduce any differences between loss estimates and actual loss experience.

When a loan is uncollectible, it is written off against the related allowance for loan impairment. Such loans are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Impairment charges relating to loans and advances to staff are classified in 'impairment charge for credit losses' whilst impairment charges relating to investment securities (loans and receivables categories) are classified in 'Net gains/(losses) on investment securities'.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the previously recognised impairment loss is reversed by adjusting the allowance account. The amount of the reversal is recognised in profit or loss.

ii) Assets classified as fair value through other comprehensive income: The group can choose to make an irrevocable election at initial recognition for investments in equity instruments that do not meet the definition of held for trading, which would otherwise be measured at fair value through profit or loss, to present changes in fair value in other comprehensive income.

Reclassification of amounts recognised in other comprehensive income and accumulated in equity to profit or loss is not done. This applies throughout the life of the instrument and also at derecognition; such investments will not be subject to the impairment requirements.

Dividends on investments in equity instruments with gains and losses irrevocably presented in other comprehensive income are recognised in profit or loss if the dividend is not a return on investment (like dividends on any other holdings of equity instrument) when:

a. the group's right to receive payment of the dividend is established;
b. it is probable that the economic benefits associated with the dividend will flow to the group; and
c. the amount of the dividend can be measured reliably.

or debt instruments measured at FVTOCI, changes in fair value are recognised in other comprehensive income, except for: interest calculated using the effective interest rate method, foreign exchange gains or losses and; impairment gains or losses until the financial asset is derecognised or reclassified.

When the financial asset is derecognised, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment. Also, when a debt instrument asset is measured at fair value through other comprehensive income, the amounts that are recognised in profit or loss are the same as the amounts that would have been recognised in profit or loss if the financial asset had been measured at amortised cost."

c) Reclassification of financial assets: Reclassification of financial assets is determined by the group's senior management, and is done as a result of external or internal changes which are significant to the group's operations and demonstrable to external parties.

Reclassification of financial assets occurs when the group changes its business model for managing financial assets.

Investments in equity instruments that are designated as at FVTOCI at initial recognition cannot be reclassified because the election to designate as at FVTOCI is irrevocable."

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

Financial liabilities

Classification and subsequent measurement

The Company's holding in financial liabilities represents mainly Insurance Contract Liabilities, '' and 'other liabilities'. These are all classified as financial liabilities measured at amortised cost. These financial liabilities are initially recognised at fair value and subsequently measured at amortised cost. Any difference between the proceeds net of transaction costs and the redemption value is recognised in Profit or loss over the period of the borrowing using the effective interest rate method.

Fees paid on the establishment of the liabilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw down occurs. To the extent that there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalized as a pre-payment for liquidity services and amortised over the period of the facility to which it relates. The classification of the Group's financial instruments has been summarised in the table below:

Category		**Classes as determined by The Group**		**Subclasses**
Financial assets	Financial assets at fair value through profit or loss	Listed Securities		Quoted Equities
	Amortized cost	Cash and bank balances with Central Bank of Nigeria		Cash
				Statutory deposit with CBN
				Current account balances
				Placements
		Loans and advances		
		Investment securities	Listed debt	Corporate bonds Government bonds FGN treasury Bills
		Other assets		Fees receivable Related Party receivable Other receivables
	Fair value through other comprehensive income	Listed securities		Quoted Equities
				Unquoted Equities
		Unlisted securities		
Financial liabilities	Financial liabilities at amortised cost	Insurance contract liabilities		
		Other technical liabilities		Commission payable
				Co-insurance premium payable
		Other liabilities		Accruals
				Payables

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 **Summary of material accounting policies - continued**

2.3 **Financial instruments – continued**

Measurement

All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss where transaction cost is expensed in the profit or loss.

Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date

At initial recognition, the best evidence of the fair value of a financial instrument is the transaction price (i.e. the fair value of the consideration paid or received), unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, without modification or repackaging, or based on valuation techniques such as discounted cash flow models and option pricing models whose variables include only data from observable markets.

Subsequent to initial recognition, for financial instruments traded in active markets, the determination of fair values of financial assets and financial liabilities is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges (for example, Nigerian Stock Exchange (NSE) and Financial Markets Dealers Quotation (FMDQ)).

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry company, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the market is regarded as being inactive. Indications that a market is inactive are when there is a wide bid-offer spread or significant increase in the bid-offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. In these techniques, fair values are estimated from observable data in respect of similar financial instruments, using models to estimate the present value of expected future cash flows or other valuation techniques, using inputs existing at the dates of the statement of financial position.

Forward-Looking Information

In the context of IFRS 9, is an enhanced information set that includes credit information pertaining to future developments (including for example macroeconomic developments). The inclusion of forward-looking information along with traditional past due (realized, historical) information is considered to produce comprehensive credit risk information.

The inclusion of forward-looking information is a distinctive feature of an IFRS 9 ECL model. Incorporating economically stressed states of the world and their potential impact on credit performance is critical for the timely recognition of credit losses." The forward looking information adopted in the computation of ECL are Gross Domestic Product and Inflation rate.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2.4 **Segment reporting**

A segment is a distinguishable component of the group that is engaged either in providing related products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segment.

An operating segment is a component of an entity:

- That engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity).
- Whose operating results are regularly reviewed by the entity's chief operating decision maker to make decision about resources to be allocated to the segment and assess its performance of the same entity)
- For which discrete financial information is available.

An operating segment may engage in business activities for which it has yet to earn revenues for example startup operations may be operating segments before earning revenues.

The company group operates insurance and pension lines of business and entirely within a geographical region.

2.5 **Premium receivables**

Premium receivables are recognized when due. They premium receivables arising from insurance contracts issued and include amounts due from agents, brokers and insurance contract holders. Premium receivables are those for which credit notes issued by brokers are within 30days, in conformity with the "NO PREMIUM NO COVER" NAICOM policy.

2.6 **Reinsurance**

The Company cedes business to reinsurers in the normal course of business for the purpose of limiting its net loss potential through the transfer of risks on the bases of treaty and facultative agreements. Premium ceded comprise gross written premiums. Reinsurance arrangements do not relieve the Company from its direct obligations to its policyholders. In the course of ceding out business to reinsurers, the Company incurs expenses. This is recognized as reinsurance expense in the statement of profit or loss.

2.6.1 **Reinsurance assets**

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

2.6.2 Reinsurance Liabilities

Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognised as an expense when due. The company has the right to set-off re-insurance payables against amount due from re-insurance and brokers in line with the agreed arrangement between both parties.

2.7 **Prepayment**

Prepayments include amounts paid in advance by the Group on rent, staff benefits, vehicle repairs etc. Expenses paid in advance are amortized on a straight line basis to the profit and loss account.

2.8 **Consolidation**

2.8.1 **Subsidiaries**

The financial statements of subsidiaries are consolidated from the date the company acquires control, up to the date that such effective control ceases. For the purpose of these financial statements, subsidiaries are entities over which the company, directly or indirectly, has the power to govern the financial and operating policies so as to obtain benefits from their activities.

Changes in the company's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions (transactions with owners). Any difference between the amount by which the non-controlling interest is adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the company.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2.8 Consolidation

2.8.1 Subsidiaries

Inter-company transactions, balances and unrealised gains on transactions between companies within the company are eliminated on consolidation. Unrealised losses are also eliminated in the same manner as unrealised gains, but only to the extent that there is no evidence of impairment.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the company. Investment in subsidiaries in the separate financial statements of the parent entity is measured at cost.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, fair value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date through profit or loss.

Disposal of Subsidiaries

On loss of control, the company derecognizes the assets and liabilities of the subsidiary, any controlling interest and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss. If the company retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, that retained interest is accounted for as equity accounted investee or as an available-for-sale financial asset depending on the level of influence retained.

2.8.2 Investment in Associates

An associate is an entity over which the company has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with IFRS 5 - Noncurrent Asset Held for Sale and Discontinued Operations. Under the equity method, an investment in an associate is initially recognised in the consolidated statement of financial position at cost and adjusted thereafter to recognize the company's share of the profit or loss and other comprehensive income of the associate. when the company's share of losses of an associate exceeds the company's interest in that associate (which includes any long-term interest that, in substance, form part of the company's net investment in the associate), the company discontinues recognizing its share of further losses. Additional losses are recognised only to the extent that the company has incurred legal or constructive obligations or made payments on behalf of the associate.

Any excess of the cost of acquisition over the company's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of an associate recognised at the date of acquisition is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the company's share of the net fair value of the identifiable assets, liabilities and contingent liabilities over the cost of acquisition, after reassessment, is recognised immediately in profit or loss.

The requirements of IAS 36 are applied to determine whether it is necessary to recognize any impairment loss with respect to the company's investment in an associate. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 Impairment of Assets as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs to sell) with its carrying amount. Any impairment loss recgnised forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases.

When a company entity transacts with its associate, profits and losses resulting from the transactions with the associate are recognised in the company's consolidated financial statements only to the extent of interests in the associate that are not related to the company.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2.9 **Investment Properties**

Investment property is property held on earn rentals or for capital appreciation or both. Investment property includes leasehold land and building, is initially recognised at cost including the transaction costs. Subsequently, investment property is carried at fair value representing the open market value at the statement of financial position date determined by annual valuation carried out by external registered valuers. gains or losses arising from changes in the fair value are included in determining the profit or loss for the year to which they relate.

Investment properties are derecognized when either they have been disposed off or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. On disposal of an investment property, the difference between the disposal proceeds and the carrying amount is charged or credited to profit or loss.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property, the company accounts for such property in accordance with the policy stated under property and equipment up to the date of the change in use.

When the company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the profit or loss.

2.10' **Intangible Assets**

Computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortization and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the company are recognised as intangible assets.

Amortization is calculated using the straight line method to write down the cost of each item of software to its residual value over its estimated useful life.

Amortization begins when the asset is available for use, i.e., when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, even when idle. Amortization ceases at the earlier date that the asset is classified as held for sale and the date that the asset is derecognized and ceases temporarily, while the residual value exceeds or is equal to the carrying value.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit orloss when the asset it derecognized.

Intangibles recognised as assets are amortized over their useful lives, which does not exceed five years.

2.11' **Goodwill**

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any. For the purposes of impairment testing, goodwill is allocated to each of the company's cash generating units (or group of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each in the unit.

Any impairment loss for goodwill is recognised directly in profit or loss in the consolidated (statement of comprehensive income/profit or loss). An impairment loss recognised for goodwill is not reversed in subsequent periods. On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2.12' **Property and Equipment**

a. Recognition and measurement

All categories of property and equipment are initially recognized at cost less accumulated depreciation and impairment losses. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system that is an integral part of the related hardware is capitalized as part of the computer equipment"

Work in progress owner-occupied property that are included in property and equipment are stated at cost to date and are not yet componentised as the asset has not been put into use.

b. Subsequent cost

Subsequent cost is included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the profit or loss in the year in which they are incurred.

Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the profit or loss.

c. Depreciation

Depreciation is calculated using the straight line method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates:"

Leasehold land	0%
Buildings	2%
Office Furniture & Fittings	20%
Office Computer Equipment	20%
Motor Vehicles	25%

Leasehold land is not depreciated. Depreciation on an item of property and equipment commences when it is available for use and continues to depreciate until it is derecognized, even if during that period the item is idle. Depreciation of an item ceases when the item is retired from active use and is being held for disposal. Items of Work in progress are not depreciated.

Where no parts of items of property and equipment have a cost that is significant in relation to the total cost of the item, the same rate of depreciation is applied to the whole item.

The assets' residual values, depreciation method and useful lives are reviewed, and adjusted if appropriate, at each statement of financial position date.

d. Revaluation of land and building.

land and building initially recorded at cost are subsequently carried at revalued amount being the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Revaluations are made with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period.

When land and building are revalued, any increase in it carrying amount (as a result of revaluation) is transferred to a Asset revaluation reserve, except to the extent that it reverses a revaluation decrease of the same property previously recognised as an expense in the of profit or loss. When the value of a land or building is decreased as a result of a revaluation, the decrease is charged against any related credit balance in the revaluation reserve in respect of that land or building. However, to the extent that it exceeds any surplus, it is recognised as an expense in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

d. Revaluation of land and building - contiued

When revalued land and building are being depreciated, part of the surplus is being realized as the asset is used. The amount of the surplus realized is the difference between the depreciation charged on the revalued amount and the lower depreciation which would be charged to revaluation reserve and accumulated losses but not through profit or loss. The revaluation of land and building is carried out every year.

e. Derecognition

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on disposal of property and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

2.13 **Statutory Deposits**

Statutory Deposit represents 10% of the minimum paid up capital of the Company deposited with the Central Bank of Nigeria (CBN) pursuant the Nigerian Insurance Industry Reform Act (NIIRA) 2005.

Statutory deposit is measured at cost.

2.14 **Insurance Contract Liabilities**

Contract that are classified as insurance contracts are those under which the company underwrites significant insurance risk from another party (the broker or insured) by agreeing to compensate the insured or other beneficiary if a fortuitous random event (the insured event) adversely affects the policyholder or other beneficiary.

2.14.1 **Types of Insurance Contracts**

Insurance contract may be non-life or life. The company issues only non-life insurance contracts. Non-life insurance contracts are motor, general accident, marine, fire bond, oil & gas, engineering and agriculture contracts.

Accident and casualty insurance contracts protect the company's customers against the risk of causing harm to third parties as result of their legitimate activities. Damages covered include both contractual and non-contractual events. The typical protection offered is designed for employers who become legally liable to pay compensation to injured employees (employers' liability) and for individual and business customers who become liable to pay compensation to a third party for bodily harm or property damage (public liability).

Property insurance contracts mainly compensate the company's customers for damage suffered to their properties or for the value of property lost. Customers who undertake commercial activities on their premises could also receive compensation for the loss of earnings caused by the inability to use the insured properties in their business activities (business interruption cover).

Non-life insurance contracts protect the company's customers from the consequences of events (such as death or disability) that would affect the ability of the customer or his/her dependents to maintain their current level of income. Guaranteed benefits paid on occurrence of the specified insurance event are either fixed or linked to the extent of the economic loss suffered by the policy holder. There is no maturity or surrender benefits.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 Summary of material accounting policies - continued

2.14.2 Recognition and measurement of non-life insurance contracts

a. For all non-life insurance contract, premiums are recognised as revenue (earned premiums) proportionally over the period of coverage. The portion of premium received on in-force contracts that relates to unexpired risks at the reporting date is reported as the unearned premium liability. Premiums are shown before deduction of commission.

Claims and loss adjustment expenses are charged to income as incurred based on the estimated liability for compensation owed to contract holders or third parties damaged by the contract holders. They include direct and indirect claims settlement costs and arise from events that have occurred up to the end of the reporting period even if they have not yet been reported to the company. The company does not discount its liabilities for unpaid claims.

Liabilities for unpaid claims are estimated using the input of assessments for individual cases reported to the company and statistical analyses for the claims incurred but not reported, and to estimate the expected ultimate cost of more complex claims that may be affected by external factors (such as court decisions).

b. **Salvages**

Some non-life insurance contracts permit the company to sell (usually damaged) property acquired in the process of settling a claim. The company may also have the right to pursue third parties for payment of some or all costs of damages to its client's property (i.e., subrogation right).

Salvage recoveries are used to reduce the claim expense when the claim is settled.

c. **Subrogation**

Subrogation is the right for an insurer to pursue a third party that caused an insurance loss to the insured. This is done as a means of recovering the amount of the claim paid to the insured for the loss. A receivable for subrogation is recognized in other assets when the liability is settled and the company has the right to receive future cash flow from the third party.

d. **Deferred Income**

Deferred Income represents a proportion of commission received on reinsurance contracts which are booked during a financial year and are deferred to the extent that they are recoverable out of future revenue margins. It is calculated by applying to the reinsurance commission income the ratio of prepaid reinsurance to reinsurance cost.

e. **Reinsurance Contracts held**

Contracts entered into by the company with reinsurers under which the company is compensated for losses on one or more contracts issued by the company and that meet the classification requirements for insurance contracts are classified as reinsurance contracts held. Contracts that do not meet these classification requirements are classified as financial assets. Insurance contracts entered into by the company under which the contract holder is another insurer (inwards reinsurance) are included with insurance contracts.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 **Summary of material accounting policies - continued**

2.14.2 **Recognition and measurement of non-life insurance contracts – continued**

f. **Technical Reserves**

These are computed in accordance with the provisions of theNigerian Insurance Industry Reform Act (NIIRA) 2005

* Reserve for unearned premium: In compliance with the Nigerian Insurance Industry Reform Act (NIIRA) 2005, the reserve for unearned premium is calculated on a time apportionment basis in respect of the risks accepted during the year.
* Reserve for outstanding claims: The reserve for outstanding claims is maintained ta the total amount of outstanding claims incurred and reported plus claims incurred but not reported ("IBNR") as at the reporting date. The IBNR is based on the liability adequacy test.

g. **Liability Adequacy Test**

At each end of the reporting period, liability adequacy tests are performed by an Actuary to ensure the adequacy of the contract liabilities net of related DAC assets. In performing these tests, current best estimates of future contractual cash flows and claims handling and administration expenses, as well as investment income from the assets backing such liabilities, are used. Any deficiency is immediately charged to profit or loss initially by writing off DAC and by subsequently establishing a provision for losses arising from liability adequacy tests "the unexpired risk provision".

The provisions of the Nigerian Insurance Industry Reform Act (NIIRA) 2025 require an actuarial valuation for insurance reserves.

2.15 **Other Technical Liabilities**

Other technical liabilities are recognised initially at fair value and subsequently measured at amortized cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date of the liability is less than one year discounting is omitted.

2.16a **Defined Contribution Plan**

Pension Cost

The company operates a defined contributory retirement benefit scheme as stipulated in the Pension Reform Act 2014. Under the defined contribution scheme, the company pays fixed contributions of 10% of emoluments as defined by the Act to Pension Fund Administrators; employees also pay a fixed percentage of 8% to the same entity. Once the contributions have been paid, the company retains no legal or constructive obligation to pay further contribution if the fund does not hold sufficient assets to finance benefits accruing under the retirement benefit plan.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 Summary of material accounting policies - continued

2.16b **Defined Benefit Obligation**

The Group has a non-contributory gratuity scheme whereby on, separation staff who spent a minimum number of periods are paid a sum based on their qualifying emoluments and the number of periods spent on service of the company.

The rate used to discount post employment benefit is determined in line with IAS 19, with reference to market yields at the balance sheet date on high quality corporate bonds. In countries where there is no deep market in such bonds, the market yields on government bonds are used. The actuary is of the opinion that there is no deep market in corporate bonds in Nigeria and as such, assumptions underlying the determination of discount rates are referenced to the yield on Nigeria Government Bonds of medium duration, as compiled by the debt management office, after provision for small risk premium to be included in the discount rate assumption.

2.17 **Provisions**

General Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in profit or less net of any reimbursement. if the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a

2.19 **Income tax**

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that this relates to a business combination, or items recognized directly in equity or other comprehensive income.

2.19.1 **Current Income Tax**

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Nigeria Company Income Tax Act(2007) as amended. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as at the reporting date.

2.19.2 **NITDA Levy**

The National Information Technology Development Agency Act (2007) empowers and mandates the Federal Inland Revenue Service (FIRS) to collect and remit 1% of profit before tax of Companies with turnovers of a minimum of ₦100million under the third schedule of the Act.

2.19.3 **Deferred Tax**

Deferred income tax is provided in full on all temporary differences except those arising on the initial recognition of an asset or liability.

Deferred income tax is determined using the liability method on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the statement of financial position date and expected to apply when the related deferred income tax asset is realized or the deferred tax liability is settled.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 **Summary of material accounting policies - continued**

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilized. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off such:

* Current tax assets against current income tax liabilities and
* The deferred taxes relate to the same taxable entity and
* The same taxation authority

2.2 **Share Capital and Share Premium**

Ordinary shares are recognized at par value and classified as 'share capital' in equity. Any amounts received over and above the par value of the shares issued are classified as 'share premium' in equity.

2.21 **Statutory Contingency Reserve**

The company maintains contingency reserves in accordance with the provisions of the Nigerian Insurance Industry Reform Act (NIIRA) 2005 to cover fluctuations in securities and variations in statistical estimates at the rate equal to the higher of 3% of total premium or 20% of the net profits.

2.22 **Retained Earnings/ (Accumulated loss)**

The retained earnings represent the amount available for dividend distribution to the equity shareholders of the company. See statement of changes in equities for movement in retained earnings.

2.23 **Assets Revaluation Reserve**

This represents the Group's revaluation reserve emanating from revaluation of certain assets.

2.24 **Other Income Items Recognition**

2.24.1 **Commission income**

Fees and commission income during the year is the income the company is entitled to for ceding businesses to the reinsurers and co-insurers. In accordance with IFRS 15 (Revenue from Contracts with Customers), fees and commission income are recognized over time, covering the policy period over which services are expected to be provided, using the time apportionment basis. With the adoption of IFRS 17 these are treated as part of reinsurance service expenses to arrive at Net expenses from reinsurance contracts held.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 Summary of material accounting policies - continued

2.24.2 Investment Income

Interest income is recognised in profit or loss as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

Investment income also includes dividend income which is recognised when the right to receive the payment is established.

Rental income arising from operating leases on investment properties is accounted for on a straight line basis over the lease terms.

2.24.3 Management and Administrative Fees

Management Fee

Management fee, an asset based fee is charged as a percentage of the opening net assets value of the pension fund investments at the beginning of the year of charge for the Retirement Savings Account (RSA). It is accrued daily upon portfolio valuation while the actual charge is effected against the Fund within five working days of the month end. Fee for the Retiree Account is computed based on 5% of income earned on the fund.

Administrative Fee

Administrative fee is calculated as a flat charge payable monthly from contributions received. It is deducted before converting contributions into accounting units of pension fund assets.

2.24.6 Realized/Unrealized Gains and Losses

Realized or unrealized gains and losses recorded in profit or loss on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales of investments are calculated as the difference between net sales proceeds and the original carrying or amortized cost and are recorded on occurrence of the sale transaction.

2.25 Claims Expenses Recognition

2.25.1 Claims Incurred/Expense

Claims incurred in respect of Insurance contracts include the cost of all claims arising during the year including internal and external claims, handling costs that are directly related to the processing and settlement of claims as well as changes in the gross valuation of insurance. All claims paid and incurred are charged against the underwriting income as expense when incurred. With the adoption of IFRS 17 these costs are treated as part of insurance service expenses before determining insurance service result.

2.25.2 Reinsurance Claims

Reinsurance claims are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 **Summary of material accounting policies - continued**

2.26 **Interest Income**

Interest income is recognised using the effective interest method for debt instruments measured subsequently at amortised cost and at FVTOCI. For financial assets other than purchased or originated credit-impaired financial assets, interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit-impaired. For financial assets that have subsequently become credit-impaired, interest income is recognised by applying the effective interest rate to the amortised cost of the financial asset. If, in subsequent reporting periods, the credit risk on the credit-impaired financial instrument improves so that the financial asset is no longer credit-impaired, interest income is recognised by applying the effective interest rate to the gross carrying

For purchased or originated credit-impaired financial assets, interest income is recognized by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset from initial recognition. The calculation does not revert to the gross basis even if the credit risk of the financial asset subsequently improves so that the financial asset is no longer credit-impaired. Interest income is recognised in profit or loss and is included in the "investment income - interest income" line item.

2.27 **Expenses**

Expenses are recognised in profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. This means, in effect, that recognition of expenses occurs simultaneously with the recognition of an increase in liabilities or a decrease in assets (for example, the accrual of employee entitlements or the depreciation of equipment)

When economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined, expenses are recognised in profit or loss on the basis of systematic and rational allocation procedures.

This is often necessary in recognizing the equipment associated with the using up of assets such as property and equipment in such cases the expense is referred to as a deprecation or amortization. These allocation procedures are intended to recognise expenses in the accounting periods in which the economic benefits associated with these items ae consumed or expire. an expense is recognised immediately in profit or loss when expenditure produces no future economic benefits or when, and to the extent that future economic benefits do not qualify, or cease to qualify, for recognition in the statement of financial position as an asset.

2.27.1 Underwriting Expenses

Underwriting expenses comprise acquisition costs and other underwriting expenses. Acquisition costs comprise all direct and indirect costs arising from writing insurance contracts. These costs are charged in profit or loss in the period they are incurred. With the adoption of IFRS 17 these costs are treated as part of insurance service expenses.

2.28 **Impairment of non-financial assets**

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. an asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its

The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. In assessing value in use, he estimated future cash flows are discounted to their present value using a pre- discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. in determining fair value less costs to sell, an appropriate valuation model is used.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 **Summary of material accounting policies - continued**

Impairment losses of continuing operations are recognised in profit or loss in those expenses categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to comprehensive income. in this case the impairment is also recognised in comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the company makes an estimate of recoverable amount. A previous impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. if that is the case the carrying amount of the asset is increased to its recoverable amount.

The increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in t unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2.29 **Earnings Per Share**

The company presents basic earnings per share for its ordinary shares. Basic earnings per share are calculated by dividing the profit attributable to ordinary shareholders of the company by the number of shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

2.3 **Dividends**

Dividends on ordinary shares are recognised as a liability in the year in which they are approved by the company's shareholders. Proposed dividends are not recognised in equity until they have been declared at a general meeting. Dividends for the year that are approved after the statement of financial position date are dealt with as a non-adjusting event after the statement of financial position date.

2.31 **Comparatives**

Where necessary, comparative have been adjusted to conform to changes in presentation in the current year. Where changes are made and affect the statement of financial position, a third statement of financial position at the beginning of the earliest period presented is presented together with the corresponding notes.

2.32 **Contingent liabilities**

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the company or the company has a present obligation as a result of past events which is not recognised because it is not probable that an outflow of resources will be required to settle the obligation; or the amount cannot be reliably estimated. Contingent liabilities normally comprise of legal claims under arbitration or court process in respect of which a liability is not likely to crystallize.

2.33 **Contingent assets**

Contingent assets are not recognised in the financial statements but are disclosed when, as a result of the past events, it is highly likely that economic benefits will flow to the company, but this will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events which are not wholly within the company's control.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2.34 **Changes in accounting policies and disclosures**

New and amended standards and interpretations

The Company applied for the first time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2025 (unless otherwise stated). The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

a) **Amendments to IFRS 16 - Lease Liability in a Sale and Leaseback**

The amendments in IFRS 16 specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognize any amount of the gain or loss that relates to the right of use it retains.

The amendments had no impact on the Company's financial statements.

b) **Amendments to IAS 1 - Classification of liabilities with covenants as current or non-current**

The amendments to IAS 1 specify the requirements for classifying liabilities as current or non-current. The amendments

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

In addition, an entity is required to disclose when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months.

The amendments had no impact on the Company's financial statements.

c) **Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7**

The amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments had no impact on the Group's financial statements.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2.35 **Standards issued but not yet effective**

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Company's financial statements are disclosed below. The Company intends to adopt these new and amended standards and interpretations, if applicable, when they become effective. Details of these new standards and interpretations are set out

a) *Amendments to the Classification and Measurement of Financial Instruments—Amendments to IFRS 9 and IFRS 7*
In May 2024, the IASB issued Amendments to IFRS 9 and IFRS 7, Amendments to the Classification and Measurement of Financial Instruments (the Amendments). The Amendments include:

A clarification that a financial liability is derecognised on the 'settlement date' and the introduction of an accounting policy choice (if specific conditions are met) to derecognise financial liabilities settled using an electronic payment system before the settlement date.

Additional guidance on how the contractual cash flows for financial assets with environmental, social and corporate governance (ESG) and similar features should be assessed.

Clarifications on what constitute 'non-recourse features' and what are the characteristics of contractually linked instruments.
The introduction of disclosures for financial instruments with contingent features and additional disclosure requirements for equity instruments classified at fair value through other comprehensive income (OCI).

The Amendments are effective for annual periods starting on or after 1 January 2026 with early adoption permitted for classification of financial assets and related disclosures only.
The Group is currently assessing the amendments to determine any impact they will have on the Group's financial

b) *Annual Improvements to IFRS Accounting Standards - Volume 11*
In July 2024, the IASB issued nine narrow scope amendments as part of its periodic maintenance of IFRS accounting standards. The amendments include clarifications, simplifications, corrections or changes to improve consistency in IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 7 Financial instruments: Disclosure and its accompanying Guidance on implementing IFRS 7, IFRS 9 Financial Instruments, IFRS 10 Consolidated Financial Statements and IAS 7 Statements of Cash Flows.

c) *Contracts Referencing Nature-dependent Electricity –Amendments to IFRS 9 and IFRS 7 Statements*
In December 2024, the IASB issued Amendments to IFRS 9 and IFRS 7 - Contracts Referencing Nature dependent Electricity. The amendments apply only to contracts that reference nature-dependent electricity; the amendments:

- Clarify the application of the 'own-use' requirements for in-scope contracts
- Amend the designation requirements for a hedged item in a cash flow hedging relationship for in-scope contracts
- Add new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows.

NOTES TO THE FINANCIAL STATEMENTS – CONTINUED

2 Summary of material accounting policies - continued

2.35 Standards issued but not yet effective - continued

The amendments will take effect for annual reporting periods starting on or after 1 January 2026. Early adoption is allowed, but it must be disclosed. The amendments concerning the own-use exception are to be applied retrospectively, while the hedge accounting amendments should be applied prospectively to new hedging relationships designated from the initial application date. Additionally, the IFRS 7 disclosure amendments must be implemented alongside the IFRS 9 amendments. If an entity does not restate comparative information, it cannot present comparative disclosures.

The Group does not expect that the amendments will have a material impact on its financial statements.

d) *IFRS 18 - Presentation and Disclosure in Financial Statements*

In April 2024, the IASB issued IFRS 18, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

It also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and
includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements (PFS) and the notes.

IFRS 18, and the amendments to the other standards, is effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed. IFRS 18 will apply retrospectively.

The Company is currently working to identify all impacts the amendments will have on the primary financial statements and notes to the financial statements.

e) *IFRS 19 - Subsidiaries without Public Accountability: Disclosures*

In May 2024, the IASB issued IFRS 19, which allows eligible entities to elect to apply its reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other IFRS accounting standards. To be eligible, at the end of the reporting period, an entity must be a subsidiary as defined in IFRS 10, cannot have public accountability and must have a parent (ultimate or intermediate) that prepares consolidated financial statements, available for public use, which comply with IFRS accounting standards. IFRS 19 will become effective for reporting periods beginning on or after 1 January 2027, with early application permitted.

The amendments are not expected to have a material impact on the Company's financial statements

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

3 Cash and cash equivalents

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
This comprises of :				
Cash on hand	5,037	790	862	551
Cash at Banks	1,562,547	2,602,183	1,445,514	2,423,531
Short term deposit (Staff gratuity fund assets)	3,823	3,823	3,823	3,823
Short term deposit (note 3.2)	6,413,506	8,651,681	5,733,716	7,462,410
	7,984,913	11,258,477	7,183,915	9,890,315
Adjustment for ECL on fixed deposit and bank balances (note 3.1)	(9,783)	(61,734)	(4,440)	(59,454)
Total	7,975,130	11,196,743	7,179,475	9,830,861

*Staff gratuity fund assets relates to fund set aside for staff of the parent who were still in service when the gratuity scheme was discontinued in July 2016. The intention of management is to keep the funds and make it available to the beneficiaries on exit.

3.1 Movement in ECL

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
At 1 January	61,734	12,304	59,454	3,115
Charge/(Write back) (Note 34)	(51,951)	49,430	(55,014)	56,339
At 31 December	9,783	61,734	4,440	59,454

3.2 Financed by:

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Financed by Insurance fund	5,733,716	7,462,410	5,733,716	7,462,410
Financed by other funds	679,790	1,189,271	-	-
	6,413,506	8,651,681	5,733,716	7,462,410

Short term deposits consist of placements with commercial banks with contractual maturity date of less than 3 months.

3.3 A reconciliation of gross carrying amount and corresponding allowance for ECL

	STAGE 1	
Group	**Gross carrying amount N'000**	**ECL N'000**
At 1 January 2025	11,257,687	61,734
New assets originated or purchased	7,979,876	9,783
Assets derecognized	(11,257,687)	(61,734)
At 31 December 2025	7,979,876	9,783
At 1 January 2024	6,576,114	12,304
New assets originated or purchased	11,257,687	61,734
Assets derecognized	(6,576,114)	(12,304)
At 31 December 2024	11,257,687	61,734

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

3.3 A reconciliation of gross carrying amount and corresponding allowance for ECL - Continued

	STAGE 1	
Company	**Gross carrying amount N'000**	**ECL N'000**
At 1 January 2025	9,889,764	59,454
New assets originated or purchased	7,183,053	4,440
Assets derecognized	(9,889,764)	(59,454)
At 31 December 2025	7,183,053	4,440
At 1 January 2024	4,721,208	3,115
New assets originated or purchased	9,889,764	59,454
Assets derecognized	(4,721,208)	(3,115)
At 31 December 2024	9,889,764	59,454

4 **Investment securities**	**Group 2025 N'000**	**Group 2024 N'000**	**Company 2025 N'000**	**Company 2024 N'000**
Equity instruments at fair value through profit or loss (Note 4a)	173,376	138,264	173,376	138,264
Debt instuments at armotised cost (Note 4b)	12,451,756	10,197,218	6,148,171	5,084,068
Fair value through OCI - equity (Note 4c)	607,208	492,056	607,208	492,056
	13,232,340	10,827,538	6,928,755	5,714,388
Current	142,513	681,221	141,255	141,879
Non-current	13,089,827	10,146,317	6,787,500	5,572,509
	13,232,340	10,827,538	6,928,755	5,714,388

a These are quoted equities on the Nigerian Stock Exchange. The fair value is determined by reference to the quoted closing bid price at the end of the reporting period and are derived as follows:

Movement in FVTPL during the period	**Group 2025 N'000**	**Group 2024 N'000**	**Company 2025 N'000**	**Company 2024 N'000**
Fair value at 1 January	138,264	113,615	138,264	113,615
Addition	5,350	-	5,350	-
Reclassification	(409)	(1,105)	(409)	(1,105)
Fair value gain	30,171	25,754	30,171	25,754
Fair value at 31 December	173,376	138,264	173,376	138,264

a(i) **Historical movement in FVTPL**

Cost at initial recognition	152,278	152,278	152,278	152,278
Accumulated fair value gains/(losses) to date	21,098	(14,014)	21,098	(14,014)
Fair value at 31 December	173,376	138,264	173,376	138,264

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
b	**Amortised Cost**				
	FGN treasury bills see note (i) below	142,513	681,221	141,255	141,879
	State/FGN government bonds see note (ii) below	12,078,605	9,261,240	6,006,916	4,942,189
	Corporate bond see note (iii) below	230,638	254,757	-	-
		12,451,756	10,197,218	6,148,171	5,084,068
	Balance at 1 January	10,226,801	7,524,320	5,113,348	3,189,284
	Additions	3,152,662	4,002,563	1,574,392	3,143,438
	Disposal	-	(50,000)	-	(50,000)
	Redemption/repayment during the year	(1,262,267)	(1,862,715)	(688,127)	(1,200,176)
	Accrued interest	375,434	612,632	192,869	30,801
	Balance at 31 December	12,505,417	10,226,801	6,192,482	5,113,348
	Expected credit loss	(53,661)	(29,583)	(44,311)	(29,280)
		12,451,756	10,197,218	6,148,171	5,084,068
i	**FGN Treasury Bills**				
	Balance at 1 January	681,948	94,609	142,606	-
	Additions	-	570,843	-	121,934
	Redemption/repayment during the year	(567,110)	(4,176)	(29,027)	-
	Accrued interest	27,798	20,672	27,798	20,672
	Balance at 31 December	142,636	681,948	141,377	142,606
	ECL	(122)	(727)	(122)	(727)
		142,513	681,221	141,255	141,879
ii	**FGN Bonds and State Bonds**				
	Balance at 1 January	9,289,793	7,164,613	4,970,742	3,189,284
	Additions	3,152,662	3,431,504	1,574,392	3,021,504
	Disposal	-	(50,000)	-	(50,000)
	Redemption/repayment during the year	(659,100)	(1,832,080)	(659,100)	(1,200,176)
	Accrued interest	334,850	575,756	165,071	10,129
	Balance at 31 December	12,130,991	9,289,793	6,051,105	4,970,742
	ECL	(52,386)	(28,553)	(44,189)	(28,553)
		12,078,605	9,261,240	6,006,916	4,942,189
iii	**Corporate Bonds**				
	Balance at 1 January	255,060	265,099	-	-
	Additions	-	216	-	-
	Redemption/repayment during the year	(36,055)	(26,459)	-	-
	Accrued interest	12,786	16,204	-	-
	Balance at 31 December	231,791	255,060	-	-
	ECL	(1,153)	(303)	-	-
		230,638	254,757	-	-
iv	**Movement in expected credit losses (ECL) during the year**				
	Balance at 1 January	29,583	52,270	29,280	28,058
	Reversal (Charge) during the year	24,078	(22,687)	15,031	1,222
	Balance at 31 December	**53,661**	**29,583**	**44,311**	**29,280**

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

v **A reconciliation of gross carrying amount and corresponding allowance for ECL**

Group	**STAGE 1**	
	Gross carrying amount N'000	**ECL N'000**
At 1 January 2025	10,226,801	29,583
New assets originated or purchased	3,528,096	21,783
Assets derecognized	(1,262,267)	2,295
At 31 December 2025	**12,505,417**	**53,661**
At 1 January 2024	7,524,321	52,270
New assets originated or purchased	4,615,195	21,783
Assets derecognized	(1,912,715)	(44,470)
At 31 December 2024	**10,226,801**	**29,583**
Company		
At 1 January 2025	5,113,348	29,280
New assets originated or purchased	1,767,261	15,031
Assets derecognized	(688,127)	-
At 31 December 2025	**6,192,482**	**44,311**
At 1 January 2024	3,189,284	28,058
New assets originated or purchased	3,174,239	1,222
Assets derecognized	(1,250,176)	
At 31 December 2024	**5,113,348**	**29,280**

c **Fair value through other comprehensive income**

	Group 2025 N'000	**Group 2024 N'000**	**Company 2025 N'000**	**Company 2024 N'000**
Fair value at 1 January	492,056	433,485	492,056	433,485
Additions	409	1,104	409	1,104
Fair value gain	114,743	57,467	114,743	57,467
Balance at 31 December	607,208	492,056	607,208	492,056

Fair value through other comprehensive income consists of equity investment in Waica RE and Systemspec.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group	Group	Company	Company
5	Premium Receivables	2025	2024	2025	2024
a	This comprises of:	N'000	N'000	N'000	N'000
	Due from insurance brokers	2,801,158	2,036,242	2,801,158	2,036,242
	Due from insurance agents	55,270	55,270	55,270	55,270
	Due from policy holders	33,158	33,158	33,158	33,158
	Due From Insurance Companies	169,941	158,931	169,941	158,931
		3,059,527	2,283,601	3,059,527	2,283,601
	Impairment of premium receivables	(737,985)	(737,985)	(737,985)	(737,985)
		2,321,542	1,545,616	2,321,542	1,545,616
	b. Movement in impairment is as follow:				
	At 1 January	737,985	737,985	737,985	737,985
	Charge	-	-	-	-
	At 31 December	737,985	737,985	737,985	737,985
b	Age analysis of gross premium receivables are as follows:				
	Within 14 days	-	-	-	-
	Within 15 - 30 days	2,321,542	1,545,616	2,321,542	1,545,616
	Within 31 - 90 days	-	-	-	-
	Within 91 - 180 days	-	-	-	-
	Above 180 days	737,985	737,985	737,985	737,985
		3,059,527	2,283,601	3,059,527	2,283,601

c Analysis of movement in impairment

2025	Balance at 1 January	Adjustment	Provision no longer required	Balance at 31 December
Group	N'000	N'000	N'000	N'000
Premium receivable from insurance brokers	490,626	-	-	490,626
Premium receivable from insurance agents	55,270	-	-	55,270
Premium receivable from policy holders	33,158	-	-	33,158
Premium receivable from insurance companies	158,931	-	-	158,931
	737,985	-	-	737,985
Company				
Premium receivable from insurance brokers	490,626	-	-	490,626
Premium receivable from insurance agents	55,270	-	-	55,270
Premium receivable from policy holders	33,158	-	-	33,158
Premium receivable from insurance companies	158,931		-	158,931
	737,985	-	-	737,985
2024				
Group				
Premium receivable from insurance brokers	490,626	-	-	490,626
Premium receivable from insurance agents	55,270	-	-	55,270
Premium receivable from policy holders	33,158	-	-	33,158
Premium receivable from insurance companies	158,931	-	-	158,931
	737,985	-	-	**737,985**
Company				
Premium receivable from insurance brokers	490,626	-	-	490,626
Premium receivable from insurance agents	55,270	-	-	55,270
Premium receivable from policy holders	33,158	-	-	33,158
Premium receivable from insurance companies	158,931	-	-	158,931
	737,985	-	-	**737,985**

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

d **Movement in premium receivables**	**Group 2025 N'000**	**Group 2024 N'000**	**Company 2025 N'000**	**Company 2024 N'000**
Opening balance	2,283,601	1,767,765	2,283,601	1,767,765
Gross written premium during the year	23,710,146	23,694,266	23,733,535	23,694,266
Premium received during the year	(22,934,220)	(23,178,430)	(22,957,609)	(23,178,430)
	3,059,527	2,283,601	3,059,527	2,283,601
Impairment during the year	(737,985)	(737,985)	(737,985)	(737,985)
Balance as at 31 Dec (IFRS 17)	**2,321,542**	**1,545,616**	**2,321,542**	**1,545,616**
-	812,063	-	812,063	

6 **Other receivables and prepayments**	**Group 2025 N'000**	**Group 2024 N'000**	**Company 2025 N'000**	**Company 2024 N'000**
Receivables from staff (Note 6a)	206	8,330	206	8,332
Deposit for investment (Note 6b)	28,347	34,112	28,347	34,112
Commercial papers (Note 6c)	217,459	217,459	217,459	217,459
Prepayment	213,056	33,325	49,693	33,325
Inventory*	296	369	296	369
Receivables from Related parties (Note 6i)	62,034	62,033	62,034	62,033
Fees receivables and other receivables (Note 6d)	943,891	793,652	127,175	107,697
Prepaid recapitalisation expenses (Note 6e)	83,050	83,050	83,051	83,050
Witholding tax receivable(Note 6f)	71,866	55,389	71,866	30,529
	1,620,205	1,287,719	640,127	576,906
Impairment of other receivables and prepayment (Note 6g)	(402,852)	(402,852)	(402,852)	(402,852)
	1,217,353	884,867	237,275	174,054
Current	1,217,353	877,995	237,275	174,054
Non-current	-	6,872	-	-
	1,217,353	884,867	237,275	174,054

a Receivables from staff consist of amount due from staff in respect of unutilized upfront allowances.

	Group 2025 N'000	**Group 2024 N'000**	**Company 2025 N'000**	**Company 2024 N'000**
Balance at 1 January	8,330	48,047	8,332	30,082
Addition	206	414	206	414
Utilised during the year	(8,330)	(40,131)	(8,332)	(22,164)
	206	**8,330**	**206**	**8,332**

b Included in deposit for investment is the amount with Planet Capital Limited for purchase of quoted equities on the Nigerian Exchange Group and investment in other financial instruments.

c Commercial papers represents receivables from the following entities

	Group 2025 N'000	**Group 2024 N'000**	**Company 2025 N'000**	**Company 2024 N'000**
a) TKM Mestro Nigeria Ltd	131,649	131,649	131,649	131,649
b) Off-shore Intergrated Concession Ltd	39,711	39,711	39,711	39,711
c) Kruger Brent Global Services Ltd	46,099	46,099	46,099	46,099
	217,459	217,459	217,459	217,459

ci These commercial papers have been impaired by the company as they are in doubt of recovery.

d Fee receivables includes fees receivable on RSA assets and administrative fees as at year end.

e This represents amount paid to consultants with respect to proposed preference shares to be issued by the company. This was classified as prepaid expense pending the conclusion of the process. On completion, this will be applied against the share premium.

***** Inventory relates to stationery stocks

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
f Witholding tax receivables				
At 1 January	55,389	24,856	30,529	24,856
Additions	16,477	56,049	41,337	31,189
Utilised during the period(see note 16)	-	(25,516)	-	(25,516)
Balance at 31 December	71,866	55,389	71,866	30,529

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
g The movement in impairment charge is as follows:				
Balance at 1 January	402,852	393,427	402,852	393,427
Impairment charge/(write-back) during the year	-	9,425	-	9,425
Balance at 31 December	402,852	402,852	402,852	402,852

Group	Balance at 1 Jan 2025	Addition	Provision no longer required	Adjustment	Balance at 31 December 2025
Commercial papers	217,459	-	-	-	217,459
Receivables from staff	1,369	-	-	-	1,369
Receivables from Related Party (Goldlink)	62,033	-	-	-	62,033
Fees receivable and other receivables	121,991	-	-	-	121,991
	402,852	-	-	-	402,852
Company					
Commercial papers	217,459	-	-	-	217,459
Receivables from staff	1,369	-	-	-	1,369
Receivables from Goldlink	62,033	-	-	-	62,033
Fees receivable and other receivables	121,991	-	-	-	121,991
	402,852	-	-	-	402,852

Group	Balance at 1 Jan 2024	Addition	Provision no longer required	Adjustment	Balance at 31 December 2024
Commercial papers	217,459	-	-	-	217,459
Receivables from staff	1,369	-	-	-	1,369
Receivables from Related Party (Goldlink)	62,033	-	-	-	62,033
Fees receivable and other receivables	112,566	-	-	9,425	121,991
	393,427	**-**	**-**	**9,425**	**402,852**
Company					
Commercial papers	217,459	-	-	-	217,459
Receivables from staff	1,369	-	-	-	1,369
Receivables from Goldlink	62,033	-	-	-	62,033
Fees receivable and other receivables	112,566	-	-	9,425	121,991
	393,427	**-**	**-**	**9,425**	**402,852**

i This relates to amount recoverable from :1.Associates- Goldlink Insurance Plc. As at 31 December 2025, the amount relates to various expenses incurred on their behalf amounting to N62.033 million (2024, N62.033 milion).

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

7 Investment in Subsidiaries

Veritas Kapital has 2 subsidiaries as at 31 December 2025. The details of the subsidiaries and principal activities are detailed below:

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Veritas Glanvills Pension Limited at cost(a)	-	-	3,610,000	3,610,000
Veritas Health Care Limited at cost (b)	-	-	416,300	416,300
	-	-	4,026,300	4,026,300

a Veritas Glanvills Pension Limited has issued ordinary share capital of 5 billion units of N1 each.

Veritas Kapital holds 3.5 billion (70%): The company was incorporated on 20 April 2005, and licenced by National Pension Commission to carry on business of a Pension Fund Administrator on 19 June 2007. Its principal place of business is Lagos.

b Veritas HealthCare Limited has issued ordinary share capital of 429,075,000 units of N1 each Veritas Kapital holds 401,000,000 units (93.5%): The company carries on the business of a health maintenance organisation, and its principal place of business is Abuja.

Management assessed investment in subsidiaries for impairment and concluded that there was no indication of impairment. Summarized financial information in respect of each of the Group's subsidiaries is set out below. The summarized financial information below represents amounts before intragroup eliminations.

	Veritas Glanvill Pension		Veritas Healthcare Limited	
	2025	2024	2025	2024
	N'000	N'000	N'000	N'000
Total revenue	3,318,913	2,853,088	618,225	425,517
Profit after tax	953,711	431,650	74,433	31,301
Other comprehensive (loss)/income	-	-	1,186	(15,114)
Total comprehensive income	953,711	431,650	75,619	16,187
Total assets	8,322,650	7,473,800	908,150	707,678
Total liabilities	1,198,696	714,838	213,565	57,871
Shareholders fund	7,123,954	6,758,962	694,585	649,806

c Movement in Investment in Subsidiaries

	Group		Company	
	2025	2024	2025	2024
Veritas Glanvills Pensions Ltd	N'000	N'000	N'000	N'000
Balance at 1January	-	-	3,610,000	3,610,000
Additions during the year			-	-
Balance at 31 December	-	-	3,610,000	3,610,000
Investment in Veritas Healthcare Ltd	N'000	N'000	N'000	N'000
Balance at 1January	-	-	416,300	416,300
Balance at 31 December	-	-	416,300	416,300

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
8	**Investment in Associates**	1,010,650	1,010,650	1,010,650	1,010,650
	Share of associate loss (prior period)	(1,010,650)	(1,010,650)	(1,010,650)	(1,010,650)
		-	-	-	-

GOLDLINK Insurance Plc

Veritas Kapital holds 1,268,064,351 (2024:1,268,314,351) ordinary shares representing 51.53% (2024:51.53%) holdings in Goldlink Insurance Plc as at 31 December 2025.

Goldlink Insurance Plc became associate company of Veritas Kapital in 2011 but was taken over by the regulatory authority - National Insurance Commission (NAICOM) for infraction of insurance regulations and its Board of Directors was dissolved in 2012.

Though Veritas Kapital holds majority shares in Goldlink Insurance Plc. (51.53%) the investment has been treated as an associate and accounted for using equity method at both the Company and Group level.
In arriving at the decision to treat the investment as an associate, the Board of Directors considered if Veritas Kapital has control over Goldlink Insurance Plc based on the requirements of IFRS 10. IFRS 10.5 states that an investor regardless of the nature of its involvement with an entity is required to determine whether it is a parent by assessing whether it controls the investee.

Specifically, IFRS 10 states that an investor controls an investee if and only if the investor has the following:

- Power over the investee;
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect the amount of the investor’s returns.

Based on assessment carried out, Directors concluded that Veritas Kapital does not have the power over the investee because the relevant activities of Goldlink Insurance Plc are subject to direction of the NAICOM instituted Board of Directors. The Board of Directors report directly to NAICOM on all its activities and resolutions are subject to the NAICOM.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

9 Property and equipment
Group

Cost/valuation	**Leasehold land N'000**	**Building N'000**	**Office computer N'000**	**Motor vehicles N'000**	**Office furniture and fittings N'000**	**Work in progress N'000**	**Total N'000**
At 1 January	2,028,100	3,640,946	771,924	1,004,894	249,768	4,950	7,700,581
Additions	-	21,556	142,755	50,350	20,040	157,589	392,290
Write off	-	-	-	-	-	-	-
Revaluation adjustments	42,400	141,162	-	-	-	-	183,562
Transfer/ reclassification	-	(98,787)	103,737	-	-	(4,950)	-
Disposals	-	-	(3,203)	(57,227)	(3,451)	-	(63,881)
At 31 December	2,070,500	3,704,877	1,015,213	998,017	266,357	157,589	8,212,552
Accumulated depreciation							
At 1 January	-	202,942	590,144	690,765	196,397	-	1,680,247
Depreciation	-	79,086	73,957	118,010	21,564	-	292,617
Subsidiary writeoff	-	-	-	-	-	-	-
Transfer/ Reclassification	-	(2,737)	2,737	-	-	-	-
Disposals	-	-	(2,345)	(42,589)	(3,451)	-	(48,385)
At 31 December	-	279,291	664,493	766,186	214,510	-	1,924,479
Carrying amount at 31 December 2025	**2,070,500**	**3,425,586**	**350,720**	**231,831**	**51,847**	**157,589**	**6,288,073**

Cost/valuation	**Leasehold land N'000**	**Building N'000**	**Office computer equipment N'000**	**Motor vehicles N'000**	**Office furniture and fittings N'000**	**Work in progress N'000**	**Total N'000**
At 1 January	1,306,849	3,846,717	680,954	847,481	224,574	-	6,906,574
Additions	-	138,468	93,794	198,584	27,010	4,950	462,806
Revaluation adjustments	721,251	(344,239)	-	-	-	-	377,012
Disposals	-	-	(2,824)	(41,171)	(1,816)	-	(45,811)
At 31 December 2024	2,028,100	3,640,946	771,924	1,004,894	249,768	4,950	7,700,581
Accumulated depreciation							
At 1 January	-	145,882	545,529	608,525	170,249	-	1,470,184
Depreciation expenses	-	57,060	47,279	123,243	27,964	-	255,546
Disposals	-	-	(2,664)	(41,003)	(1,816)	-	(45,483)
At 31 December 2024	-	202,942	590,144	690,765	196,397	-	1,680,247
Carrying amount as at 31 December 2024	**2,028,100**	**3,438,004**	**181,780**	**314,129**	**53,371**	**4,950**	**6,020,334**

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

9 **Property and equipment - Continued**
Company

Cost/valuation	**Leasehold land N'000**	**Building N'000**	**Office computer equipment N'000**	**Motor vehicles N'000**	**Office furniture and fittings N'000**	**Work in progress N'000**	**Total N'000**
At 1 January	2,028,100	2,861,816	371,504	395,645	157,394	4,950	5,819,409
Additions	-	21,178	70,508	-	2,114	-	93,800
Revaluation adjustments	42,400	141,162	-	-	-	-	183,562
Transfer/ Reclassification	-	(98,787)	103,737	-	-	(4,950)	-
Disposals	-	-	(2,258)	(6,018)	(3,451)	-	(11,727)
At 31 December	2,070,500	2,925,369	543,491	389,627	156,057	-	6,085,045
Accumulated depreciation							
At 1 January	-	136,417	287,011	237,009	125,073	-	785,510
Depreciation expenses	-	63,590	37,102	47,291	10,941	-	158,924
Transfer/ Reclassification	-	(2,737)	2,737	-	-		-
Disposals	-	-	(2,258)	(3,511)	(3,451)	-	(9,220)
At 31 December	-	197,270	324,592	280,789	132,563	-	935,214
Carrying amount at 31 December 2025	**2,070,500**	**2,728,099**	**218,899**	**108,838**	**23,494**	**-**	**5,149,831**

Cost/valuation	**Leasehold land N'000**	**Building N'000**	**Office computer equipment N'000**	**Motor vehicles N'000**	**Office furniture and fittings N'000**	**Work in progress N'000**	**Total N'000**
At 1 January	1,306,849	3,067,587	326,496	251,909	144,247	-	5,097,088
Additions	-	138,468	47,832	181,230	14,963	4,950	387,443
Revaluation adjustments	721,251	(344,239)	-	-	-	-	377,012
Transfer/ Reclassification	-	-	-	-	-	-	-
Disposals	-	-	(2,824)	(37,494)	(1,816)	-	(42,134)
At 31 December	2,028,100	2,861,816	371,504	395,645	157,394	4,950	5,819,409
Accumulated depreciation							
At 1 January	-	94,982	260,077	231,812	118,662	-	705,533
Depreciation expenses	-	41,435	29,598	44,189	8,228	-	123,450
Disposals	-	-	(2,664)	(22,567)	(1,816)	-	(27,047)
At 31 December	-	136,417	287,011	237,009	125,073	-	785,510
Carrying amount at 31 December, 2024	**2,028,100**	**2,725,399**	**84,493**	**158,636**	**32,321**	**4,950**	**5,033,899**

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

9 Property and equipment - Continued

a Land and Building were independently valued by Jide Taiwo & Co, Real Estate survayors (FRC/2012/00000000254) and signed by Apeh Jeremiah (FRC/2019/NIESV/00000019829), in 2025 to ascertain the open market value of land and building .The open market value of land and building as at 31 December 2025 was N4,798 million (2024: N4,754 million)

b **Valuation technique and significant unobservation inputs**

The following table shows the valuation technique used in measuring the value of the land & building, as well as the significant unobservable inputs used.

Valuation technique	Significant Observable Input	Sensitivity
The fair values are determined by applying market value approach. This valuation model reflects the current price on actual transaction for similar properties in the neighbourhood in recent time. References were made to prices of land and comparable properties in the neighbourhood.The data obtained were analysed and adjustments was made to reflect differences in site area and the actual location, quality of construction and off-site facilities.	-Price PER square meter. -Rate of development in the area. -Location of the building. -Commercial neighbourhood. -Specialised nature of the building -Accessibilty to transport links. - Physical condition	The estimated fair value would increase/ (decrease) if the rate of development in the area increases/ (decreases), quality of the building increases / (decreases), influx of people and/or business to the area increases/ (decreases)

c **Leasehold land and building Comprises:**

	2025			2024		
	Leasehold Land	**Building**	**Total**	**Leasehold Land**	**Building**	**Total**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Group						
Plot 1698 C and D Oyin Jolayemi St. V.I. Lagos	-	697,486	697,486	-	712,604	712,604
Plot 497 Abogo Largema Street. Off Const. Ave. CBD	1,854,700	2,494,600	4,349,300	1,816,900	2,492,400	4,309,300
Plot 173 Oshodi-Gbagada express way, opp. UPS, Gbagada, Lagos.	215,800	233,500	449,300	211,200	233,000	444,200
	2,070,500	3,425,586	5,496,086	2,028,100	3,438,004	5,466,104
Company						
Plot 497 Abogo Largema Street. Off Const. Ave. CBD	1,854,700	2,494,600	4,349,300	1,816,900	2,492,400	4,309,300
Plot 173 Oshodi-Gbagada express way, opp. UPS, Gbagada, Lagos.	215,800	233,500	449,300	211,200	233,000	444,200
	2,070,500	2,728,100	4,798,600	2,028,100	2,725,400	4,753,500

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

9 Property and equipment - Continued

d Movement in leasehold land and building is as follows:

Group Property Location/Description	01-Jan-25 N'000	Addition N'000	Disposals N'000	Transfer N'000	Depreciation N'000	Revaluation adjustment N'000	31-Dec-25 N'000
Plot 1698 C and D Oyin Jolayemi St. V.I. Lagos	712,606	378	-	-	(15,453)	(44)	697,487
Plot 497 Abogo Largema Street. Off Const. Ave. CBD	4,309,301	15,637	-	(85,958)	(37,226)	147,546	4,349,300
Plot 173 Oshodi-Gbagada express way, opp. UPS, Gbagada, Lagos.	444,199	5,541	-	(12,842)	(5,556)	17,958	449,299
	5,466,105	21,556	-	(98,800)	(58,235)	165,460	5,496,086

Property Location/Description	01-Jan-24 N'000	Addition N'000	Disposals N'000	Transfer N'000	Depreciation N'000	Revaluation adjustment N'000	01-Jan-24 N'000
Plot 1698 C and D Oyin Jolayemi St. V.I. Lagos	728,231	-	-	-	(15,625)	-	712,606
Plot 497 Abogo Largema Street. Off Const. Ave. CBD	3,831,860	61,724	-	-	(36,100)	451,817	4,309,301
Plot 173 Oshodi-Gbagada express way, opp. UPS, Gbagada, Lagos.	447,594	76,745	-	-	(5,335)	(74,805)	444,199
Plot 116 Hadejia Road, Yankaba, Kano.	-	-	-	-	-	-	-
	5,007,684	138,469	-	-	(57,060)	377,012	5,466,105

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

9 **Property and equipment - Continued**

d **Movement in leasehold land and building is as follows:**

Company Property Location/Description	01-Jan-25 N'000	Addition N'000	Disposals N'000	Transfer/Adjustment N'000	Depreciation N'000	Revaluation adjustment N'000	31-Dec-25 N'000
Plot 497 Abogo Largema Street. Off Const. Ave. CBD	4,309,302	15,637	-	(85,958)	(37,226)	147,546	4,349,302
Plot 173 Oshodi-Gbagada Express way, opp. UPS, Gbagada, Lagos.	444,198	5,541	-	(12,842)	(5,556)	17,958	449,299
	4,753,500	21,178	-	(98,800)	(42,782)	165,504	4,798,600

Property Location/Description	01-Jan-24 N'000	Addition N'000	Disposals N'000	Transfer N'000	Depreciation N'000	Revaluation adjustment N'000	01-Jan-24 N'000
Plot 497 Abogo Largema Street. Off Const. Ave. CBD	3,831,860	61,723	-	-	(36,100)	451,819	4,309,302
Plot 173 Oshodi-Gbagada Express way, opp. UPS, Gbagada, Lagos.	447,594	76,744	-	-	(5,335)	(74,805)	444,198
Plot 116 Hadejia Road, Yankaba, Kano.	-	-	-	-	-		-
	4,279,454	138,468	-	-	(41,435)	377,014	4,753,500

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

10 Goodwill

	Group 2025 N'000	Group 2024 N'000
Balance, at 1 January	386,444	386,444
Additions	-	-
Balance at 31 December	386,444	386,444
Accumulated impairment		
Balance, at 1 January	69,560	69,560
Impairment	-	-
Balance at 31 December	69,560	69,560
Carrying amount 31 December	316,884	316,884

a Analysis of movement

	Group 2025 N'000	Group 2024 N'000
Balance at 1 January	316,884	316,884
Balance at 31 December	316,884	316,884

The goodwill recognised on acquisition of Veritas Healthcare Limited (N69.56 million) was fully impaired.
The calculation of value-in-use was based on the following key assumptions
- The cashflows were projected based on the company’s approved budget. The cashflows were based on past experiences and were adjusted to reflect expected future performances of the company .

Assessment of impairment on goodwill was developed by the management of the company.

11 Intangible assets

This comprises of acquired computer software which does not form part of a related hardware.

Computer software	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Cost				
Balance, at 1 January	1,148,707	915,015	999,590	767,996
Additions	6,960	233,692	-	231,594
Balance at 31 December	1,155,667	1,148,707	999,590	999,590
Accumulated amortisation				
Balance, at 1 January	596,918	492,262	460,424	366,455
Amortisation	147,553	104,655	139,160	93,969
Balance at 31 December	744,471	596,918	599,584	460,424
Carrying amount 31 December	**411,196**	**551,789**	**400,006**	**539,166**

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
12	**Statutory deposit**	355,000	355,000	355,000	355,000

This represent amount deposited with the Central Bank of Nigeria (CBN) as at 31 December, 2025 in pursuant to section 9(1) and section 10(3) of insurance Act 2003. Interest income earned on this deposit is included in investment income. (See note 34)

13 Other technical liabilities

Other technical liabilities represent amounts payable to reinsurance, co-insurers, agents and brokers at period end. The carrying amounts disclosed below approximate the fair values at the reporting date.

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
	This is analysed as follows:				
	Commission payable	223,843	417,490	223,843	417,491
	Co-insurance premium payable	2,505,583	2,367,916	2,505,585	2,367,915
		2,729,426	2,785,406	2,729,428	2,785,406
a	Movement on commission (Acquisition cost) payable				
	Balance at 1 January	417,489	182,465	417,489	182,465
	Acquisition cost during the year	3,005,913	3,542,626	3,005,913	3,542,626
	Acqusirion cost paid during the year	(3,199,559)	(3,307,602)	(3,199,559)	(3,307,602)
	Balance as at 31 December	223,843	417,489	223,843	417,489
b	Movement in co-insurance premium payable				
	Balance at 1 January	2,367,916	1,923,508	2,367,916	1,923,508
	Addition during the year	2,505,585	2,367,915	2,505,585	2,367,915
	Co-insurance premium owing paid	2,367,918	(1,923,507)	(2,367,916)	(1,923,507)
	Balance as at 31 December	2,505,583	2,367,916	2,505,585	2,367,916

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
14	**Retirement benefit obligation**				
	Gratuity scheme	28,401	27,710	-	-
	Balance at 1 january	27,710	23,933	-	-
	Contributions in the period	11,000	12,228	-	-
	Payments during the year	(10,309)	(8,449)	-	-
	Balance at 31 December	28,401	27,710	-	-

a Defined Benefit Scheme

Veritas Healthcare Limited has a non-contributory defined gratuity scheme whereby on separation, staff who have spent a minimum of five (5) years are paid a sum based on their qualifying emoluments and the number of years spent in service of the Company. The actuarial valuation of the scheme for 31 December 2025 was performed by PENMED Actuarial Consultants FRC/2014/NAS/0000000953 and signed by Bode Olajumoke (FRC/2014/NAS/0000000953).

Summary of membership data	**2025**	**2024**
Active Members	13	13
Total annual emoluments	N108.8mn	N108.8mn
Average Liability duration over future service	18	18

Underlying assumptions

The rate used to discount Pre-retirement employment benefit obligations is determined in line with IAS19, with reference to market yields at the balance sheet date on high quality corporate bonds. The following are the significant assumptions adopted in the computations.

Valuation interest rate	22.0%
Salary increase rate	25.0%

Benefit Liability	**Group 2025 N'000**	**Group 2024 N'000**
(Deficit) of Funded Plans	28,401	(27,712)
Liability Recognized	28,401	(27,712)

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

14 Retirement benefit obligation - Continued

(i) Reconciliation of Defined Benefit Obligation

Changes in the present value of the defined benefit obligation are as follows;

	Group Dec-25 N'000	Group Dec-24 N'000
At 1 January	27,710	23,933
Current service cost*	4,319	2,473
Interest Cost	4,987	1,316
Benefit paid	(10,309)	(8,449)
Actuarial (gains)/loss due to change in financial assumptions	1,694	8,437
Balance at 31 December	28,401	27,710

*Current service cost was included as part of staff cost in note 35.

Pension scheme

The employees of the Company are members of a state arranged Pension scheme (Pension Reform Act, 2004) which is managed by several Pension Funds Administrators. The only obligation of the Company with respect to this pension plan is to make the specified contributions.

15	Provisions and other payables	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
	Life insurance fund (Note 15a)	131,417	131,417	131,417	131,417
	PAYE tax, VAT, NHF and other remitable deductions	638,589	327,255	427,303	290,678
	Staff accounts (Note 15b)	541,242	152,598	314,661	15,261
	Accrued professional fees (Note 15c)	144,530	111,968	143,530	110,968
	Accrued NAICOM levy	242,336	237,934	242,336	237,934
	Supplies & Services Bills Payables (Note 15e)	210,391	182,522	210,268	167,576
	Other accruals and payables (Note 15f)	546,414	780,065	377,827	719,202
	Unclaimed dividends	6,468	13,606	6,468	13,606
	Due to employees	4,051	4,563	4,052	3,868
	Pension protection fund(Note 15d)	588,618	409,707	-	-
		3,054,056	2,351,635	1,857,862	1,690,510

a Life insurance fund arose from the business of the defunct Kapital Insurance Company Limited that ceased life business in 2007 because the emerged Unity Kapital and then Veritas Kapital is not licensed to carry on life business. The fund was kept in abeyance pending transfer to a Life Assurance Company.

b Staff account balance is in respect, unremitted amount on behalf of staff to various PFAs for the month of December 2025 and deductions from staff salary to be remitted to their co-operative scheme administrator. As at January 2026, staff related benefits have been fully settled.

c Accrued professional fees include accrual for audit fees, tax review and actuarial fees.

d Pension protection fund represents pension protection fund maintained by the pension fund administrators as a cushion to Pensioner whose pension balance is not enough to guarantee at least 2/3 of the Federal Government minimum wage bill on retirement based on section 82 of the Pension Reform Act, 2014

e Suppliers and service bills payables relates to outstanding payments due to vendors and suppliers for services rendered.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

f Other accruals and payables are made up of the following

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Unmatched inflows	338,924	672,147	338,924	672,147
Retention fee to contractors	1,984	17,467	1,984	17,467
Unpresented cheques	-	29,588	-	29,588
Accruals	220,844	60,863	36,919	-
	546,414	780,065	377,827	719,202

15	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Current	2,327,553	1,796,905	1,719,977	1,545,487
Non-Current	726,503	554,730	137,885	145,023
	3,054,056	2,351,635	1,857,862	1,690,510

16 **Income tax**	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Company income tax	27,905	316,304	-	149,092
Development levy	110,042		110,042	
Education tax	-	24,550	-	-
Information technology levy	-	7,402	-	-
Police Trust Fund	-	37	-	-
Net deferred tax expense	6,992	117,026	-	-
Per profit or loss	144,939	465,319	110,042	149,092
Balance at beginning of the year	404,691	187,033	173,210	80,876
Witholding tax utilsed (Note 6f)	-	(25,516)	-	(25,516)
Payments	(274,580)	(222,145)	(152,958)	(31,242)
Per statement of financial position	275,050	404,691	130,294	173,210
16.1 Deferred tax asset				
At 1 January	21,745	60,854	21,745	21,745
Tax credit recognised in profit or loss	-	(39,109)	-	-
Balance at 31 December	21,745	21,745	21,745	21,745
16.2 Deferred tax liability				
At 1 January	394,482	184,753	212,416	157,143
Tax expense recognised in profit or loss	6,992	156,136	-	-
Tax expense recognised in OCI	90,000	53,593	89,491	55,273
Balance at 31 December	491,474	394,482	301,907	212,416

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

Movements in deferred tax liabilities during the year:				
Recognised in other comprehensive income during the year:				
Net acturial (loss) on retirement benefit obligation	508	(1,679)	-	-
Gain on revaluation of property, plant and equipment	55,069	37,701	55,069	37,701
Fair value gain on financial asset at FVOCI	34,423	17,571	34,423	17,571
Recognised in profit or loss during the year:				
Propety and equipment	6,992	153,035	-	-
Intangible assets	-	3,101	-	-
	96,992	**209,729**	**89,491**	**55,273**

Movement in deferred tax asset				
Recognized in profit or loss during the year	-	(39,109)	-	-
Property and equipment	-	(39,109)	-	-

Deferred tax assets are attributable to the following item:				
Property and equipment	21,745	21,745	21,745	21,745
Cash and cash equivalents	-	-	-	-
	21,745	21,745	21,745	21,745

Deferred tax liabilities are attributable to the following items:				
Net acturial gains on retirement benefit obligation	(1,020)	(1,528)	-	-
Fair value gains on PPE	408,617	346,556	218,032	162,963
Fair value gains on equity instruments at FVOCI	83,877	49,454	83,876	49,453
	491,474	394,482	301,908	212,416

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
16.3	Net deferred tax liability				
	Deferred tax liability	491,474	394,482	301,907	212,416
	Deferred tax asset - VKA	21,745	21,745	21,745	21,745
	Deferred tax asset - VGP	-	-	-	-
	Net deferred tax liability	**469,729**	**372,737**	**280,162**	**190,671**

17 Insurance and reinsurance contracts

The breakdown of groups of insurance contracts issued and reinsurance contracts held that are in an asset position and those in a liability is set out in the tables below

	Group	Group	Company	Company
Carrying amount of insurance contract issued net of deferred acquisition cash flow	2025	2024	2025	2024
Insurance contract liabilities	N'000	N'000	N'000	N'000
Insurance contract liabilities (excluding insurance acquisition cash flows assets and other pre-recognition cash flows)	10,405,779	16,834,500	10,405,779	16,834,500
Insurance acquisition cash flows	(699,246)	(530,873)	(699,246)	(530,873)
Other pre-recognition cash flows	-	-	-	-
Insurance contract liabilities	**9,706,533**	**16,303,627**	**9,706,533**	**16,303,627**
Movement in Deferred Acquisition Cost (DAC) for the period is as follows				
Balance as at 1st January	530,873	412,363	530,873	412,363
Insurance acuisition cash flow (commission) cost during the year	3,089,454	3,339,496	3,089,454	3,339,496
Insurance acuisition cash flow (commission) amortized during the year	(2,921,081)	(3,220,986)	(2,921,081)	(3,220,986)
Balance as at 31 December	**699,246**	**530,873**	**699,246**	**530,873**
Transferred to/netted off insurance contract liabilities	(699,246)	(530,873)	(699,246)	(530,873)
Carrying amount in the SOFP as at 31 December	-	-	-	-
Carrying amount of reinsurance contract asset held net of deferred acquisition income cash flow				
Reinsurance contract assets				
Reinsurance contract assets (excluding reinsurance deferred acquisition income cash flows, other pre-recognition cash flows and reinsurance payables)	3,660,724	5,969,559	3,660,724	5,969,559
Reinsurance deferred acquisition income cash flows	(381,511)	(127,889)	(381,511)	(127,889)
Other pre-recognition cash flows	-	-	-	-
Reinsurance payables	-	-	-	-
Reinsurance contract assets	**3,279,213**	**5,841,670**	**3,279,213**	**5,841,670**

Carrying amount of insurance contract issued	Group 2025	Group 2024	Company 2025	Company 2024
Liabilities for remaining coverage (LRC)	N'000	N'000	N'000	N'000
Excluding loss component	3,881,780	2,751,064	3,881,780	2,751,064
Loss component	-	-	-	-
	3,881,780	2,751,064	3,881,780	2,751,064

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

Liabilities for incured claims (LIC)				
Estimate of present value of future cash flows	5,429,336	12,992,733	5,429,336	12,992,733
Risk adjustment for non-financial risk	395,417	559,828	395,417	559,828
	5,824,753	13,552,561	5,824,753	13,552,561
	9,706,533	16,303,625	9,706,533	16,303,625

Reinsurance contract assets	Group 2025	Group 2024	Company 2025	Company 2024
Assets for remaining coverage (ARC)	**N'000**	**N'000**	**N'000**	**N'000**
Excluding loss component	2,001,062	605,685	2,001,062	605,685
Loss component	-	236,490	-	236,490
	2,001,062	842,175	2,001,062	842,175
Assets for incured claims (AIC)				
Estimate of present value of future cash flows	1,186,112	4,875,526	1,186,112	4,875,526
Risk adjustment for non-financial risk	92,039	123,969	92,039	123,969
	1,278,151	4,999,495	1,278,151	4,999,495
	3,279,213	5,841,670	3,279,213	5,841,670

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

17 Insurance and reinsurance contracts

The breakdown of groups of insurance contracts issued and reinsurance contracts held, that are in an asset position and those in a liability position is set out in the table below:

Group

Reconciliation of	2025			2024		
	Asset ₦'000	Liabilities ₦'000	Net ₦'000	Asset ₦'000	Liabilities ₦'000	Net ₦'000
Insurance contract issued						
General Accident	-	462,454	462,454	-	441,413	441,413
Agriculture	-	327,607	327,607	-	293,141	293,141
Aviation	-	2,185,450	2,185,450	-	1,284,040	1,284,040
Bond	-	18,563	18,563	-	16,714	16,714
Engineering	-	544,880	544,880	-	1,502,858	1,502,858
Fire	-	1,025,614	1,025,614	-	903,412	903,412
Marine	-	528,631	528,631	-	193,071	193,071
Motor	-	603,767	603,767	-	629,243	629,243
Oil & Gas	-	4,009,572	4,009,572	-	11,039,734	11,039,734
	-	**9,706,538**	**9,706,538**	**-**	**16,303,627**	**16,303,627**
Reinsurance contracts held						
General Accident	(83,654)	-	(83,654)	(112,823)	-	(112,823)
Agriculture	(196,288)	-	(196,288)	(8,075)	-	(8,075)
Aviation	(1,496,677)	-	(1,496,677)	(3,406)	-	(3,406)
Bond	(3,254)	-	(3,254)	(1,598)	-	(1,598)
Engineering	(157,397)	-	(157,397)	(394,662)	-	(394,662)
Fire	(354,574)	-	(354,574)	(347,912)	-	(347,912)
Marine	(186,182)	-	(186,182)	(50,779)	-	(50,779)
Motor	(97,912)	-	(97,912)	(120,148)	-	(120,148)
Oil & Gas	(703,274)	-	(703,274)	(4,802,269)	-	(4,802,269)
	(3,279,213)	**-**	**(3,279,213)**	**(5,841,670)**	**-**	**(5,841,671)**

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

17 The breakdown of groups of insurance contracts issued and reinsurance contracts held, that are in an asset position and those in a liability position is set out in the table below:

Company

Reconciliation of	2025			2024		
	Asset	Liabilities	Net	Asset	Liabilities	Net
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Insurance contract issued						
General Accident	-	462,454	462,454	-	441,413	441,413
Agriculture	-	327,607	327,607	-	293,141	293,141
Aviation	-	2,185,450	2,185,450	-	1,284,040	1,284,040
Bond	-	18,563	18,563	-	16,714	16,714
Engineering	-	544,880	544,880	-	1,502,858	1,502,858
Fire	-	1,025,614	1,025,614	-	903,412	903,412
Marine	-	528,631	528,631	-	193,071	193,071
Motor	-	603,767	603,767	-	629,243	629,243
Oil & Gas	-	4,009,572	4,009,572	-	11,039,734	11,039,734
	-	**9,706,533**	**9,706,533**	**-**	**16,303,627**	**16,303,627**
Reinsurance contracts held						
General Accident	(83,654)	-	(83,654)	(112,823)	-	(112,823)
Agriculture	(196,288)	-	(196,288)	(8,075)	-	(8,075)
Aviation	(1,496,677)	-	(1,496,677)	(3,406)	-	(3,406)
Bond	(3,254)	-	(3,254)	(1,598)	-	(1,598)
Engineering	(157,397)	-	(157,397)	(394,662)	-	(394,662)
Fire	(354,574)	-	(354,574)	(347,912)	-	(347,912)
Marine	(186,182)	-	(186,182)	(50,779)	-	(50,779)
Motor	(97,912)	-	(97,912)	(120,148)	-	(120,148)
Oil & Gas	(703,274)	-	(703,274)	(4,802,269)	-	(4,802,269)
	(3,279,213)	**-**	**(3,279,213)**	**(5,841,670)**	**-**	**(5,841,671)**

The subsequent individual portfolio roll forward for insurance contract liabilities and reinsurance contract assets represents both group and company.

Amount reported in profit or lass account based on reconciliation of insurance contracts issued	**Group**	**Group**	**Company**	**Company**
	2025	**2024**	**2025**	**2024**
	N'000	**N'000**	**N'000**	**N'000**
Insurance revenue	(22,579,472)	(23,310,885)	(22,602,820)	(23,330,242)
Total insurance service expense	3,441,948	18,590,142	3,441,948	18,590,139
Insurance finance expense	2,853,243	956,336	2,853,243	956,336

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Reconciliation of insurance contract liabilities (Extended roll forward)

Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Group

Reconciliation of 2025

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	2,751,065	-	12,992,734	559,828	16,303,627
Opening insurance contract assets	-	-	-	-	-
Net Insurance contract liabilities	2,751,065	-	12,992,734	559,828	16,303,627
Insurance revenue	(22,602,820)	-	-	-	(22,602,820)
Insurance service expense	-	-	-	-	-
Incurred claims	-	-	6,373,972	24,757	6,398,730
Other directly attributable expenses	-	-	293,838	-	293,838
Amortisation of insurance acquisition cash f	2,921,081	-	-	-	2,921,081
Other acquisition (Maintenance expense) expensed during the year	84,832	-	-	-	84,832
Changes related to past service i.e changes in fulfilment cash flows relating to incurred claims	-	-	(6,067,364)	(189,169)	(6,256,533)
Total Insurance service expenses	**3,005,913**	**-**	**600,446**	**(164,412)**	**3,441,948**
Investment components	-	-	-	-	
Insurance service result	**(19,596,907)**	**-**	**600,446**	**(164,412)**	**(19,160,872)**
Insurance finance expenses	-	-	2,853,243	-	2,853,243
Total change in comprehensive income	**(19,596,907)**	**-**	**3,453,689**	**(164,412)**	**(16,307,629)**
Cashflows					
Premiums received	22,957,609	-	-	-	22,957,609
Insurance benefits and claims paid	-	-	(10,723,245)	-	(10,723,245)
Other directly attributable expenses paid	-	-	(293,838)	-	(293,838)
Acquisition costs paid on policies initially	(3,114,727)	-	-	-	(3,114,727)
Other acqusition (Maintenance expense)	(84,832)	-	-	-	(84,832)
Total cashflows	**19,758,050**	**-**	**(11,017,083)**	**-**	**8,740,967**
Items reported in SOFP (Non-cashflows items)					
Impact of commission payable on policies initially recognized	193,646	-	-	-	193,646
Impact of trade receivables on policies	775,926	-	-	-	775,926
Total cashflows	**969,572**	**-**	**-**	**-**	**969,572**
Closing insurance contract liabilities	3,881,781	-	5,429,341	395,416	9,706,537
Closing insurance contract assets	-	-	-	-	
Net closing balance	**3,881,781**	**-**	**5,429,341**	**395,416**	**9,706,537**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b Reconciliation of reinsurance contract assets (Extended roll forward)

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Reconciliation of 2025

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	605,685	236,490	4,875,529	123,969	5,841,671
Opening re-insurance contract liabilities	-	-	-	-	-
Net re-insurance contract assets	605,685	236,490	4,875,529	123,969	5,841,671
An allocation of reinsurance premiums	(15,269,511)	-	-	-	(15,269,511)
Amounts recoverable from reinsurers for incurred claims	-	-	6,283,269	31,732	6,315,001
Amounts recoverable for other directly attributable expenses	236,490	(236,490)	-	-	0
Changes to amounts recoverable for incurred claims	-	-	(2,156,660)	(63,662)	(2,220,322)
Reinsurance Investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(15,033,021)	(236,490)	4,126,609	(31,930)	(11,174,832)
Reinsurance finance income	-	-	914,565	-	914,565
Total change in comprehensive income	(15,033,021)	(236,490)	5,041,174	(31,930)	(10,260,267)
Cashflows					
Premiums and similar expense paid	16,428,402	-	-	-	16,428,402
Amounts received in respect of claims	-	-	(8,730,592)	-	(8,730,592)
	16,428,402	-	(8,730,592)	-	7,697,809
Closing re-insurance contract assets	2,001,066	0	1,186,110	92,039	3,279,213
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	2,001,066	0	1,186,110	92,039	3,279,213

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Reconciliation of 2024

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	1,816,575	-	2,337,459	385,167	4,539,202
Opening insurance contract assets	-	-	-	-	-
Net Insurance contract liabilities	1,816,575	-	2,337,459	385,167	4,539,202
Insurance revenue	(23,330,242)	-	-	-	(23,330,242)
Insurance service expense	-	-	-	-	-
Incurred claims	-	-	13,619,932	(569,126)	13,050,806
Other directly attributable expenses	-	-	910,621	-	910,621
Amortisation of insurance acquisition cash	3,765,816	-	-	-	3,765,816
Other acquisition (Maintenamce expense) expensed during the year	86,616	-	-	-	86,616
Changes related to past service ie changes in fulfilment cash flows relating to incurred	-	-	32,493	743,787	776,280
Total Insurance service expenses	3,852,432	-	14,563,046	174,661	18,590,139
Investment components	-	-	-	-	-
Insurance service result	(19,477,810)	-	14,563,046	174,661	(4,740,103)
Insurance finance expenses	-	-	(956,336)	-	(956,336)
Total change in comprehensive income	(19,477,810)	-	13,606,710	174,661	(5,696,439)
Cashflows					
Premiums received	23,178,431	-	-	-	23,178,431
Claims and expenses paid	-	-	(2,162,686)	-	(2,162,686)
Other directly attributable expenses paid	-	-	(788,750)	-	(788,750)
Acquisition costs paid on policies initially recognized during the year	(3,220,986)	-	-	-	(3,220,986)
Other acqusition (Maintenance expense) paid during the year	(86,616)	-	-	-	(86,616)
Total cashflows	19,870,829	-	(2,951,436)	-	16,919,393
Items reported in SOFP (Non-cashflows items)					
Impact of commission payable on policies initially recognized	25,619	-	-	-	25,619
Impact of trade receivables on policies initially recognized	515,854	-	-	-	515,854
Total cashflows	541,473	-	-	-	541,473
Closing insurance contract liabilities	2,751,067	-	12,992,734	559,828	16,303,627
Closing insurance contract assets	-	-	-	-	-
Net closing balance	2,751,067	-	12,992,734	559,828	16,303,627

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b Reconciliation of reinsurance contract assets (Extended roll forward)

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and

2024

	Asset for remaining coverage		Amount recoverable on Incurred		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	425,533	5,297	1,111,437	105,591	1,647,857
Opening re-insurance contract liabilities	-	-	-	-	-
Net re-insurance contract assets	425,533	5,297	1,111,437	105,591	1,647,857
An allocation of reinsurance premiums	(14,512,705)	236,474	-	-	(14,276,231)
Amounts recoverable from reinsurers for incurred claims	-	-	5,485,308	(196,577)	5,288,731
Amounts recoverable for other directly	500,261	(5,281)	(494,980)	-	-
Changes to amounts recoverable for incurred claims	-	-	(150,479)	214,955	64,476
Reinsurance Investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(14,012,444)	231,193	4,839,848	18,378	(8,923,024)
Reinsurance finance income	-	-	(250,922)	-	(250,922)
Total change in comprehensive income	(14,012,444)	231,193	4,588,926	18,378	(9,173,947)
Cashflows					
Premiums and similar expense paid	14,192,596	-	-	-	14,192,596
Amounts received in respect of claims	-	-	(824,834)	-	(824,834)
	14,192,596	-	(824,834)	-	13,367,762
Closing re-insurance contract assets	605,685	236,490	4,875,529	123,969	5,841,670
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	605,685	236,490	4,875,529	123,969	5,841,670

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Company

Reconciliation of 2025

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	2,751,065	-	12,992,734	559,828	16,303,627
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	2,751,065	-	12,992,734	559,828	16,303,627
Insurance revenue	(22,602,820)				(22,602,820)
Insurance service expense	-	-	-	-	-
Incurred claims	-	-	*6,373,972*	*24,757*	6,398,730
Other directly attributable expenses			*293,838*		293,838
Amortisation of insurance acquisition cash flows	*2,921,081*		-	-	2,921,081
Other acquisition (Maintenance expense) expensed during the year	*84,832*				84,832
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims	-	-	*(6,067,364)*	*(189,169)*	(6,256,533)
Total Insurance service expenses	**3,005,913**	**-**	**600,446**	**(164,412)**	**3,441,948**
Investment components	-	-	-	-	-
Insurance service result	**(19,596,907)**	**-**	**600,446**	**(164,412)**	**(19,160,872)**
Insurance finance expenses			2,853,243	-	2,853,243
Total change in comprehensive income	**(19,596,907)**	**-**	**3,453,689**	**(164,412)**	**(16,307,629)**
Cashflows					
Premiums received	*22,957,609*	-	-	-	22,957,609
Insurance benefits and claims paid	-	-	*(10,723,245)*	-	(10,723,245)
Other directly attributable expenses paid	-		*(293,838)*		(293,838)
Acquisition costs paid on policies initially recognized during the year	*(3,114,727)*	-	-	-	(3,114,727)
Other acqusition (Maintenance expense) paid during the year	*(84,832)*		-		(84,832)
Total cashflows	**19,758,050**	**-**	**(11,017,083)**	**-**	**8,740,967**
Items reported in SOFP (Non-cashflows items)					
Impact of commission payable on policies initially recognized	193,646	-	-	-	193,646
Impact of trade receivables on policies initially recognized	*775,926*	-	-		775,926
Total cashflows	**969,572**	**-**	**-**	**-**	**969,572**
Closing insurance contract liabilities	3,881,781	-	5,429,341	395,416	9,706,537
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**3,881,781**	**-**	**5,429,341**	**395,416**	**9,706,537**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b Reconciliation of reinsurance contract assets (Extended roll forward)

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

2025	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	605,685	236,490	4,875,529	123,969	5,841,671
Opening re-insurance contract liabilities	-				
Net re-insurance contract assets	605,685	236,490	4,875,529	123,969	5,841,671
An allocation of reinsurance premiums	(15,269,511)	-	-	-	(15,269,511)
Amounts recoverable from reinsurers for incurred claims	-	-	6,283,269	31,732	6,315,001
Amounts recoverable for other directly attributable expenses	236,490	(236,490)	-	-	0
Changes to amounts recoverable for incurred claims	-	-	(2,156,660)	(63,662)	(2,220,322)
Reinsurance Investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(15,033,021)	(236,490)	4,126,609	(31,930)	(11,174,832)
Reinsurance finance income	-	-	914,565	-	914,565
Total change in comprehensive income	**(15,033,021)**	**(236,490)**	**5,041,174**	**(31,930)**	**(10,260,267)**
Cashflows					
Premiums and similar expense paid	16,428,402	-	-	-	16,428,402
Amounts received in respect of claims	-	-	(8,730,592)	-	(8,730,592)
	16,428,402	**-**	**(8,730,592)**	**-**	**7,697,809**
Closing re-insurance contract assets	2,001,066	0	1,186,110	92,039	3,279,213
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**2,001,066**	**0**	**1,186,110**	**92,039**	**3,279,213**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Reconciliation of 2024

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	1,816,575	-	2,337,459	385,168	4,539,202
Opening insurance contract assets	-	-	-	-	-
Net Insurance contract liabilities	1,816,575	-	2,337,459	385,168	4,539,202
Insurance revenue	(23,330,242)	-	-	-	(23,330,242)
Insurance service expense	-	-	-	-	-
Incurred claims	-	-	13,619,932	(569,126)	13,050,806
Other directly attributable expenses	-	-	910,621	-	910,621
Amortisation of insurance acquisition cash	3,765,816	-	-	-	3,765,816
Other acquisition (Maintenamce expense)	86,616	-	-	-	86,616
Changes related to past service ie changes	-	-	32,493	743,787	776,280
Total Insurance service expenses	**3,852,432**	**-**	**14,563,046**	**174,661**	**18,590,139**
Investment components	-	-	-	-	-
Insurance service result	**(19,477,810)**	**-**	**14,563,046**	**174,661**	**(4,740,103)**
Insurance finance expenses	-	-	(956,336)	-	(956,336)
Total change in comprehensive income	**(19,477,810)**	**-**	**13,606,710**	**174,661**	**(5,696,439)**
Cashflows					
Premiums received	*23,178,431*	-	-	-	23,178,431
Claims and expenses paid	-	-	*(2,162,686)*	-	(2,162,686)
Other directly attributable expenses paid	-		*(788,750)*		(788,750)
Acquisition costs paid on policies initially	*(3,220,986)*	-	-	-	(3,220,986)
Other acqusition (Maintenance expense) paid during the year	*(86,616)*		-		(86,616)
Total cashflows	**19,870,829**	**-**	**(2,951,436)**	**-**	**16,919,393**
Items reported in SOFP (Non-cashflows items)					
Impact of commission payable on policies	25,619	-	-	-	25,619
Impact of trade receivables on policies	515,854	-	-		515,854
Total cashflows	**541,473**	**-**	**-**	**-**	**541,473**
Closing insurance contract liabilities	2,751,064	-	12,992,734	559,829	16,303,627
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**2,751,064**	**-**	**12,992,734**	**559,829**	**16,303,627**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b Reconciliation of reinsurance contract assets (Extended roll forward)

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and

2024

	Asset for remaining coverage		Amount recoverable on Incurred		
	Excluding loss comonent	**Loss component**	**Estimate of present value of future cashflows**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening re-insurance contract assets	425,533	5,297	1,111,437	105,591	1,647,857
Opening re-insurance contract liabilities	-	-	-	-	-
Net re-insurance contract assets	425,533	5,297	1,111,437	105,591	1,647,857
An allocation of reinsurance premiums	(14,512,705)	236,474	-	-	(14,276,231)
Amounts recoverable from reinsurers for incurred claims	-	-	5,485,308	(196,577)	5,288,731
Amounts recoverable for other directly	500,261	(5,281)	(494,980)	-	-
Changes to amounts recoverable for	-	-	(150,479)	214,955	64,476
Reinsurance Investment components	-	-	-	-	-
Net income or expense from reinsurance	(14,012,444)	231,193	4,839,848	18,378	(8,923,025)
Reinsurance finance income	-	-	(250,922)	-	(250,922)
Total change in comprehensive income	**(14,012,444)**	**231,193**	**4,588,926**	**18,378**	**(9,173,948)**
Cashflows					
Premiums and similar expense paid	14,192,596	-	-	-	14,192,596
Amounts received in respect of claims	-	-	(824,834)	-	(824,834)
	14,192,596	**-**	**(824,834)**	**-**	**13,367,762**
Closing re-insurance contract assets	605,685	236,490	4,875,529	123,969	5,841,670
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**605,685**	**236,490**	**4,875,529**	**123,969**	**5,841,670**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims.

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(1) Reconciliation of LFRC and LIC - Motor

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	490,772	-	121,939	16,533	629,244
Opening insurance contract assets	-	-	-	-	-
Net Insurance contract liabilities	490,772	-	121,939	16,533	861,507
Insurance revenue	(1,929,787)				(1,929,787)
Insurance service expense					
Incurred claims			228,847	5,413	234,260
Other directly attributable expenses			-		-
Amortisation of insurance acquisition cash flows	255,459		-	-	255,459
Other acquisition (Maintenance expense) expensed during the year	6,876				6,876
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims		-	(40,027)	(9,003)	(49,030)
Total Insurance service expenses	**262,335**	**-**	**188,820**	**(3,590)**	**447,564**
Investment components	-	-	-	-	-
Insurance service result	(1,667,452)	-	188,820	(3,590)	(1,482,223)
Insurance finance expenses			34,683	-	34,683
Total change in comprehensive income	**(1,667,452)**	**-**	**223,502**	**(3,590)**	**(1,447,540)**
Cashflows					
Premiums received	1,923,509				1,923,509
Claims and expenses paid	-		(239,111)		(239,111)
Acquisition costs paid	(262,335)				(262,335)
	1,661,175	**-**	**(239,111)**	**-**	**1,422,063**
Closing insurance contract liabilities	484,495	-	106,330	12,943	603,767
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**484,495**	**-**	**106,330**	**12,943**	**603,767**

17a

Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(1) Reconciliation of LFRC and LIC - Motor

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	332,085	-	455,026	74,397	861,507
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	336,257	(4,173)	455,026	74,397	861,507
Insurance revenue	(1,270,361)				(1,270,361)
Insurance service expense					
Incurred claims and other expenses			309,659	(45,693)	263,966
Other directly attributable expenses			25,948		25,948
Amortisation of insurance acquisition cash flows	232,318		-	-	232,318
Changes related to future service					-
Changes related to past service		-	(9,839)	(12,171)	(22,011)
Total Insurance service expenses	**232,318**	**-**	**325,768**	**(57,864)**	**500,221**
Investment components	-	-	-	-	-
Insurance service result	(1,038,043)	-	325,768	(57,864)	(770,139)
Insurance finance expenses			(45,337)	-	(45,337)
Total change in comprehensive income	**(1,038,043)**	**-**	**280,431**	**(57,864)**	**(815,476)**
Cashflows					
Premiums received	1,429,048				1,429,048
Claims and expenses paid			(613,517)		(613,517)
Acquisition costs paid	(232,318)				(232,318)
	1,196,730	**-**	**(613,517)**	**-**	**583,213**
Closing insurance contract liabilities	490,772	-	121,939	16,533	629,243
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**490,772**	**-**	**121,939**	**16,533**	**629,243**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

.7a(2) Reconciliation of LFRC and LIC - General Accident

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	169,200	-	253,024	19,189	441,413
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	169,200	-	253,024	19,189	441,413
Insurance revenue	(1,032,613)				(1,032,613)
Insurance service expense					
Incurred claims			(133,735)	31,344	(102,391)
Other directly attributable expenses			55,371		55,371
Amortisation of insurance acquisition cash flows	227,363				227,363
Other acquisition (Maintenance expense) expensed during the year	3,755				3,755
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims		-	114,169	(19,542)	94,627
Total Insurance service expenses	**231,118**	**-**	**35,805**	**11,802**	**278,725**
Investment components	-	-	-	-	-
Insurance service result	(801,495)	-	35,805	11,802	(753,888)
Insurance finance expenses			83,031	-	83,031
Total change in comprehensive income	**(801,495)**	**-**	**118,837**	**11,802**	**(670,856)**
Cashflows					
Premiums received	1,050,469				1,050,469
Claims and expenses paid	-		(127,454)		(127,454)
Acquisition costs paid	(231,118)				(231,118)
	819,352	**-**	**(127,454)**	**-**	**691,897**
Closing insurance contract liabilities	187,056	-	244,406	30,991	462,454
Closing insurance contract assets		-	-	-	-
Net closing balance	**187,056**	**-**	**244,406**	**30,991**	**462,454**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a

Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

.7a(2) Reconciliation of LFRC and LIC - General Accident

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	119,435	-	160,835	28,121	308,391
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	119,435	-	160,835	28,121	308,391
Insurance revenue	(561,829)				(561,829)
Insurance service expense					
Incurred claims and other expenses			245,900	(8,892)	237,008
Other directly attributable expenses			(65,390)		(65,390)
Amortisation of insurance acquisition cash flows	97,713				97,713
Changes related to future service					-
Changes related to past service		-	8,532	(40)	8,492
Total Insurance service expenses	**97,713**	**-**	**189,042**	**(8,932)**	**277,822**
Investment components	-	-	-	-	-
Insurance service result	(464,117)	-	189,042	(8,932)	(284,007)
Insurance finance expenses			(56,713)	-	(56,713)
Total change in comprehensive income	**(464,117)**	**-**	**132,330**	**(8,932)**	**(340,720)**
Cashflows					
Premiums received	611,596				611,596
Claims and expenses paid			(40,141)		(40,141)
Acquisition costs paid	(97,714)				(97,714)
	513,882	-	(40,141)	-	473,741
Closing insurance contract liabilities	169,200	-	253,024	19,189	441,413
Closing insurance contract assets	-	-	-	-	-
Net closing balance	169,200	-	253,024	19,189	441,413

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(3) Reconciliation of LFRC and LIC - Fire

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	445,818	-	396,999	60,594	903,412
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	445,818	-	396,999	60,594	903,412
Insurance revenue	(2,065,715)				(2,065,715)
Insurance service expense					
Incurred claims			116,525	47,605	164,130
Other directly attributable expenses			47,019		47,019
Amortisation of insurance acquisition cash flows	442,229				442,229
Other acquisition (Maintenance expense) expensed during the year	7,432				7,432
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims	-		162,933	(42,082)	120,851
Total Insurance service expenses	449,661	-	326,477	5,523	**781,661**
Investment components	-	-	-	-	-
Insurance service result	(1,616,054)	-	326,477	5,523	(1,284,054)
Insurance finance expenses	-	-	149,076	-	149,076
Total change in comprehensive income	**(1,616,054)**	-	**475,553**	**5,523**	**(1,134,978)**
Cashflows					
Premiums received	2,079,110				2,079,110
Claims and expenses paid	-		(372,269)		(372,269)
Acquisition costs paid	(449,661)				(449,661)
	1,629,449	-	**(372,269)**	-	**1,257,180**
Closing insurance contract liabilities	459,213	-	500,284	66,117	1,025,614
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**459,213**	-	**500,284**	**66,117**	**1,025,614**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(3) Reconciliation of LFRC and LIC - Fire

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component ₦'000	Loss component ₦'000	Estimate of present value of future cashflows ₦'000	Risk Adjustment ₦'000	Total ₦'000
Opening insurance contract liabilities	308,349	-	413,789	70,725	792,862
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	308,349	-	413,789	70,725	792,862
Other directly attributable expenses					
Insurance revenue	(1,221,380)				(1,221,380)
Insurance service expense					
Incurred claims and other expenses			332,976	21,354	354,330
Other directly attributable expenses			31,372		31,372
Amortisation of insurance acquisition cash flows	230,334				230,334
Changes related to future service	-	-			-
Changes related to past service	-		90,275	(31,485)	58,790
Total Insurance service expenses	**230,334**	**-**	**454,624**	**(10,131)**	**674,827**
Investment components	-	-	-	-	-
Insurance service result	(991,046)	-	454,624	(10,131)	(546,553)
Insurance finance expenses	-	-	(85,948)	-	(85,948)
Total change in comprehensive income	**(991,046)**	**-**	**368,675**	**(10,131)**	**(632,502)**
Cashflows					
Premiums received	1,358,849				1,358,849
Claims and expenses paid			(385,464)		(385,464)
Acquisition costs paid	(230,334)				(230,334)
	1,128,515	**-**	**(385,464)**	**-**	**743,051**
Closing insurance contract liabilities	445,818	-	396,999	60,594	903,412
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**445,818**	**-**	**396,999**	**60,594**	**903,412**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(4) Reconciliation of LFRC and LIC - Engineering

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	203,773	-	1,181,926	117,158	1,502,858
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	203,773	-	1,181,926	117,158	1,502,858
Insurance revenue	(992,348)				(992,348)
Insurance service expense					
Incurred claims			(47,932)	(101,809)	(149,741)
Other directly attributable expenses			124,692		124,692
Amortisation of insurance acquisition cash flows	240,633				240,633
Other acquisition (Maintenance expense) expensed during the year	3,998				3,998
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims	-		(1,164,320)	1,048	(1,163,272)
Total Insurance service expenses	**244,631**	**-**	**(1,087,560)**	**(100,761)**	**(943,689)**
Investment components	-	-	-	-	-
Insurance service result	(747,717)	-	(1,087,560)	(100,761)	(1,936,037)
Insurance finance expenses			322,248	-	322,248
Total change in comprehensive income	**(747,717)**	**-**	**(765,311)**	**(100,761)**	**(1,613,789)**
Cashflows					
Premiums received	1,118,441				1,118,441
Claims and expenses paid			(217,999)		(217,999)
Acquisition costs paid	(244,631)				(244,631)
	873,811	**-**	**(217,999)**	**-**	**655,812**
Closing insurance contract liabilities	329,867	-	198,616	16,397	544,880
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**329,867**	**-**	**198,616**	**16,397**	**544,880**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(4) Reconciliation of LFRC and LIC - Engineering

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component ₦'000	Loss component ₦'000	Estimate of present value of future cashflows ₦'000	Risk Adjustment ₦'000	Total ₦'000
Opening insurance contract liabilities	252,674	-	311,473	43,711	607,859
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	252,674	-	311,473	43,711	607,859
Other directly attributable expenses					
Insurance revenue	(255,904)				(255,904)
Insurance service expense					
Incurred claims and other expenses			556,075	75,297	631,372
			707,240		707,240
Amortisation of insurance acquisition cash flows	95,827				95,827
Changes related to future service					-
Changes related to past service	-		57,343	(1,850)	55,492
Total Insurance service expenses	**95,827**	**-**	**1,320,657**	**73,447**	**1,489,931**
Investment components	-	-	-	-	-
Insurance service result	(160,077)	-	1,320,657	73,447	1,234,027
Insurance finance expenses			(137,193)	-	(137,193)
Total change in comprehensive income	**(160,077)**	**-**	**1,183,465**	**73,447**	**1,096,835**
Cashflows					
Premiums received	170,650				170,650
Claims and expenses paid			(313,012)		(313,012)
Acquisition costs paid	(59,474)				(59,474)
	111,176	**-**	**(313,012)**	**-**	**(201,836)**
Closing insurance contract liabilities	203,773		1,181,926	117,158	1,502,858
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**203,773**	**-**	**1,181,926**	**117,158**	**1,502,858**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(5) Reconciliation of LFRC and LIC - Marine

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	166,287	-	24,343	2,441	193,071
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	166,287	-	24,343	2,441	193,071
Insurance revenue	(665,181)				(665,181)
Insurance service expense					
Incurred claims			285,468	(764)	284,704
Other directly attributable expenses					-
Amortisation of insurance acquisition cash flows	128,855				128,855
Other acquisition (Maintenance expense) expensed during the year	2,335				2,335
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims			14,394	6,181	20,575
Total Insurance service expenses	**131,189**	**-**	**299,863**	**5,416**	**436,468**
Investment components	-	-	-	-	-
Insurance service result	(533,992)	-	299,863	5,416	(228,713)
Insurance finance expenses			48,510	-	48,510
Total change in comprehensive income	**(533,992)**	**-**	**348,372**	**5,416**	**(180,203)**
Cashflows					
Premiums received	653,160				653,160
Claims and expenses paid			(6,209)		(6,209)
Acquisition costs paid	(131,189)				(131,189)
	521,971	**-**	**(6,209)**	**-**	**515,762**
Closing insurance contract liabilities	154,266	-	366,507	7,857	528,631
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**154,266**	**-**	**366,507**	**7,857**	**528,631**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(5) Reconciliation of LFRC and LIC - Marine

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	**Loss component**	**Estimate of present value of future cashflows**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening insurance contract liabilities	141,636	-	165,563	22,269	329,468
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	141,636	-	165,563	22,269	329,468
Other directly attributable expenses					
Insurance revenue	(433,879)				(433,879)
Insurance service expense					
Incurred claims and other expenses			36,987	(19,266)	17,721
			91,012		91,012
Amortisation of insurance acquisition cash flows	82,278				82,278
Changes related to future service					-
Changes related to past service			6,825	(563)	6,262
Total Insurance service expenses	**82,278**	**-**	**134,824**	**(19,829)**	**197,273**
Investment components	-	-	-	-	-
Insurance service result	(351,601)	-	134,824	(19,829)	(236,605)
Insurance finance expenses			(2,690)	-	(2,690)
Total change in comprehensive income	**(351,601)**	**-**	**132,134**	**(19,829)**	**(239,295)**
Cashflows					
Premiums received	458,530				458,530
Claims and expenses paid			(273,354)		(273,354)
Acquisition costs paid	(82,278)				(82,278)
	376,252	**-**	**(273,354)**	**-**	**102,899**
Closing insurance contract liabilities	166,287	-	24,343	2,441	193,071
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**166,287**	**-**	**24,343**	**2,441**	**193,071**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(6) Reconciliation of LFRC and LIC - Oil & Gas

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	1,184,753	-	9,721,079	133,902	11,039,734
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	1,184,753	-	9,721,079	133,902	11,039,734
Insurance revenue	(3,683,449)				(3,683,449)
Insurance service expense					
Incurred claims			715,212	221,171	936,383
Other directly attributable expenses			-		-
Amortisation of insurance acquisition cash flows	642,670				642,670
Other acquisition (Maintenance expense) expensed during the year	10,941				10,941
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims	-		(4,638,815)	(135,747)	(4,774,562)
Total Insurance service expenses	**653,611**	**-**	**(3,923,603)**	**85,424**	**(3,184,568)**
Investment components	-	-	-	-	-
Insurance service result	(3,029,838)	-	(3,923,603)	85,424	(6,868,017)
Insurance finance expenses			1,882,026	-	1,882,026
Total change in comprehensive income	**(3,029,838)**	**-**	**(2,041,577)**	**85,424**	**(4,985,992)**
Cashflows					
Premiums received	3,060,713				3,060,713
Claims and expenses paid			(4,451,272)		(4,451,272)
Acquisition costs paid	(653,611)				(653,611)
	2,407,102	**-**	**(4,451,272)**	**-**	**(2,044,170)**
Closing insurance contract liabilities	562,017	-	3,228,229	219,326	4,009,572
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**562,017**	**-**	**3,228,229**	**219,326**	**4,009,572**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(6) Reconciliation of LFRC and LIC - Oil & Gas

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component ₦'000	**Loss component ₦'000**	**Estimate of present value of future cashflows ₦'000**	**Risk Adjustment ₦'000**	**Total ₦'000**
Opening insurance contract liabilities	300,144	-	411,052	73,411	784,607
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	300,144	-	411,052	73,411	784,607
Insurance revenue	(3,523,501)				(3,523,501)
Insurance service expense					
Incurred claims and other expenses			10,814,578	(742,416)	10,072,162
Other directly attributable expenses			(1,720,092)		(1,720,092)
Amortisation of insurance acquisition cash flows	1,063,336				1,063,336
Changes related to future service					-
Changes related to past service	-		(132,492)	802,906	670,414
Total Insurance service expenses	**1,063,336**	**-**	**8,961,994**	**60,491**	**10,085,820**
Investment components	-	-	-	-	-
Insurance service result	(2,460,165)	-	8,961,994	60,491	6,562,320
Insurance finance expenses			(403,255)	-	(403,255)
Total change in comprehensive income	**(2,460,165)**	**-**	**8,558,739**	**60,491**	**6,159,065**
Cashflows					
Premiums received	3,898,833				3,898,833
Claims and expenses paid			751,288		751,288
Acquisition costs paid	(554,059)				(554,059)
	3,344,774	**-**	**751,288**	**-**	**4,096,062**
Closing insurance contract liabilities	1,184,753	-	9,721,079	133,902	11,039,734
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**1,184,753**	**-**	**9,721,079**	**133,902**	**11,039,734**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(7) Reconciliation of LFRC and LIC - Bond

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	15,379	-	1,279	56	16,714
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	15,379	-	1,279	56	16,714
Insurance revenue	(30,219)				(30,219)
Insurance service expense					
Incurred claims			(8,938)	197	(8,741)
Other directly attributable expenses			-		-
Amortisation of insurance acquisition cash flows	4,025				4,025
Other acquisition (Maintenance expense) expensed during the year	110				110
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims			9,657	(252)	9,405
Total Insurance service expenses	**4,135**	-	**718**	**(55)**	**4,798**
Investment components	-	-	-	-	-
Insurance service result	(26,084)	-	718	(55)	(25,421)
Insurance finance expenses			556	-	556
Total change in comprehensive income	**(26,084)**	-	**1,275**	**(55)**	**(24,864)**
Cashflows					
Premiums received	30,848				30,848
Claims and expenses paid			-		-
Acquisition costs paid	(4,135)				(4,135)
	26,713	-	-	-	**26,713**
Closing insurance contract liabilities	16,008	-	2,553	2	18,563
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**16,008**	-	**2,553**	**2**	**18,563**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(7) Reconciliation of LFRC and LIC - Bond

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	28,336	-	29,126	3,497	60,959
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	28,336	-	29,126	3,497	60,959
Insurance revenue	(34,780)				(34,780)
Insurance service expense					
Incurred claims			1,279	(3,314)	(2,035)
Other directly attributable expenses			3,592		3,592
Amortisation of insurance acquisition cash flows	6,612				6,612
Changes related to future service					-
Changes related to past service			7,257	(127)	7,130
Total Insurance service expenses	**6,612**	**-**	**12,128**	**(3,441)**	**15,300**
Investment components	-	-	-	-	-
Insurance service result	(28,168)	-	12,128	(3,441)	(19,480)
Insurance finance expenses			(259)	-	(259)
Total change in comprehensive income	**(28,168)**	**-**	**11,869**	**(3,441)**	**(19,739)**
Cashflows					
Premiums received	21,822				21,822
Claims and expenses paid			(39,716)		(39,716)
Acquisition costs paid	(6,612)				(6,612)
	15,210	**-**	**(39,716)**	**-**	**(24,506)**
Closing insurance contract liabilities	15,379	-	1,279	56	16,714
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**15,379**	**-**	**1,279**	**56**	**16,714**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(8) Reconciliation of LFRC and LIC - Aviation

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	64,695	-	1,059,514	159,832	1,284,040
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	64,695	-	1,059,514	159,832	1,284,040
Insurance revenue	(12,141,634)				(12,141,634)
Insurance service expense					
Incurred claims			5,026,305	(130,746)	4,895,558
Other directly attributable expenses			66,755	-	66,755
Amortisation of insurance acquisition cash flows	963,738				963,738
Other acquisition (Maintenance expense) expensed during the year	49,135				49,135
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims	-		(300,684)	(10,398)	(311,082)
Total Insurance service expenses	**1,012,873**	**-**	**4,792,376**	**(141,144)**	**5,664,104**
Investment components	-	-	-	-	-
Insurance service result	(11,128,761)	-	4,792,376	(141,144)	(6,477,530)
Insurance finance expenses			248,476	-	248,476
Total change in comprehensive income	**(11,128,761)**	**-**	**5,040,851**	**(141,144)**	**(6,229,054)**
Cashflows					
Premiums received	13,746,013				13,746,013
Claims and expenses paid			(5,602,676)		(5,602,676)
Acquisition costs paid	(1,012,873)				(1,012,873)
	12,733,139	**-**	**(5,602,676)**	**-**	**7,130,463**
Closing insurance contract liabilities	1,669,074	-	497,689	18,687	2,185,450
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**1,669,074**	**-**	**497,689**	**18,687**	**2,185,450**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(8) Reconciliation of LFRC and LIC - Aviation

	Excluding loss component ₦'000	Loss component ₦'000	Estimate of present value of future cashflows ₦'000	Risk Adjustment ₦'000	Total ₦'000
Opening insurance contract liabilities	129,793	-	114,016	18,673	262,482
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	129,793	-	114,016	18,673	262,482
Insurance revenue	(16,011,877)				(16,011,877)
Insurance service expense					
Incurred claims and other expenses			1,305,153	144,648	1,449,801
Other directly attributable expenses			1,787,500		1,787,500
Amortisation of insurance acquisition cash flows	*2,040,450*				2,040,450
Changes related to future service		-			-
Changes related to past service	-		4,593	(3,489)	1,104
Total Insurance service expenses	**2,040,450**	**-**	**3,097,246**	**141,159**	5,278,855
Investment components	-	-	-	-	
Insurance service result	(13,971,427)	-	3,097,246	141,159	(10,733,023)
Insurance finance expenses			(137,192)	-	(137,192)
Total change in comprehensive income	**(13,971,427)**	**-**	**2,960,054**	**141,159**	**(10,870,214)**
Cashflows					
Premiums received	15,946,779				15,946,779
Claims and expenses paid			(2,014,556)		(2,014,556)
Acquisition costs paid	(2,040,450)				(2,040,450)
	13,906,329	**-**	**(2,014,556)**	**-**	**11,891,773**
Closing insurance contract liabilities	64,695	-	1,059,514	159,832	1,284,040
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**64,695**	**-**	**1,059,514**	**159,832**	**1,284,040**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately This disaggregation has been determined based on how the company is managed.

The roll forward presented below shows a summarized position of all the portfolios.

Company

2025

17a(9) Reconciliation of LFRC and LIC - Agriculture

	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	10,388	-	232,629	50,125	293,141
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	10,388	-	232,629	50,125	293,141
Insurance revenue	(61,873)				(61,873)
Insurance service expense					
Incurred claims			192,221	(47,653)	144,568
Other directly attributable expenses			-		-
Amortisation of insurance acquisition cash flows	16,110				16,110
Other acquisition (Maintenance expense) expensed during the year	255				255
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims			(224,670)	20,625	(204,045)
Total Insurance service expenses	**16,364**	**-**	**(32,450)**	**(27,027)**	**(43,113)**
Investment components	-	-	-	-	-
Insurance service result	(45,509)	-	(32,450)	(27,027)	(104,986)
Insurance finance expenses			84,637	-	84,637
Total change in comprehensive income	**(45,509)**	**-**	**52,188**	**(27,027)**	**(20,348)**
Cashflows					
Premiums received	71,271				71,271
Claims and expenses paid			(92)		(92)
Acquisition costs paid	(16,364)				(16,364)
	54,906	**-**	**(92)**	**-**	**54,814**
Closing insurance contract liabilities	19,786	-	284,724	23,098	327,607
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**19,786**	**-**	**284,724**	**23,098**	**327,607**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17a Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

Company

2024

17a(9) Reconciliation of LFRC and LIC - Agriculture

	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening insurance contract liabilities	204,124	-	276,580	50,363	531,066
Opening insurance contract assets	-	-	-		-
Net Insurance contract liabilities	204,124	-	276,580	50,363	531,066
Insurance revenue	(16,732)				(16,732)
Insurance service expense					
Incurred claims and other expenses			17,325	9,157	26,482
Amortisation of insurance acquisition cash flows	3,566		*49,440*		#REF!
Changes related to future service					3,566
Changes related to past service					-
Total Insurance service expenses				**(9,395)**	(9,395)
Investment components	3,566	-	66,765	(238)	**#REF!**
Insurance service result	(13,166)	-	66,765	(238)	53,361
Insurance finance expenses			(87,750)	-	(87,750)
Total change in comprehensive income	**(13,166)**	-	**(20,985)**	**(238)**	**(34,389)**
Cashflows					
Premiums received	(177,004)				(177,004)
Claims and expenses paid			(22,966)		(22,966)
Acquisition costs paid	(3,566)				(3,566)
	(180,570)	-	**(22,966)**	-	**(203,536)**
Closing insurance contract liabilities	10,388	-	232,629	50,125	293,141
Closing insurance contract assets	-	-	-	-	-
Net closing balance	**10,388**	-	**232,629**	**50,125**	**293,141**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(1) Reconciliation of AFRC and ARC-Motor

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	**Loss component**	**Estimate of present value of future cashflows**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening re-insurance contract assets	69,147	-	44,911	6,089	120,147
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	69,147	-	44,911	6,089	120,147
An allocation of reinsurance premiums	(391,700)	-			(391,700)
Amounts recoverable from reinsurers for incurred claims			30,374	854	31,228
Amounts recoverable for other directly attributable expenses	-	-	-	-	-
Changes to amounts recoverable for incurred claims		-	(10,629)	(4,035)	(14,664)
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts	(391,700)	-	19,745	(3,181)	(375,136)
Reinsurance finance income	-	-	10,055	-	10,055
Total change in comprehensive income	**(391,700)**	**-**	**29,800**	**(3,181)**	**(365,082)**
Cashflows					
Premiums and similar expense paid	393,668				393,668
Amounts received	-		(50,821)		(50,821)
	393,668	**-**	**(50,821)**	**-**	**342,847**
Closing re-insurance contract assets	71,115	-	23,890	2,908	97,912
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**71,115**	**-**	**23,890**	**2,908**	**97,912**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(1) Reconciliation of AFRC and ARC-Motor

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	101,602	267	158,733	5,739	266,341
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	101,602	267	158,733	5,739	266,341
An allocation of reinsurance premiums	(289,289)	*1,260*			(288,028)
Amounts recoverable from reinsurers for incurred claims			14,713	7,632	22,344
Amounts recoverable for other directly attributable expenses	144,682	(1,527)	(143,155)	-	-
Changes to amounts recoverable for incurred claims		-	(4,767)	(7,282)	(12,048)
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts	(144,607)	(267)	(133,209)	350	(277,732)
Reinsurance finance income	-	-	2,082	-	2,082
Total change in comprehensive income	**(144,607)**	**(267)**	**(131,127)**	**350**	**(275,650)**
Cashflows					
Premiums and similar expense paid	112,152				112,152
Amounts received	-		17,305		17,305
Acquisition costs paid				-	-
	112,152	**-**	**17,305**	**-**	**129,458**
Closing re-insurance contract assets	69,147	-	44,911	6,089	120,148
Closing re-insurance contract liabilities	-				
Net closing balance	**69,147**	**-**	**44,911**	**6,089**	**120,148**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(2) Reconciliation of AFRC and ARC-General Accident

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	**Loss component**	**Estimate of present value of future cashflows**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening re-insurance contract assets	77,374	-	32,950	2,498	112,822
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	77,374	-	32,950	2,498	112,822
An allocation of reinsurance premiums	(230,114)	-			(230,114)
Amounts recoverable from reinsurers for incurred claims			21,177	4,068	25,246
Amounts recoverable for other directly attributable expenses	-	-	-		-
Changes to amounts recoverable for incurred claims	-	-	14,493	(2,531)	11,962
Reinsurance Investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(230,114)	-	35,670	1,537	(192,906)
Reinsurance finance income	-	-	10,813		10,813
Total change in comprehensive income	**(230,114)**	**-**	**46,483**	**1,537**	**(182,093)**
Cashflows					
Premiums and similar expense paid	200,530				200,530
Amounts received	-		(47,605)		(47,605)
	200,530	**-**	**(47,605)**	**-**	**152,925**
Closing re-insurance contract assets	47,790	-	31,828	4,035	83,654
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**47,790**	**-**	**31,828**	**4,035**	**83,654**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(2) Reconciliation of AFRC and ARC-General Accident

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	12,870	203	83,040	10,662	106,775
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	12,870	203	83,040	10,662	106,775
An allocation of reinsurance premiums	(132,073)	*(124)*			(132,197)
Amounts recoverable from reinsurers for incurred claims			30,115	(6,103)	24,012
Amounts recoverable for other directly attributable expenses	7,490	(79)	(7,411)		-
Changes to amounts recoverable for incurred claims			1,945	(2,061)	(116)
Net income or expense from reinsurance contracts held	(124,583)	(203)	24,649	(8,164)	(108,300)
Reinsurance finance income	-	-	(390)		(390)
Total change in comprehensive income	**(124,583)**	**(203)**	**24,259**	**(8,164)**	**(108,690)**
Cashflows					
Premiums and similar expense paid	189,087		-	-	189,087
Amounts received	-	-	(74,350)	-	(74,350)
	189,087	**-**	**(74,350)**	**-**	**114,738**
Closing re-insurance contract assets	77,374	(0)	32,950	2,498	112,823
Closing re-insurance contract liabilities	-				
Net closing balance	**77,374**	**(0)**	**32,950**	**2,498**	**112,823**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(3) Reconciliation of AFRC and ARC-Fire

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	194,106	-	133,439	20,366	347,911
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	194,106	-	133,439	20,366	347,911
An allocation of reinsurance premiums	(447,646)	-	-	-	(447,646)
Amounts recoverable from reinsurers for incurred claims			9,520	15,908	25,428
Amounts recoverable for other directly attributable expenses	-	-	-		-
Changes to amounts recoverable for incurred claims			58,175	(14,051)	44,124
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(447,646)	-	67,695	1,856	(378,094)
Reinsurance finance income	-	-	50,113		50,113
Total change in comprehensive income	**(447,646)**	-	**117,808**	**1,856**	**(327,981)**
Cashflows					
Premiums and similar expense paid	417,739				417,739
Amounts received	-		(83,093)		(83,093)
	417,739	-	**(83,093)**	-	**334,646**
Closing re-insurance contract assets	164,199	-	168,154	22,223	354,575
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**164,199**	-	**168,154**	**22,223**	**354,575**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(3) Reconciliation of AFRC and ARC-Fire

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	34,782	2,799	157,924	22,300	217,805
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	34,782	2,799	157,924	22,300	217,805
An allocation of reinsurance premiums	(446,088)	*(2,436)*	-	-	(448,524)
Amounts recoverable from reinsurers for incurred claims			26,944	12,435	39,379
Amounts recoverable for incurred claims and other expenses	34,396	*(363)*	(34,033)		-
Changes to amounts recoverable for incurred claims			38,928	(14,369)	24,560
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(411,692)	(2,799)	31,839	(1,933)	(384,585)
Reinsurance finance income	-	-	(1,608)		(1,608)
Total change in comprehensive income	**(411,692)**	**(2,799)**	**30,232**	**(1,933)**	**(386,192)**
Cashflows					
Premiums and similar expense paid	571,016		-		571,016
Amounts received	-		(54,717)	-	(54,717)
	571,016	**-**	**(54,717)**	**-**	**516,299**
Closing re-insurance contract assets	194,106	0	133,439	20,366	347,912
Closing re-insurance contract liabilities	-				
Net closing balance	**194,106**	**0**	**133,439**	**20,366**	**347,912**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(4) Reconciliation of AFRC and ARC-Engineering

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	909	-	358,242	35,511	394,662
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	909	-	358,242	35,511	394,662
An allocation of reinsurance premiums	(307,278)	-			(307,278)
Amounts recoverable from reinsurers for incurred claims			1,872	(28,237)	(26,365)
Amounts recoverable for other directly attributable expenses	-	-	-	-	-
Changes to amounts recoverable for incurred claims			(326,552)	(1,320)	(327,872)
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(307,278)	-	(324,680)	(29,557)	(661,515)
Reinsurance finance income	-	-	99,156		99,156
Total change in comprehensive income	**(307,278)**	**-**	**(225,524)**	**(29,557)**	**(562,358)**
Cashflows					
Premiums and similar expense paid	385,693				385,693
Amounts received	-		(60,600)		(60,600)
	385,693	-	(60,600)	-	325,093
Closing re-insurance contract assets	79,324	-	72,118	5,954	157,397
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	79,324	-	72,118	5,954	157,397

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(4) Reconciliation of AFRC and ARC-Engineering

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	103,532	162	187,457	6,010	297,161
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	103,532	162	187,457	6,010	297,161
An allocation of reinsurance premiums	16,830	*1,242*			18,072
Amounts recoverable from reinsurers for incurred claims			348,390	27,533	375,923
Amounts recoverable for incurred claims and other expenses	132,964	*(1,404)*	(131,560)	-	-
Changes to amounts recoverable for incurred claims			14,297	1,969	16,265
Net income or expense from reinsurance contracts held	149,794	(162)	231,127	29,502	410,261
Reinsurance finance income	-	-	(32,004)		(32,004)
Total change in comprehensive income	**149,794**	**(162)**	**199,123**	**29,502**	**378,257**
Cashflows					
Premiums and similar expense paid	(252,418)		-	-	(252,418)
Amounts received	-		(28,339)	-	(28,339)
	(252,418)	**-**	**(28,339)**	**-**	**(280,756)**
Closing re-insurance contract assets	909	-	358,242	35,511	394,662
Closing re-insurance contract liabilities	-				
Net closing balance	**909**	**-**	**358,242**	**35,511**	**394,662**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(5) Reconciliation of AFRC and ARC-Marine

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	48,346	-	2,212	222	50,780
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	48,346	-	2,212	222	50,780
An allocation of reinsurance premiums	(150,451)	-			(150,451)
Amounts recoverable from reinsurers for incurred claims			101,286	95	101,381
Amounts recoverable for other directly attributable expenses	-	-	-		-
Changes to amounts recoverable for incurred claims			1,282	2,204	3,486
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(150,451)	-	102,568	2,299	(45,584)
Reinsurance finance income	-	-	14,378		14,378
Total change in comprehensive income	**(150,451)**	**-**	**116,946**	**2,299**	**(31,206)**
Cashflows					
Premiums and similar expense paid	168,180				168,180
Amounts received	-		(1,572)		(1,572)
	168,180	**-**	**(1,572)**	**-**	**166,608**
Closing re-insurance contract assets	66,074	-	117,586	2,521	186,182
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**66,074**	**-**	**117,586**	**2,521**	**186,182**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(5) Reconciliation of AFRC and ARC-Marine

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	91,912	65	110,226	1,313	203,516
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	91,912	65	110,226	1,313	203,516
An allocation of reinsurance premiums	(77,740)	*867*			(76,873)
Amounts recoverable from reinsurers for incurred claims			23,034	(933)	22,101
Amounts recoverable for incurred claims and other expenses	88,255	(932)	(87,323)		-
Changes to amounts recoverable for incurred claims	-	-	1,015	(158)	857
Net income or expense from reinsurance contracts held	10,515	(65)	(63,274)	(1,091)	(53,915)
Reinsurance finance income	-	-	(79)		(79)
Total change in comprehensive income	**10,515**	**(65)**	**(63,353)**	**(1,091)**	**(53,995)**
Cashflows					
Premiums and similar expense paid	(54,081)		-		(54,081)
Amounts received	-		(44,661)	-	(44,661)
	(54,081)	**-**	**(44,661)**	**-**	**(98,742)**
Closing re-insurance contract assets	48,346	(0)	2,212	222	50,779
Closing re-insurance contract liabilities	-				
Net closing balance	**48,346**	**(0)**	**2,212**	**222**	**50,779**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(6) Reconciliation of AFRC and ARC-Oil & Gas

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	213,742	225,470	4,303,776	59,282	4,802,269
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	213,742	225,470	4,303,776	59,282	4,802,269
An allocation of reinsurance premiums	(3,477,850)	-			(3,477,850)
Amounts recoverable from reinsurers for incurred claims			1,319,033	16,899	1,335,932
Amounts recoverable for other directly attributable expenses	225,470	(225,470)	-		-
Changes to amounts recoverable for incurred claims			(1,908,299)	(36,036)	(1,944,335)
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(3,252,380)	(225,470)	(589,266)	(19,137)	(4,086,252)
Reinsurance finance income	-	-	701,327		701,327
Total change in comprehensive income	**(3,252,380)**	**(225,470)**	**112,061**	**(19,137)**	**(3,384,925)**
Cashflows					
Premiums and similar expense paid	3,110,874				3,110,874
Amounts received	-		(3,824,944)		(3,824,944)
	3,110,874	**-**	**(3,824,944)**	**-**	**(714,070)**
Closing re-insurance contract assets	72,236	(0)	590,893	40,145	703,274
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**72,236**	**(0)**	**590,893**	**40,145**	**703,274**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(6) Reconciliation of AFRC and ARC- Oil & Gas

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss component	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	13,699	548	37,561	20,072	71,879
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	13,699	548	37,561	20,072	71,879
An allocation of reinsurance premiums	(675,034)	*224,931*			(450,103)
Amounts recoverable from reinsurers for incurred claims			4,772,651	(215,106)	4,557,544
Amounts recoverable for incurred claims and other expenses	(4,814)	(9)	4,823		-
Changes to amounts recoverable for incurred claims			(201,226)	254,317	53,090
Net income or expense from reinsurance contracts held	(679,848)	224,922	4,576,247	39,210	4,160,532
Reinsurance finance income	-	-	(220,887)		(220,887)
Total change in comprehensive income	**(679,848)**	**224,922**	**4,355,360**	**39,210**	**3,939,645**
Cashflows					
Premiums and similar expense paid	879,891	-	-	-	879,891
Amounts received	-	-	(89,145)	-	(89,145)
	879,891	**-**	**(89,145)**	**-**	**790,746**
Closing re-insurance contract assets	213,742	225,470	4,303,776	59,282	4,802,269
Closing re-insurance contract liabilities	-				
Net closing balance	**213,742**	**225,470**	**4,303,776**	**59,282**	**4,802,269**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(7) Reconciliation of AFRC and ARC-Bond

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	**Loss component**	**Estimate of present value of future cashflows**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening re-insurance contract assets	1,598	-	-	-	1,598
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	1,598	-	-	-	1,598
An allocation of reinsurance premiums	(2,907)	-			(2,907)
Amounts recoverable from reinsurers for incurred claims			(2,069)	0	(2,068)
Amounts recoverable for other directly attributable expenses	-	-	-	-	-
Changes to amounts recoverable for incurred claims			2,360	0	2,360
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(2,907)	-	291	1	(2,615)
Reinsurance finance income	-	-	49		49
Total change in comprehensive income	**(2,907)**	**-**	**340**	**1**	**(2,566)**
Cashflows					
Premiums and similar expense paid	4,222				4,222
Amounts received	-		-		-
	4,222	**-**	**-**	**-**	**4,222**
Closing re-insurance contract assets	2,913	-	340	1	3,254
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**2,913**	**-**	**340**	**1**	**3,254**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(7) Reconciliation of AFRC and ARC-Bond

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	17,166	743	26,624	(133)	44,401
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	17,166	743	26,624	(133)	44,401
An allocation of reinsurance premiums	(3,395)	*(495)*			(3,890)
Amounts recoverable from reinsurers for incurred claims			(772)	208	(564)
Amounts recoverable for incurred claims and other expenses	23,477	(248)	(23,229)	-	-
Changes to amounts recoverable for incurred claims			2,141	(75)	2,066
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	20,082	(743)	(21,860)	133	(2,388)
Reinsurance finance income	-	-	1	-	1
Total change in comprehensive income	**20,082**	**(743)**	**(21,859)**	**133**	**(2,387)**
Cashflows					
Premiums and similar expense paid	(35,651)		-		(35,651)
Amounts received	-	-	(4,764)	-	(4,764)
	(35,651)	-	(4,764)	-	(40,415)
Closing re-insurance contract assets	1,598	-	-	-	1,598
Closing re-insurance contract liabilities	-				
Net closing balance	**1,598**	-	-	-	**1,598**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(8) Reconciliation of AFRC and ARC-Aviation

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	**Loss component**	**Estimate of present value of future cashflows**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening re-insurance contract assets	3,406	-	-	-	3,406
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	3,406	-	-	-	3,406
An allocation of reinsurance premiums	(10,233,470)	-			(10,233,470)
Amounts recoverable from reinsurers for incurred claims			4,658,143	463	4,658,607
Amounts recoverable for other directly attributable expenses	-	-	-	-	-
Changes to amounts recoverable for incurred claims			12,511	(70)	12,440
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(10,233,470)	-	4,670,654	393	(5,562,423)
Reinsurance finance income	-	-	1,716		1,716
Total change in comprehensive income	**(10,233,470)**	**-**	**4,672,370**	**393**	**(5,560,706)**
Cashflows					
Premiums and similar expense paid	11,715,879				11,715,879
Amounts received	-		(4,661,902)		(4,661,902)
	11,715,879	**-**	**(4,661,902)**	**-**	**7,053,977**
Closing re-insurance contract assets	1,485,816	-	10,468	393	1,496,677
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**1,485,816**	**-**	**10,468**	**393**	**1,496,677**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(8) Reconciliation of AFRC and ARC-Aviation

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	53,090	117	84,530	2,858	140,594
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	53,090	117	84,530	2,858	140,594
An allocation of reinsurance premiums	(12,885,971)	*663*			(12,885,308)
Amounts recoverable from reinsurers for incurred claims			425,095	9,355	434,450
Amounts recoverable for incurred claims and other expenses	73,918	(780)	(73,138)	-	-
Changes to amounts recoverable for incurred claims			(2,566)	(12,213)	(14,778)
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(12,812,053)	(117)	349,391	(2,858)	(12,465,636)
Reinsurance finance income	-	-	1,890		1,890
Total change in comprehensive income	**(12,812,053)**	**(117)**	**351,281**	**(2,858)**	**(12,463,747)**
Cashflows					
Premiums and similar expense paid	12,762,370		-		12,762,370
Amounts received	-	-	(435,811)	-	(435,811)
	12,762,370	**-**	**(435,811)**	**-**	**12,326,558**
Closing re-insurance contract assets	3,406	-	-	-	3,406
Closing re-insurance contract liabilities	-				
Net closing balance	**3,406**	**-**	**-**	**-**	**3,406**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2025

17b(9) Reconciliation of AFRC and ARC-Agriculture

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	Loss component	Estimate of present value of future cashflows	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	8,075	-	-	-	8,075
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	8,075	-	-	-	8,075
An allocation of reinsurance premiums	(28,096)	-			(28,096)
Amounts recoverable from reinsurers for incurred claims			143,931	21,682	165,613
Amounts recoverable for other directly attributable expenses	-	-	-		-
Changes to amounts recoverable for incurred claims			-	(7,823)	(7,823)
Reinsurance Investment components	-	-			
Net income or expense from reinsurance contracts held	(28,096)	-	143,931	13,859	129,694
Reinsurance finance income	-	-	26,958	-	26,958
Total change in comprehensive income	**(28,096)**	**-**	**170,889**	**13,859**	**156,652**
Cashflows					
Premiums and similar expense paid	31,616				31,616
Amounts received	-		(54)		(54)
	31,616	**-**	**(54)**	**-**	**31,562**
Closing re-insurance contract assets	11,595	-	170,835	13,859	196,288
Closing re-insurance contract liabilities	-	-	-	-	-
Net closing balance	**11,595**	**-**	**170,835**	**13,859**	**196,288**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

17b

The roll-forward of the net asset or liability for reinsurance contracts held showing assets for remaining coverage and amounts recoverable on incurred claims arising from business ceded to reinsurers is disclosed in the table below:

Company

2024

17b(9) Reconciliation of AFRC and ARC-Agriculture

	Asset for remaining coverage		Amount recoverable on Incurred Claims		
	Excluding loss comonent	**Loss component**	**Estimate of present value of future cashflows**	**Risk Adjustment**	**Total**
	₦'000	₦'000	₦'000	₦'000	₦'000
Opening re-insurance contract assets	(3,120)	393	265,342	36,770	299,386
Opening re-insurance contract liabilities	-				
Net re-insurance contract asset	(3,120)	393	265,342	36,770	299,386
An allocation of reinsurance premiums	(8,927)	*(453)*			(9,380)
Amounts recoverable from reinsurers for incurred claims			(154,862)	(31,597)	(186,459)
Amounts recoverable for other directly attributable expenses	(5,711)	60	5,651	-	-
Changes to amounts recoverable for incurred claims	-	-	(247)	(5,173)	(5,420)
Reinsurance Investment components	-				
Net income or expense from reinsurance contracts held	(14,638)	(393)	(149,458)	(36,770)	(201,259)
Reinsurance finance income	-	-	73		73
Total change in comprehensive income	**(14,638)**	**(393)**	**(149,385)**	**(36,770)**	**(201,186)**
Cashflows					
Premiums and similar expense paid	25,833		-		25,833
Amounts received	-		(115,957)		(115,957)
	25,833	-	**(115,957)**	-	**(90,125)**
Closing re-insurance contract assets	8,075	-	-	-	8,075
Closing re-insurance contract liabilities	-				
Net closing balance	8,075	-	-	-	8,075

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

	Group	Group	Company	Company
	2025	2024	2025	2024
18 Share capital	N'000	N'000	N'000	N'000
Issued and fully paid				
At 31 December	6,933,333	6,933,333	6,933,333	6,933,333

13,866,666 units (2024 - 13,866,666 units) of shares at 50k each were issued and fully paid as at 31 December 2025. All shares rank equally with regard to the Company's residual assets.

The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at the meetings of the Company.

19 Share premium	Group	Group	Company	Company
	2025	2024	2025	2024
	N'000	N'000	N'000	N'000
Balance at 31 December	663,600	663,600	663,600	663,600

Share premium comprises additional paid-in capital in excess of their per value.

20 Statutory contingency reserve

In compliance with Section 21 (1) of Insurance Act 2003, the contingency reserve for non-life insurance business is credited with the greater of 3% of total premiums, or 20% of the net profits and the amount shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium. The movement in the account is as follows:-

	Group	Group	Company	Company
	2025	2024	2025	2024
	N'000	N'000	N'000	N'000
Balance at 1 January	2,611,284	1,900,456	2,611,284	1,900,456
Transfer from retained earnings	712,006	710,828	712,006	710,828
Balance at 31 December	3,323,290	2,611,284	3,323,290	2,611,284

21 Retained earnings/(accumulated losses)

The Retained earnings/(accumulated losses) are carried forward recognised income net of expenses plus current period profit/loss attributable to shareholders.

See statement of changes in equity for movement in retained earnings.

	Group	Group	Company	Company
	2025	2024	2025	2024
	N'000	N'000	N'000	N'000
Balance at 1 January	(1,189,506)	1,008,862	(2,305,749)	39,674
Profit/(loss) for the year	3,744,751	(1,224,398)	3,046,772	(1,634,596)
Transfer to contingency reserve	(712,006)	(710,828)	(712,006)	(710,827)
Net actuarial gain /(loss) on retirement benefit obligations	1,186	(14,131)	-	-
Dividend paid to equity holders*	(284,010)	(249,010)	-	-
Balance at 31 December	1,560,415	(1,189,506)	29,017	(2,305,749)

* The dividend paid relates to dividend declared by one of the subsidiaries (VGP) at 9k per share (2024: 8k per share).

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

22 Assets revaluation reserve

Assets revaluation reserve represents the net accumulated change in the fair value of land and buildings until the asset is derecognized or impaired.

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Land				
Balance at 1 January	2,012,895	1,291,644	2,012,896	1,291,645
Revaluation surplus	42,400	721,251	42,400	721,251
Balance at 31 December	2,055,295	2,012,895	2,055,296	2,012,896
Building				
Balance at 1 January	2,188,977	2,533,216	1,950,191	2,294,430
Revaluation surplus/(deficit)	141,162	(344,239)	141,162	(344,239)
Balance at 31 December	2,330,139	2,188,977	2,091,353	1,950,191
Opening balance deferred tax impact	(227,591)	(189,890)	(227,591)	(189,890)
Disposal	-	-	-	-
Deferred tax impact	55,069	(37,701)	55,069	(37,701)
Carrying amount	4,212,912	3,974,281	3,974,127	3,735,496

23 Fair value reserve

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Balance at 1 January	275,880	235,984	279,569	239,673
Fair value gain on FVOCI financial	80,320	39,896	80,320	39,896
	356,200	275,880	359,889	279,569

24 Earnings/(loss) per share

Basic Earnings/(loss) per share (kobo)

The calculation of basic earnings/(loss) per share was based on the profit/(loss) after tax attributable to ordinary shareholders, and a weighted average number of ordinary shares outstanding on that date calculated as follow:

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Profit/(loss) after tax attributable to equity holders N'000	4,035,702	(1,092,868)	3,046,772	(1,634,596)
Weighed average no. of ordinary shares at end of year '000	6,933,333	6,933,333	6,933,333	6,933,333
Basic Earnings/(loss) per share (kobo)	0.58	(0.16)	0.44	(0.24)

The Company does not have any instrument with a dilutive effect on its capital,Hence, the basic earnings per share is same as diluted earnings per share

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

	Group 2025	Group 2024	Company 2025	Company 2024
25 Other contract liabilities	N'000	N'000	N'000	N'000
Provisions for claims	-	6,861	-	-
Unearned/deferred premium	6,389	2,038	-	-
	6,389	8,899	-	-

Other contract liabilities includes the outstanding claims provision and the provision for unearned premium in Veritas Healthcare Limited. The outstanding claims provision is based on the estimated ultimate cost of all claims incurred but not settled at the reporting date, whether reported or not, together with related claims handling. The provision for unearned premiums represents that portion of premiums received or receivable that relates to risks that have not yet expired at the reporting date.

26 Insurance revenue

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Accident	1,032,614	561,829	1,032,614	561,829
Agriculture	61,873	16,732	61,873	16,732
Aviation	12,141,634	16,011,877	12,141,634	16,011,877
Bond	30,219	34,780	30,219	34,780
Engineering	992,348	255,904	992,348	255,904
Fire	2,065,715	1,221,380	2,065,715	1,221,380
Marine	665,181	433,879	665,181	433,879
Motor	1,906,439	1,251,004	1,929,787	1,270,361
Oil & Gas	3,683,449	3,523,501	3,683,449	3,523,501
	22,579,472	23,310,885	22,602,820	23,330,242

The revenue was measured and released based on effluxion of time .

27 Insurance service expense

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Incurred claims - Note 17a	6,398,730	13,050,808	6,398,730	13,050,808
Other directly attributable expenses	293,838	910,622	293,838	910,622
Amortization of insurance aquistion cashflows	2,921,081	3,765,816	2,921,081	3,765,816
Other acquisition (Maintenance expense) expense during the year	84,828	86,616	84,828	86,616
Changes related to past service ie changes in fulfilment cash flows relating to incurred claims	(6,256,533)	776,280	(6,256,533)	776,280
	3,441,948	18,590,142	3,441,948	18,590,142

28 Net expense from reinsurance contract held

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Allocation of reinsurance premium	15,269,511	14,276,231	15,269,511	14,276,231
Amount recovered for claims and other expenses	(6,315,001)	(5,288,731)	(6,315,001)	(5,288,731)
Changes to amounts recoverable for incurred claims	2,220,322	(64,475)	2,220,322	(64,475)
	11,174,832	8,923,025	11,174,832	8,923,025

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
29	**Finance expenses from insurance contracts issued**				
	Finance expense	2,853,243	956,336	2,853,243	956,336
30	**Finance income from reinsurance contracts held**				
	Finance income	914,565	250,922	914,565	250,922

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
31	**Investment income**				
	Interest income calculated using effective interest rate (Note 31a)	1,009,382	1,243,847	436,659	450,343
	Other investment income (Note 31b)	3,565,624	2,801,394	942,684	899,447
	Total Investment income	**4,575,006**	**4,045,241**	**1,379,343**	**1,349,790**
31a	**Interest income calculated using effective interest rate**				
	Interest income on bonds	1,009,382	1,243,847	436,659	450,343
		1,009,382	**1,243,847**	**436,659**	**450,343**
31a (i)	Interest income received from bonds during the year	**661,746**	**668,091**	**271,588**	**440,214**
	Accrued interest income on bonds as at year end	**347,636**	**575,756**	**165,071**	**10,129**
		1,009,382	**1,243,847**	**436,659**	**450,343**
31b	**Other investment income**				
	Interest income-FGN Treasury bills	27,798	20,672	27,798	20,672
	Interest income -Short term deposits	797,054	593,513	528,874	592,703
	Dividends from equity investment at FVTPL	596,921	23,825	312,911	272,835
	RSA asset based fee	2,070,750	2,150,147	-	-
	Interest income on Statutory deposit	73,101	13,237	73,101	13,237
		3,565,624	**2,801,394**	**942,684**	**899,447**
	Further analysed as follows:				
	Attributable to policy holders fund	192,224	188,106	192,224	188,106
	Attributable to shareholders funds.	4,382,782	3,857,135	1,187,119	1,161,684
		4,575,006	**4,045,241**	**1,379,343**	**1,349,790**
	Further analysis of interest income - short term deposits as follows:				
	Interests received	725,319	540,097	488,447	539,360
	Interests accrued	71,735	53,416	40,427	53,343
		797,054	**593,513**	**528,874**	**592,703**
31c	**Net fair value gains on financial assets at fair value through profit or loss**				
	Fair value gain on financial assets	30,171	25,754	30,171	25,754
		30,171	**25,754**	**30,171**	**25,754**

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
32	**Foreign Exchange gain**				
	Exchange (loss)/gain	(597,426)	5,087,119	(596,493)	5,087,119
		(597,426)	5,087,119	(596,493)	5,087,119

Exchange (loss)/gain relates to translation of transactions in foreign currency for oustanding claims, bank balances and foreign currency investments as at end of the year to naira.

The table below shows the breakdown on exchange gain

	Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Exchange gain	906,336	5,860,448	906,336	5,860,448
Exchange loss	(1,503,762)	(773,329)	(1,361,692)	(773,329)
	(597,426)	5,087,119	(596,493)	5,087,119
Breakdown of realized foreign exchange gain/(loss)				
Cash and cash equivalents	**(280,904)**	**3,183,689**	**(279,971)**	**3,183,689**
Bond	**(180,138)**	**-**	**(180,138)**	**-**
Other assets	**(31,871)**	**(39,888)**	**(31,871)**	**(39,888)**
	(492,913)	3,143,801	(491,980)	3,143,801
Breakdown of unrealized foreign exchange (loss)/gain				
Cash and cash equivalents	**51,432**	**254,367**	**51,432**	**254,367**
Bond	**(155,945)**	**1,688,951**	**(155,945)**	**1,688,951**
	(104,513)	1,943,318	(104,513)	1,943,318

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
33	**Other operating income**				
	Rental income	20,657	-	29,941	6,153
	Gain on disposal	-	17,205	-	15,876
	Staff mortgage loan-interest	232	901	232	901
	RSA administrative fee income	51,321	-	-	-
	PHI Premium	601,084	274,822	-	-
	Admin charges- formal sector	662,149	64,366	-	-
	Sundry income	915	10,708	3,996	24,511
		1,336,358	368,002	34,169	47,441

Sundry income relates to income received from service charge and payments made by staff in lieu of exit

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
34	**Credit loss expense on financial asset**				
	Impairment charge on other receivable (note 6)	-	9,425	-	9,425
	Impairment charge/(reversal) on financial asset (note 4(iv))	24,078	(22,687)	15,031	1,222
	Impairment (reversal)/charge on placement (note 3.1)	(51,951)	49,430	(55,014)	56,339
		(27,873)	28,824	(39,983)	57,730

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
35	**Other operating expenses**				
	Staff costs	2,775,315	2,259,134	1,455,459	1,069,303
	Directors' allowances and expenses	694,268	682,990	347,100	335,732
	Depreciation and amortisation (Note 35.1)	440,172	360,201	298,084	217,419
	Professional fees *	173,513	164,778	158,839	142,745
	Audit fees	37,479	55,311	32,250	35,375
	Marketing and advertisement	850,238	480,981	658,146	421,728
	Administrative expenses	830,684	151,131	332,209	256,797
	Amortization-monetized benefit	7,890	5,000	-	-
	Repairs and maintenance	139,595	93,820	40,233	50,053
	Travel costs and allowances	171,762	97,734	33,975	37,444
	NAICOM Levy	179,586	280,094	179,586	280,094
	Donation	15,210	29,125	-	50
	Electricity and power	81,983	110,471	75,956	76,539
	Penalty charge (Note 40)	22,869	-	22,869	-
	Subscription	34,495	13,473	34,495	13,473
	Printing and stationeries	26,074	18,080	3,704	3,259
	Information technology expenses	219,036	185,007	114,099	109,528
	Pension protection fund levy	81,018	62,830	-	-
	Rent and rate	39,521	-	-	-
	PHI claims paid	406,251	166,985	-	-
		7,226,959	**5,217,145**	**3,787,004**	**3,049,539**

* Professional fees include non-audit fees paid for Internal Control over Financial Reporting (ICFR) review amounting to N5m (2024: N5m), signed by Oluwasayo Elumaro with FRC number FRC/2012/PRO/ICAN/004/00000000139

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
35.1	**Breakdown of depreciation and amortisation**				
	Depreciation (Note 9)	292,619	255,546	158,924	123,450
	Amortisation (Note 11)	147,553	104,655	139,160	93,969
		440,172	**360,201**	**298,084**	**217,419**
36	**Tax expense**				
	Company income tax	27,905	167,212	-	-
	Development levy	110,042	-	110,042	-
	Education tax	-	24,550	-	-
	Minimum tax		149,092		149,092
	Police trust fund	-	37	-	-
	Information technology levy	-	7,402	-	-
	Deferred tax (write-back)/expense	6,992	117,026	-	-
		144,939	465,319	110,042	149,092

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
36b	**Reconciliation of effective tax rate**				
	Profit/(loss) for the year before tax	4,169,037	(627,549)	3,147,531	(1,485,504)
	Tax at Nigerian's statutory income tax rate of 30%	1,250,711	(188,265)	944,259	(445,651)
	Net capital allowance		-	-	-
	Assessable profit for the year	716,772	841,939	716,772	841,939
	Non-deductible expenses	581,669	1,485,631	528,914	1,424,421
	Tax exempt income	(2,552,634)	(2,023,728)	(2,192,731)	(1,820,709)
	Inccome tax	27,905	167,212	-	-
	Minimum tax	-	149,092	-	149,092
	Education tax	-	25,999	-	-
	Police trust fund	-	37	-	-
	Information technology levy	-	7,402		
	Development levy	117,034		110,042	
		144,939	465,319	107,257	149,092
	Profit/(loss) for the year before income tax	4,169,037	(627,549)	3,147,531	(1,485,504)
	Effective Tax Rate	3%	-74%	3%	-10%

37 **Non-controlling interest**

The movement in non-controlling interest during the year is shown below:

	Group 2025 N'000	Group 2024 N'000
Balance, beginning of year	2,016,863	1,991,597
Share of profit for the period	290,951	131,530
Dividend Paid	(120,281)	(105,280)
Acturial gain on retirement benefit obligation	-	(982)
	2,187,533	2,016,863

38 **Proposed dividend**

There was no proposed dividend during the year (2024: Nil)

39 **Contingent liabilities**

There were claims and litigations against the company as at 31 December 2025, amounting to ₦6,169,352,357.47 (2024: ₦5,183,344,729). No provision is made in respect of this, as our legal team is of the opinion that it is not certain an outflow of economic resources will be required to settle this amount in the future.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

40 Contraventions

31 December 2025 Nature of contraventions	Group N'000	Company N'000
Violation of NAICOM circular on foreign reinsurance participation without prior approval	22,869	22,869
	22,869	22,869

31 December 2024 Nature of contraventions	Group N'000	Company N'000
No contravention was incurred or paid during the year	-	-
	-	-

41 Related Parties Transactions

a Transactions between the company, and the subsidiaries also meet the definition of related party transactions where these are eliminated on consolidation, they are not disclosed in the consolidated financial statements. Details of transactions between the group and other related parties are disclosed below:

The Company enters into transactions with its subsidiaries, major shareholders and its key management personnel in the normal course of business of providing insurance cover on Motor,Fire,and General accidents. The transactions with related parties are made at normal market prices and conducted at arm's lenght.

	Relationship	Premium written N'000	Claims paid N'000
Veritas Glanvills Pensions Limted	Subsidiary	22,057	3,941
Veritas Health Care Ltd	Subsidiary	1,292	618
Gold links insurance plc	Associates	-	-

b Included in Note 8 is the sum of N62.03m recoverable from related entities during the year under review. The breakdown and nature of transactions are included below:

	Relationship	Amount N'000	Nature of transaction
Goldlink Insurance Plc	Associate	62,033	This relates to the amount receivable on various expenses incurred on behalf of the entity in year 2019.Although this has been fully provisioned in the financial records.

c **Compensation of key management personnel**

Key management personnel refers to those persons having authority and responsibility for planning, directing and controlling the activities of the company. It comprises executive and non-executive directors and senior management.

The summary of compensation of key management personnel for the year is as follows:

	2025	2024
Salaries (senior management and executive directors)	375,086	150,422
Total compensation to key management personnel	375,086	150,422
Directors cost (Non-Executive)	252,000	252,000
Salaries and wages (Executive)	163,842	135,653
Pension cost (Executive)	20,182	14,789
Total Directors cost	436,024	402,442
Remuneration of highest paid Director	42,000	42,000
Remuneration of Chairman	42,000	42,000

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

42 Information regarding employees

The table below shows the number of staff whose emoluments during the year excluding pension contributions were within the ranges stated:

			2025	2024	2025	2024
			Number	Number	Number	Number
Below	-	500,000	-	13	-	-
500,001	-	1,500,000	1	7	-	-
1,500,001	-	2,500,000	45	46	-	-
2,500,001	-	3,500,000	51	52	9	8
3,500,001	-	4,500,000	21	20	-	-
4,500,001	-	5,500,000	59	39	17	20
5,500,001	-	6,500,000	31	23	16	14
6,500,001	-	7,500,000	13	9	1	1
7,500,001	-	8,500,000	18	1	13	1
8,500,001	-	9,500,000	9	19	-	12
9,500,001	-	10,500,000	7	9	2	1
10,500,001	-	and above	34	40	25	28
			289	278	83	85

43 Hypothecation

The Company is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilties. In particular, the key financial risk is that in the long term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Company's assets and liabilities at 31 December 2025 were allocated as follows:

	Shareholders' Funds	Policy Holders	Total
	N'000	N'000	N'000
Insurance contract liabilities - liability for incured claims	-	5,824,753	5,824,753
Insurance contract liabilities - liability for remaining coverage	-	3,881,780	3,881,780
Other technical liabilities	2,729,428	-	2,729,428
Provision and other payables	1,857,862	-	1,857,862
Income tax liabilities	130,294	-	130,294
Deferred tax liabilities	280162.3689	-	280,162
Gross insurance funds	4,997,746	9,706,533	14,704,279
Less			-
Reinsurance contract assets			-
Assets for incured claims	-	(1,278,150)	(1,278,150)
Assets for remaining coverage	-	(2,001,066)	(2,001,066)
Net insurance funds	4,997,746	6,427,318	11,425,064
Admissible assets:			
Cash in hand and bank	1,446,376	-	1,446,376
Placement with financial institutions	-	5,733,099	5,733,099
Government bonds	-	6,006,916	6,006,916
Treasury bills	-	141,255	141,255
Quoted shares	173,376	-	173,376
Premium receivables	2,321,542	-	2,321,542
Statutory deposits	355,000	-	355,000
Unquoted shares	607,208	-	607,208
Other receivables and prepayment	237,275	-	237,275
Property and equipments	5,149,831	-	5,149,831
Intangible assets	400,006	-	400,006
Investment in subsidiaries	4,026,300	-	4,026,300
Total admissible asssets	14,716,914	11,881,270	26,598,184
Surplus in assets cover	9,719,168	5,453,952	15,173,120

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

44 Capital Management

The Federal Government of Nigeria, by Federal Republic of Nigeria Official Gazette, dated 29 August 2025, enacted the Nigerian Insurance Industry Reform Act, 2025. The NIIRA 2025 repealed the Insurance Act 2003, the Marine Insurance Act 2004, the Motor Vehicles (Third Party Insurance) Act, 2004, the National Insurance Corporation of Nigeria Act, 2004 and the Nigeria Reinsurance Corporation Act 2004. The Nigerian Insurance Industry Reform Act, 2025 was enacted to provide for a comprehensive legal and regulatory framework for insurance business in Nigeria; and for related matters.The words "Minimum Capital" was introduced in Section 15 of the Act. Section 15(1)(a) stipulates that a person shall not carry on insurance business in Nigeria unless the insurer has and maintains, while carrying on that business, a minimum capital, in the case of non-life insurance business, the higher of;

(i) NGN15billion or
(ii) Risk-based capital determined by the Commission ;
By the provision of section 15(5), minimum capital requirement means -
(a) in the case of existing company -
(i) the excess of admissible assets over liabilities, less the amount of own shares held by the company,
(ii) subordinated liabilities subject to approval by the Commission, and
(iii) any other financial instrument as prescribed by the Commission.

For this purpose, Admissible Assets are defined as:
Share Capital, Share Premium, Retained Earnings, Contingency Reserves, and any other admissible assets subject to the approval of the Commission.

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45 Segment reporting

Identification of reportable segments

The business activities of Veritas Kapital Plc Group are first organized by product and type of service: insurance activities, asset management activities and Health Management activities.

Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit (or loss) before income taxes, as included in the internal management reports that are reviewed by the Group's CEO.

Information reported to the chief operating decision maker (the CEO) for the purposes of resource allocation and assessment of segment performance focuses on types of goods or services delivered or provided. The Company's reportable segments under IFRS 8 are therefore as follows:

- Non-life business
- Pension Administration
- Health Care

Non-Life Business

The non -life reportable segment offers a wide variety of insurance products for both personal and corporate customers. The products offer range from engineering, aviation, marine liability, motor liability, oil and energy, bond, fire and property. The main source of income in this segment is the premium received from the insured on risk covered by the entity and the investment income earned on placements and deposit with financial institutions.

Pension Administration

This reportable segment include the administration and management of the retirement benefits of members. The administration includes making investment decisions, collection of contribution and making payment to retirees in-line with provisions of Pension Reform Act 2014. The revenue earned includes administration and management fees received and receivable on members' contributions and the Net Asset value of Funds under Management respectively.

Health Care

This reportable segment is a National Health Maintenance Organization (HMO) duly licenced and accredited by the National Health Insurance Scheme which provide Health Insurance Services to individuals and organizations in both the private sector and the formal sector under the National Health Insurance Scheme (NHIS).

Business Segment Information- Consolidated statement of financial position

	Non-life		Pension administrator		Healthcare		Elimination		Group	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Assets:	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000
Cash and cash equivalents	7,179,475	9,830,861	1,870,683	581,969	654,275	569,112	-	-	7,975,130	11,196,743
Financial assets	6,928,755	5,714,388	4,639,841	5,327,951	-	-	-	-	13,232,340	10,827,538
Premium receivable	2,321,542	1,545,616	-	-	-	-	-	-	2,321,542	1,545,616
Reinsurance contract assets	3,279,213	5,841,670	-	-	-	-	-	-	3,279,213	5,841,670
Other receivables and prepayment	237,275	174,054	944,214	603,731	144,801	107,084	-	-	1,217,353	884,867
Investment in subsidiaries	4,026,300	4,026,300	-	-	-	-	(4,026,300)	(4,026,300)	-	-
Goodwill	-	-	-	-	-	-	316,884	316,884	316,884	316,884
Intangible assets	400,006	539,166	12,295	12,625	-	-	-	-	411,196	551,789
Property, Plant and Equipment	5,149,831	5,033,899	962,596	948,577	24,183	37,856	284	-	6,288,073	6,020,334
Statutory deposit	355,000	355,000	-	-	-	-	-	-	355,000	355,000
Deferred tax asset	-	-	-	-	-	-	-	-	-	-
Total Assets	**29,877,397**	**33,060,954**	**8,429,629**	**7,474,854**	**823,259**	**714,052**	**(3,709,132)**	**(3,709,416)**	**35,396,731**	**37,540,441**
Liabilities:										
Insurance contract liabilities	9,706,533	16,303,627	-	-	-	-	-	-	9,706,533	16,303,627
Other contract liabilities	-	-	-	-	53,558	8,899	-	-	6,389	8,899
Trade payables	2,729,428	2,785,404	-	-	-	-	-	-	2,729,426	2,785,405
Employees retirement benefit obligations	-	-	-	-	12,620	29,391	-	-	28,401	27,710
Provision and other payables	1,857,862	1,690,510	938,313	636,906	11,152	16,831	-	-	3,054,056	2,351,635
Income tax liabilities	130,294	173,210	131,145	231,481	18,040	7,389	37,294	-	275,050	404,691
Deferred tax liabilities	280,162	190,671	140,938	154,967	27,099	27,099	14,029	-	469,729	372,737
Equity:										
Issued and paid up share capital	6,933,333	6,933,333	5,000,000	5,000,000	429,075	429,075	(5,429,075)	(5,429,075)	6,933,333	6,933,333
Share premium	663,600	663,600	-	-	8,946	8,946	(8,946)	(8,946)	663,600	663,600
Statutory contingency reserves	3,323,290	2,611,284	498,944	346,994	-	208,188	(498,944)	(293,038)	3,323,290	2,611,284
(Accumulated losses)/retained earnings	29,016	(2,305,749)	1,393,698	777,913	262,769	(21,766)	5,683		1,560,415	(1,189,506)
Other components of equity:										
Asset revaluation reserve	3,863,989	3,735,496	326,592	326,592	-	-	(87,806)	(87,806)	4,102,776	3,974,282
Fair value reserve	359,889	279,569	-	-	-	-	(3,688)	(3,689)	356,200	275,880
Non controlling interest(NCI)	-	-	-	-	-	-	2,262,319	2,110,641	2,187,533	2,016,863
	29,877,397	**33,060,954**	**8,429,629**	**7,474,854**	**823,260**	**714,052**	**(3,709,132)**	**(3,711,913)**	**35,396,731**	**37,540,441**

Business Segment Information- Consolidated statement of Comprehensive Income

	Non-life		Pension administrator		Healthcare		Consolidation Adjustments		Group	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000
Insurance service result	7,986,040	(4,182,925)	-	-	189,172	-	(40,489)	-	7,962,692	(4,202,282)
Profit/(loss) before income tax	3,156,814	(1,485,504)	656,313	735,284	107,516	43,896	(284,011)	(249,010)	4,180,641	(627,549)
Profit/(loss) after tax	3,046,772	(1,634,596)	656,313	431,653	80,637	31,301	(284,011)	(249,010)	4,035,702	(1,092,868)

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

46 Risk management framework

(a) Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approach to managing the risks that affect its capital position:

(i) To maintain the required level of stability of the Company thereby providing a degree of security to policy holders.

(ii) To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meet the requirements of its capital providers and of its shareholders.

(iii) To retain financial flexibility by maintaining strong liquidity and access to a range of capital markets.
(iv) To align the profile of assets and liabilities taking account of risks inherent in the business.

(v) To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and stakeholders.

(vi) To maintain strong credit ratings and healthy capital ratios in order to support its business objectives and maximise shareholders value.

In reporting financial strength, capital and solvency are measured using the rules prescribed by the National Insurance Commission (NAICOM). These regulatory capital tests are based upon required levels of solvency, capital and a series of prudent assumptions in respect of the type of business written. The Company's capital management policy for its insurance and non-insurance business is to hold sufficient capital to cover the statutory requirements based on the NAICOM directives, including any additional amounts required by the regulator.

(b) Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Group in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds.

The Group has had no significant changes in its policies and processes to its capital structure during the past quarter from previous quarters.

The table below shows the available capital resources as at 31 December:

	2025	2024
	N'000	N'000
Total shareholders' funds	19,127,147	15,285,737
Regulatory required capital	3,000,000	3,000,000
Excess capital reserve	16,127,147	12,285,737

(c) Regulatory framework

The insurance industry regulator measures the financial strength of Non-Life Insurers using a Minimum Capital Requirement (MCR) or Risk Based Capital benchmark. The NAICOM generally expects non-life insurers to comply with the minimum capital requirement as stipulated in the Nigerian Insurance Industry Reform Act (NIIRA) 2025. Section 15 of the NIIRA 2025 defines the MCR of a non-life insurer as the higher of N15billion or risk based capital as maybe determined by NAICOM.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

47 Capital requirement

47a Minimum capital requirement

The minimum capital requirement for the company as at 31 December is as follows:

	Carrying amount N'000	Inadmisible N'000	2025 Admissible N'000	2024 Inadmisible N'000	2024 Admissible N'000
Cash in hand and bank	1,446,376	-	1,446,376	-	2,424,082
Tenored deposit with financial institutions	5,733,099	-	5,733,099	-	7,406,779
Government bonds	6,006,916	-	6,006,916	-	4,942,189
Treasury bills	141,255	-	141,255	-	141,879
Quoted equities	173,376	-	173,376	-	138,264
Reinsurance contract assets	3,279,213	-	3,279,213	-	5,841,671
Premium receivables (certified as received by external auditors)	2,321,542	-	2,321,542	-	1,545,616
Statutory deposits	355,000	-	355,000	-	355,000
Others:					
Unquoted shares	607,208	607,208.00	-	492,056	-
Other receivables and prepayment	237,275	237,275.00	-	174,054	-
Investment in subsidiary	4,026,300	4,026,300	-	4,026,300	-
Property and equipment	5,149,831	5,149,831	-	5,033,899	-
Intangible assets	400,006	400,006.00	-	539,166	-
Total assets (a)	**29,877,397**	**10,420,620**	**19,456,777**	**10,265,475**	**22,795,480**
Insurance contract liabilities	9,706,533	-	9,706,533	-	16,303,627
Other technical liabilities	2,729,428	-	2,729,428	-	2,785,406
Provisions other payables and accruals	1,857,862	-	1,857,862	-	1,690,510
Current income tax payable	130,294	-	130,294	-	173,210
Deferred tax liabilities	280,162		280,162		190,671
Total liabilities (b)	**14,704,279**	-	**14,704,279**	-	**21,143,423**
Minimum Capital Requirement (MCR) = (a)-(b) i.e. Admissible Assets less Admissible Liabilities			**4,752,498**		**1,652,056**
Minimum Capital Requirement (MCR)	15,000,000		15,000,000		15,000,000
MCR SURPLUS/(DEFICIT)			(10,247,502)		(13,347,944)

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

47b Solvency Margin

The solvency margin for the company as at 31 December is as follows:

	2025 Carrying amount N'000	2025 Inadmisible N'000	2025 Admissible N'000	2024 Inadmisible N'000	2024 Admissible N'000
Cash in hand and bank	1,446,376	-	1,446,376	-	2,427,905
Treasury bills	141,255	-	141,255	-	141,879
Placement with financial institutions	5,733,099	-	5,733,099		7,402,956
Government bonds	6,006,916	-	6,006,916		4,942,189
Quoted shares	173,376	-	173,376		138,264
Unquoted shares	607,208	-	607,208		492,056
Trade receivable	2,321,542	-	2,321,542	-	1,545,616
Reinsurance assets*	3,279,213	-	3,279,213	-	5,841,670
Other receivables and prepayments	237,275	237,069	206	165,722	8,331
Investment in subsidiaries	4,026,300	-	4,026,300	-	4,026,300
Intangible assets - Software	400,006	-	400,006	-	539,166
Property and equipment-(L&B)	4,798,599	3,199,066	1,599,533	3,184,844	1,568,655
Property and equipment (Others)	351,232	-	351,232	-	280,400
Statutory deposits	355,000	-	355,000	-	355,000
Deferred tax	-	-	-	-	-
Total Admissible Assets	**29,877,397**	**3,436,135**	**26,441,262**	**3,350,566**	**29,710,387**
Insurance contract liabilities*	9,706,533	-	9,706,533	-	16,303,627
Trade payables	2,729,428	-	2,729,428	-	2,785,404
Provision and other payables	1,857,862	-	1,857,862	-	1,690,510
Income tax liabilities	130,294	-	130,294	-	173,210
Total Admissible liabilities	**14,424,117**	-	**14,424,117**	-	**20,952,751**
Solvency Margin	15,453,280	3,436,135	12,017,145	3,350,566	8,757,636
The higher of 15% Of Net premium or Minimum capital base	3,000,000		3,000,000		3,000,000
Excess			9,017,145		5,757,636
Solvency ratio			401%		292%

* The following items have been maintained in line with the signed solvency certificate.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

48 Financial instruments - Fair values and risk management

Group

(a) Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy.

It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

31 December 2025	Carrying amount					Fairvalue			
In thousands of naira	**Designated at fair value**	**Amortised cost**	**Fair value through OCI**	**Other Financial liabilities**	**Total**	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial assets measured at fair value	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Fair value through OCI	-	-	607,208	-	607,208	607,208	-	-	607,208
Fair Value through Profit or Loss	173,376	-	-	-	173,376	173,376	-	-	173,376
	173,376	-	607,208	-	780,584	780,584	-	-	780,584
Financial assets not measured at fair value									
Cash on hand and cash at bank	-	1,567,584	-	-	1,567,584	-	1,567,584	-	1,567,584
Trade Receivable*	-	2,321,542	-	-	2,321,542	-	2,321,542	-	2,321,542
Placements	-	6,407,546	-	-	6,407,546	-	6,407,546	-	6,407,546
Statutory deposit	-	355,000	-	-	355,000	-	355,000	-	355,000
Debt instuments at armotised cost		12,451,756			12,451,756	-	12,076,322	-	12,076,322
	-	23,103,428	-	-	23,103,428	-	22,727,994	-	22,727,994
Financial liabilities not measured at fair value									
Other payables*	-	-	-	3,054,056	3,054,056	-	3,054,056	-	3,054,056
Trade payables*	-	-	-	2,729,426	2,729,426	-	2,729,426	-	2,729,426
	-	-	-	5,783,482	5,783,482	-	5,783,482	-	5,783,482

The Company has disclosed the fair value of each class of financial assets and liabilities in a way that permits the information to be compared with the carrying amounts. In addition, it has reconciled the assets and liabilities to the different categories of financial instruments as defined in IFRS 9 Financial instruments: Recognition and Measurement.

* The Company has not disclosed the fair values for financial instruments such as receivables, payables and reinsurance assets because their carrying amounts are a reasonable approximation of fair value.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

Group

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy.

It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

31 December 2024	Carrying amount					Fairvalue			
In thousands of naira	Designated at fair value	Amortised cost	Fair value through OCI	Other Financial liabilities	Total	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Fair value through OCI	-	-	492,056	-	492,056	492,056	-	-	492,056
Fair Value through Profit or Loss	138,264	-	-	-	138,264	138,264	-	-	138,264
	138,264	-	492,056	-	630,320	630,320	-	-	630,320
Financial assets not measured at fair value									
Cash in hand and cash at bank	-	2,602,973	-	-	2,602,973	-	2,602,973	-	2,602,973
Premium receivables*	-	1,545,616	-	-	1,545,616	-	1,545,616	-	1,545,616
Placements	-	8,593,770	-	-	8,593,770	-	8,593,770	-	8,593,770
Statutory deposit	-	355,000	-	-	355,000	-	355,000	-	355,000
Debt instuments at armotised cost	-	10,197,218			10,197,218		9,584,586		9,584,586
	-	23,294,577	-	-	23,294,577	-	22,681,945	-	22,681,945
Financial liabilities not measured at fair value									
Other payables*	-	-	-	2,351,635	2,351,635	-	2,351,635	-	2,351,635
Other technical liabilities*	-	-	-	2,785,405	2,785,405	-	2,785,405	-	2,785,405
	-	-	-	5,137,040	5,137,040	-	5,137,040	-	5,137,040

The Company has disclosed the fair value of each class of financial assets and liabilities in a way that permits the information to be compared with the carrying amounts. In addition, it has reconciled the
* The Company has not disclosed the fair values for financial instruments such as receivables, payables and reinsurance assets because their carrying amounts are a reasonable approximation of fair

Company

(a) Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy.

It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

31 December 2025	Carrying amount					Fairvalue			
In thousands of naira	Designated at fair value	Amortised cost	Fair value through OCI	Other Financial liabilities	Total	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Fair value through OCI	-	-	607,208	-	607,208	607,208	-	-	607,208
Fair Value through Profit or Loss	173,376	-	-	-	173,376	173,376	-	-	173,376
	173,376	-	607,208	-	780,584	780,584	-	-	780,584
Financial assets not measured at fair value									
Cash in hand and cash at bank	-	1,446,376	-	-	1,446,376	-	2,424,082	-	2,424,082
Trade Receivable*	-	2,321,542	-	-	2,321,542	-	1,545,616	-	1,545,616
Placements	-	5,733,099	-	-	5,733,099	-	7,406,779	-	7,406,779
Statutory deposit	-	355,000	-	-	355,000	-	355,000	-	355,000
Debt instuments at armotised cost		6,148,171	-	-	6,148,171		5,084,068	-	5,084,068
	-	16,004,188	-	-	16,004,188	-	16,815,545	-	16,815,545
Financial liabilities not measured at fair value									
Other payables*	-	-	-	1,857,862	1,857,862	-	1,857,862	-	1,857,862
Trade payables*	-	-	-	2,729,428	2,729,428	-	2,729,428	-	2,729,428
	-	**-**	**-**	**4,587,290**	**4,587,290**	**-**	**4,587,290**	**-**	**4,587,290**

The Company has disclosed the fair value of each class of financial assets and liabilities in a way that permits the information to be compared with the carrying amounts. In addition, it has reconciled the assets and liabilities to the different categories of financial instruments as defined in IFRS 9 Financial instruments: Recognition and Measurement.

* The Company has not disclosed the fair values for financial instruments such as receivables, payables and reinsurance assets because their carrying amounts are a reasonable approximation of fair value.

Company

(a) Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy.

It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

31 December 2024	Carrying amount					Fairvalue			
In thousands of naira	Designated at fair value	Amortised cost	Fair value through OCI	Other Financial liabilities	Total	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Fair value through OCI	-	-	492,056	-	492,056	492,056	-	-	492,056
Fair Value through Profit or Loss	138,264	-	-	-	138,264	138,264	-	-	138,264
	138,264	-	492,056	-	630,320	630,320	-	-	630,320
Financial assets not measured at fair value									
Cash in hand and cash at bank	-	2,424,082	-	-	2,424,082	-	2,424,082	-	2,424,082
Trade Receivable*	-	1,545,616	-	-	1,545,616	-	1,545,616	-	1,545,616
Placements	-	7,406,779	-	-	7,406,779	-	7,406,779	-	7,406,779
Statutory deposit	-	355,000	-	-	355,000	-	355,000	-	355,000
Debt instuments at armotised cost	-	5,084,068			5,084,068	-	5,084,068		5,084,068
	-	16,815,545	-	-	16,815,545	-	16,815,545	-	16,815,545
Financial liabilities not measured at fair value									
Other payables*	-	-	-	1,690,510	1,690,510	-	1,690,510	-	1,690,510
Trade payables*	-	-	-	2,785,404	2,785,404	-	2,785,404	-	2,785,404
	-	-	-	4,475,914	4,475,914	-	4,475,914	-	4,475,914

The Company has disclosed the fair value of each class of financial assets and liabilities in a way that permits the information to be compared with the carrying amounts. In addition, it has reconciled the

* The Company has not disclosed the fair values for financial instruments such as receivables, payables and reinsurance assets because their carrying amounts are a reasonable approximation of fair value.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Financial risk management

The Company has exposure to the following risks arising from financial instruments
Credit risk
Liquidity risk
Market risk

(b)(i) Risk management framework

The company has an Enterprise -wide Risk Management (ERM) Frame work that is responsible for identifying and managing the inherent and residual risks facing the Company. The Company's board of directors has the overall responsibility for the establishment of oversight of the Company's risk management framework. The board of directors has established the Risk Management Committee, which is responsible for developing and monitoring the Company's risk management policies. The committee reports regularly to the board of directors on its activities.

The Company's risk management policies are established to identify and analyse the risk faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and Company activities. The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Company audit committee oversees how management monitors compliance with the Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Company. The Company Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the result of which are reported to the audit committee.

(b)(ii) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers and investment in debt securities. The carrying amount of financial assets represents the maximum credit exposure. In addition to credit risks arising out of investments and transactions with clients, Veritas Kapital Assurance actively assumes Credit Risk through the writing of insurance business. Credit Risk can arise when a client defaults on settlement of premium payments and can also arise when its own repayment capability decreases (as reflected in a rating downgrade).

Veritas Kapital Assurance's strategy as Insurance Company does not entail the elimination of Credit Risk but rather to take on Credit Risk in a well-controlled, planned and targeted manner pursuant to its business objectives. Its approach to measuring Credit Risk is therefore designed to ensure that it is assessed accurately in all its forms, and that relevant, timely and accurate Credit Risk information is available to the relevant decision makers at an operational and strategic level at all times.

At a strategic level, Veritas Kapital Assurance manages its credit risk profile within the constraints of its overall Risk Appetite and structured its portfolio so that it provides optimal returns for the level of risk taken. Operationally, the Insurance Company Credit Risk Management is governed by the overall risk appetite framework and aims to ensure that the risk inherent to individual exposures or certain business portfolios are appropriately managed through the economic cycle.

The organization is committed to:

a) Create, and manage credit risk in a manner that complies with all applicable laws and regulations.
b) Identify Credit Risk in each investment, loan or other activity of the Insurance Company.
c) Utilize appropriate, accurate and timely tools to measure credit risk.
d) Set acceptable risk parameters.
e) Maintain acceptable levels of credit risk for existing individual credit exposures.
f) Maintain acceptable levels of overall credit risk for Veritas Kapital Assurance's Portfolio; and
g) Coordinate Credit Risk Management with the management of other risks inherent in Veritas Kapital Assurance's business

Unsecured exposures to high risk obligors, transactions with speculative cash flows, loans in which the insurance Company will hold an inferior or subordinate position are some of the credit exposures that are considered undesirable by the organization.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

(b)(ii) Credit risk - continued

The Group's credit risk can be analysed as follows:	Group		Company	
	2025	2024	2025	2024
	N'000	**N'000**	**N'000**	**N'000**
Reinsurance receivables (see note (a) below)	3,279,213	5,841,670	3,279,213	5,841,670
Cash and cash equivalents (see note (b) below)	7,975,130	11,195,953	7,179,475	9,830,861
Debt Instruments (see note (c) below)	12,451,756	10,197,218	6,148,171	5,084,068
Other receivables	355,000	884,867	355,000	174,054
	24,061,099	28,119,708	16,961,859	20,930,653

Cash and cash equivalents
The Group's cash and cash equivalents are held with reputable banks and financial institutions.
Armotized cost
The Group's Debt instruments are investment in bonds with Government and reputable financial institutions. None of its investment was impaired as at 31 December 2025 (2024: Nil).However, provison for expected credit loss as required by IFRS 9 has been made on the fnancial assets.
The Group did not have any debt securities that were past due but not impaired as at 31 December 2025 (2024: Nil)

Veritas Kapital Assurance Plc is exposed to risk relating to its investment securities (Fixed deposits and receivables). Its receivables comprise trade receivables from customers, reinsurers and coinsurers recoverable and other receivables.

Collateral held and other credit enhancements, and their financial effect
The Group does not hold collateral or any other enhancements against any of its receivables as at 31 December 2025.

Premium receivables
The Group has placed more responsiveness on effective management of credit risk exposure that relates to trade receivables. In general, the regulator has laid great emphasis on "No Premium, No Cover" and this has positively changed the phase of credit management within the industry. The Company defines credit risk as the risk of counterparty's failure to meet its contractual obligations. Credit risk arises from insurance cover granted to parties with payment instruments or payments plan issued by stating or implying the terms of contractual agreement.

The Company has placed stringent measures to guard against credit default. Credit risk exposure operates from the level of brokered transactions with little emphasis placed on direct business. The Company's credit risk exposure to brokered business is very low as the Company requires brokers to provide payment within 30 days after which impairment trigger is identified and the receivable is assessed for impairment.

Sources of credit risk:
· Direct default risk: risk that the Company will not receive the cash flows or assets to which it is entitled because a party with which the Company has a bilateral contract defaults on one or more obligations.

· Downgrade Risk: risk that changes in the possibility of a future default by an obligor will adversely affect the present value of the contract with the obligor today.
· Settlement Risk: risk arising from the lag between the value and settlement dates of securities transactions.

Management of credit risk due to premium receivables
The Company constantly reviews brokers' contribution to ensure that adequate attention is paid to high premium contributing brokers.

The Company credit risk is constantly reviewed and approved during the Management Committee meetings. It also ensured that adequate provisions are taken in line with IFRS 9. Other credit risk management includes:

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

(b)(ii) Credit risk - continued

· Formulating credit policies with strategic business units, underwriters, brokers, covering brokers grading, reporting, assessment, legal procedures and compliance with regulatory and statutory bodies.

· Identification of credit risk drivers within the Company in order to coordinate and monitor the probability of default that could have an unfortunate impact.

· Developing and monitoring credit limits. The Company is responsible for setting credit limits through grading in order to categorize risk exposures according to the degree of financial loss and the level of priority expected from management.

· Assessment of credit risk. All first-hand assessment and review of credit exposures in excess of credit limits, prior to granting insurance cover are subject to review process and approval given during MC meetings.

· Continuous reviewing of compliance and processes in order to maintain credit risk exposure within acceptable parameters.

Staged Approach to the Determination of Expected Credit Losses

IFRS 9 outlines a three-stage model for impairment based on changes in credit quality since initial recognition. These stages are as outlined below:

Stage 1: The Group recognises a credit loss allowance at an amount equal to the 12 month expected credit losses. This represents the portion of lifetime expected credit losses from default events that are expected within 12 months of the reporting date, assuming that credit risk has not increased significantly after the initial recognition.

Stage 2: The Group recognises a credit loss allowance at an amount equal to the lifetime expected credit losses (LTECL) for those financial assets that are considered to have experienced a significant increase in credit risk since initial recognition. This requires the computation of ECL based on Lifetime probabilities of default that represents the probability of a default occurring over the remaining lifetime of the financial assets. Allowance for credit losses is higher in this stage because of an

Stage 3: The Group recognises a loss allowance at an amount equal to life-time expected credit losses, reflecting a probability of default (PD) of 100% via the recoverable cash flows for the asset. For those financial assets that are credit impaired. The Company's definition of default is aligned with the regulatory definition. The treatment of the loans and other receivables in stage 3 remains substantially the same as the treatment of impaired financial assets under IFRS 39 except for the portfolios of assets purchased or originated as credit impaired.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

(b)(ii) Credit risk - continued

The Group does not originate or purchase credit impaired loans or receivables

Impairment Methodology

Calculation of Expected Credit Losses

Calculation of the expected credit loss is based on the key risk parameters of PD, LGD and ED according to the formular set below:

The calculation of ECL incorporates forward-looking information in all the ECL components. This forward-looking information will impact the various ECL components as follows:

ECL	=	PD	X	EAD	X	LGD
12 -month / lifetime Expected Credit Loss (ECL)		Probability of default		Exposure at default		Loss Given Default (after consideration of collaterals and recoveries)

Probability of default – The PDs will vary during various stages of an economic cycle. It is based on the likelihood that a borrower will default within one year (PD), assessment of the creditworthiness of the counterparty and transformation of 1 Year horizon into lifetime of the asset.

Loss Given Default – Collateral values will vary based on the stage of an economic cycle.
Exposure at default – Change in interest rates may affect the EAD e.g. higher interest rates may result in longer terms for loans causing a change in the EAD.

Loss Given Default

The Group applies historical experience to determine the expected loss given default ratios for each class of financial instruments. Where internal historical experience is not available, other sources, e.g. data available from rating companies as well as professional judgments are used to determine the LGD ratios that will apply. Collateral that is held against the financial assets is also considered in determining the LGD.

The Group management has resolved to use the recovery rates as published by Moodys credit analytics for all credit exposures to sovereign denominated in foreign currencies and all corporate exposures.

For sovereign exposures denominated in Naira which are assessed as low credit risk exposures, we have resolved to use LGDs within the rage of 5-10% based on the Central banks of Nigeria's Revised Guidance Notes on Credit risk. Section 3.1 of the document addresses exposure to sovereigns and Central banks and states that financial institutions should assign a risk weight of 0% to the following:

- Exposures to Federal Government of Nigeria (FGN) and Central Bank of Nigeria (CBN);
- Instruments issued by other entities backed by express guarantee of the FGN;
- Inter-bank transactions guaranteed by the FGN or CBN; and
- Inter-bank transactions among supervised institutions collateralized by FGN Bonds,
- Treasury Bills or other similar sovereign bills.

Treatment of loans and other receivables

All loans issued fall within the scope of debt instruments as financial assets. This covers e.g. Inter-company loans, staff loans and mortgages etc.

Estimation of impairment on the loans based on expected loss is done in the three-stage approach with specific consideration for change in credit risk and forward-looking assumptions.

Intercompany loans are considered low credit risk if it meets the required conditions. Estimation and provision for impairment is based on simplified one stage approach. Loans are put in one bucket e.g. stage 1 and assess the 12 month ECL as long as there are no assets for assessed to have had significant increase in credit risk or the initial criteria for categorizing the asset as low risk has changed.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

(b)(ii) Credit risk - continued

Significant increase in credit risk, default and cure

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition. The Company considers that there has been a significant increase in credit risk when any contractual payments are more than 30 days past due, In addition, the Company also considers a variety of instances that

- Internal rating of the counterparty indicating default or near-default
- The counterparty having past due liabilities to public creditors or employees
- The counterparty (or any legal entity within the debtor's group) filing for bankruptcy application/protection
- Counterparty's listed debt or equity suspended at the primary exchange because of rumours or facts about financial difficulties.

The Group considers a financial instrument defaulted and, therefore, credit-impaired for ECL calculations in all cases when the counterparty becomes 90 days past due on its contractual payments. The Company may also consider an instrument to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full. In such cases, the Company recognises a lifetime ECL. In rare cases when an instrument identified as defaulted, it is the Company's policy to consider a financial instrument as 'cured' and therefore re-classified out of credit-impaired when none of the default criteria have been present for at least twelve consecutive months.

There has been no significant increase in credit risk or default for financial assets during the year.

Expected credit loss

The Group assesses the possible default events within 12 months for the calculation of the 12mECL. Given the investment policy, the probability of default for new instruments acquired is generally determined to be minimal and the expected loss given default ratio assumed to be 100%. In rare cases where a lifetime ECL is required to be calculated, the probability of default is estimated based on economic scenarios.

Impairment losses on financial assets subject to impairment assessment

The table below shows the credit quality and the maximum exposure to credit risk per based on the Group's internal/Moody's credit rating system and year-end stage classification. The amounts presented are gross of impairment allowances. Details of the Group's internal grading system are also provided.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

(b)(ii) Credit risk - continued

		2025			2024		
Internal rating grade	Moody's rating	12mECL	LTECL	Total	12mECL	LTECL	Total
Performing		₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Cash and cash equivalents							
High grade	AAA-A+	-	-	-	-	-	-
Standard grade	BBB-B+	7,984,913	-	7,984,913	11,258,477	-	11,258,477
Past due but not impaired	C-CCC	-	-	-	-	-	-
Default	D	-	-	-	-	-	-
Total Gross Amount		7,984,913	-	7,984,913	11,258,477	-	11,258,477
ECL		(9,783)	-	(9,783)	(61,734)	-	(61,734)
Total Net Amount		7,975,130	-	7,975,130	11,196,743	-	11,196,743
				-			-
Amortised cost				-			-
High grade	AAA-A+	-	-	-	-	-	-
Standard grade	BBB-B+	12,505,417	-	12,505,417	10,226,801	-	10,226,801
Past due but not impaired	C-CCC	-	-	-	-	-	-
Default	D	-	-	-	-	-	-
Total Gross Amount		12,505,417	-	12,505,417	10,226,801	-	10,226,801
ECL		(53,661)	-	(53,661)	(29,583)	-	(29,583)
Total Net Amount		12,451,756	-	12,451,756	10,197,218	-	10,197,218
Other receivables							
High grade	AAA-A+	-	-	-	-	-	-
Standard grade	BBB-B+	943,891	-	943,891	793,652	-	793,652
Past due but not impaired	C-CCC	-	-	-	-	-	-
Default	D	-	-	-	-	-	-
Total Gross Amount		943,891	-	943,891	793,652	-	793,652
ECL		(121,991)	-	(121,991)	(121,991)	-	(121,991)
Total Net Amount		821,900	-	821,900	671,661	-	671,661

As at 31 December 2025, the Group had no asset reposed as security against asset. The group policy is to pursue timely realisation of collateral in an orderly manner in the case of default. The company does not generally use the non cash collateral for its own operations.

As at 31 December 2025, the Company has not pledged any of its assets as collateral for any liability or payable balance (2024: nil)

Amounts arising from ECL

Inputs, assumptions and techniques used for estimating impairment.

When determining whether the credit risk (i.e. Risk of default) on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost of effort, This includes both qualitative and quantitative information analysis based on the Group's experience, expert credit assessment and forward looking information. The Company primarily identifies whether a significant increase in credit risk has occurred for an exposure by comparing the remaining life time probability of default (PD) as at reporting date with the remaining Life time PD for this point in time that was estimated on initial recognition of the exposure.

Whenever available, the Group monitors changes in credit risk by tracking published external credit ratings. To determine whether published ratings remain p to date and to assess whether there has been a significant increase in credit risk at the reporting date that has not been reflected in the published rating, the group also reviews changes in Bond yields together with available press and regulatory information about issuers.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

(b)(ii) Credit risk - continued

Where external credit ratings are not available, the Group allocates each exposure to a credit risk grade based on data that is determined to be predictive of the risk of default (including but not limited to the audited financial statement, management accounts and cashflow projections, available regulatory and press information about the borrowers and apply experienced credit judgement. Credit risk grades are defined by using qualitative and quantitative factors that are indicative of the risk of default and are aligned with the external credit rating definition from Moody's and standards and Poor.

The Group has assumed that the credit risk of a financial asset has not increased significantly since the initial recognition if the financial asset has low credit risk at reporting date. The company considers a financial asset to have low credit risk when its credit risk rating is equivalent to the globally understood definition of "investment grade". The Company considers this to be B- or higher based on the Moody rating which is equivalent to an internal risk grade of standard grade or higher.

As a back stop, the Group considers that a significant increase in credit risk occurs no later than when the asset is more than 30 days past due. Days past due are determined by counting the numbers of days since the earliest elapsed due date in respect of which full payments has not been received. Due dates are determined without considering any grace period that might be available to the borrower. The Company monitors the effectiveness of the criteria used to identify significant increase in credit risk by regular reviews to confirm that:

-The criteria are capable of identifying significant increase in credit risk before an exposure is in default;
-The criteria do no align with the point in time when the asset becomes 30 days past due;
-The average time between the identification of a significant increase in credit risk and default appears reasonable

-Exposures are not generally transferred from 12- month ECL measurement to credit impaired and
-There is no unwarranted volatility in loss allowance from transfers between 12-month ECL and Lifetime ECL measurement.

Definition of default
The Group considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the company in full, without recourse by the company to actions such as realizing security (if any is held); or the financial asset Is more than 90 days past due.

In assessing whether a borrower is in default, the Company considers indicators that are:

-qualitative: e.g. breaches of covenant and the other indicators of financial distress;
-quantitative: e.g. overdue status and non-payment of another obligation of the same issuer to the company; and
-based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Incorporation of Forward looking information
The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since initial recognition and its measurement of ECL. It formulates a 'base case' view of the future direction of relevant economic variables and a representative range of other possible forecast scenarios based on advice from the Company's Investment and risk committee, economic experts and consideration of a variety of external actual and forecast information. This process involves developing three additional economic scenarios and considering the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies and monetary authorities in the Nigeria, supranational organizations such as the Organisation for Economic Cooperation and Development and the International Monetary Fund, and selected private-sector and academic forecasters.

The base case represents a best estimate and is aligned with information used by the Company for other purposes such as strategic planning and budgeting. The other scenarios represent more optimistic and pessimistic outcomes."

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

(b)(ii) Credit risk - continued

Measurement of ECL

The calculation of the expected credit loss is based on the key risk parameters of Probability of default (PD), Loss given default (LGD) and Exposure at default (EAD)

To determine the Lifetime and 12-month PDs, the Group uses the PD tables supplied by Moody's based on the default history of sovereign and corporate obligors with the same credit rating. The Company adopts the same approach for unrated investments by mapping its internal risk grades to the equivalent external credit ratings. The PDs are recalibrated and adjusted to reflect forward looking information as described below. Changes in the rating for counterparties and exposure lead to a change in estimate of the associated PD.

Loss Given Default is the magnitude off the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against the defaulted counterparties. The LGD for sovereign fixed income exposures are based on publications by Moody's and the models consider the structure, collateral, seniority of claims and recovery cot of any collateral that is integral to the financial asset. For loans secured with properties or asset, loan to value ratios are key parameter in determining LGD. LGDs are calculated on discounted cash flow basis using effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Group deprives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is its gross carrying amount. As described in the accounting policy, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Company measures ECL considering the risk of default over the maximum contractual period (including any borrower's extension options over which it is exposed to credit risk, even if, for risk management purposes, the Company considers a longer period. The modelling of parameter is carried out on an individual basis or collective basis where the assets share same risk characteristics like instrument type, credit risk rating and grading, collateral type, date of initial recognition or remaining term to maturity or industry. The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.

When ECL are measured using parameters based on collective modelling, a significant input into the measurement of ECL is the external benchmark information that the Group uses to derive the default rates of its portfolios. This includes the PDs provided in the Moody's or Standards and Poor default study and the LGDs provided in the recovery studies reports provided by the same rating agencies.

An overview of the approach to estimating ECLs is set out in Note 3 Summary of material accounting policies. To ensure completeness and accuracy, the Group obtains the data used from third party sources (Moody's, Standards and Poor, Economist associate etc.) and its investment team verifies the accuracy of inputs to the Company's ECL models including determining the weights attributable to the multiple scenarios.

(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptables losses or risking damage to the Company's reputation.

The Group uses activity-based costing to cost its products and services, which assists it in monitoring cash flow requirements and optimising its cash return on investments.

The Group aims to maintain the level of its cash and cash equivalents at an amount in excess of expected cash outflows on financial liabilities over the next 60 days.

The Group also monitors the level of expected cash inflows on trade and other receivables togther with expected cash outflows on trade and other payables.

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date.
The amounts are gross and undiscounted, include contractual interest payments and exclude the impact of netting agreements.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Group

31-Dec-25				Contractual cash flows				
	Note	Carrying amount		3 month or less	3 - 12 months	1-2 years	2-5 years	More than 5 years
Non-derivative finacial assets		N'000		N'000	N'000	N'000	N'000	N'000
Cash and cash equivalents	3	7,975,130		7,975,130	-	-	-	-
Fair value through profit or loss	4a	173,376		-	69,350	-	104,026	-
Reinsurance contract assets	17	3,279,214		1,311,685	1,967,528			
Armotised Cost	4b	12,451,756		622,588	1,245,176	1,867,763	2,490,351	6,225,878
Fair Value through OCI	4c	607,208		-	242,883		364,325	-
Premium receivables	5	2,321,542		2,321,542	-	-	-	-
Other receivables	6	1,134,303		1,134,303	-	-	-	-
		27,942,529	-	**13,365,248**	**3,524,937**	**1,867,763**	**2,958,702**	**6,225,878**
Non-derivative financial liabilities								
Other technical liabilities	13	2,729,426		2,729,426		-	-	-
Insurance contract liabilities	17	9,706,538		3,882,615	5,823,923			
Other payables	15	2,415,467		2,415,467		-	-	-
		5,144,893	-	**5,144,893**	-	-	-	-
Liquidity gap		**22,797,636**	-	**8,220,355**	**3,524,937**	**1,867,763**	**2,958,702**	**6,225,878**

Company

31-Dec-25				Contractual cash flows				
	Note	Carrying amount		3 month or less	3 - 12 months	1-2 years	2-5 years	More than 5 years
Non-derivative finacial assets		N'000		N'000	N'000	N'000	N'000	N'000
Cash and cash equivalents	3	7,179,475		7,179,475				
Fair value through profit or loss	4a	173,376					173,376	
Reinsurance contract assets	17	3,279,214		1,311,685	1,967,528			
Armotised Cost	4b	6,148,171		307,409	614,817	922,226	1,229,634	3,074,086
Fair Value through OCI	4c	607,208					607,208	
Premium receivables	5	2,321,542		2,321,542				
Other receivables	6	154,224		154,224				
		19,863,210	-	**11,274,335**	**2,582,345**	**922,226**	**2,010,218**	**3,074,086**
Non-derivative financial liabilities								
Other technical liabilities	13	2,729,428		2,729,428		-	-	-
Insurance contract liabilities		9,706,538		3,882,615	5,823,923			
Other payables	15	1,430,559		1,430,559		-	-	-
		4,159,987	-	**4,159,987**	-	-	-	-
Liquidity gap		**15,703,223**	-	**7,114,348**	**2,582,345**	**922,226**	**2,010,218**	**3,074,086**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

Group

31-Dec-24				Contractual cash flows				
	Note	Carrying amount		3 month or less	3 - 12 months	1-2 years	2-5 years	More than 5 years
Non-derivative finacial assets		N'000		N'000	N'000	N'000	N'000	N'000
Cash and cash equivalents	3	11,196,743		11,196,743	-	-	-	-
Fair value through profit or loss	4a	138,264		-	55,306	-	82,958	-
Reinsurance contract assets	17	5,841,671		2,336,668	3,505,002			
Armotised Cost	4b	10,197,218		509,861	1,019,722	1,529,583	2,039,444	5,098,609
Fair Value through OCI	4c	492,056		-	196,822		295,234	-
Premium receivables	5	1,545,616		1,545,616	-	-	-	-
Other receivables	6	801,817		801,817	-	-	-	-
		30,213,385	**-**	**16,390,705**	**4,776,852**	**1,529,583**	**2,417,636**	**5,098,609**
Non-derivative financial liabilities								
Other technical liabilities	13	2,785,405		2,785,405		-	-	-
Insurance contract liabilities	17	16,303,627		6,521,451	9,782,176			
Other payables	15	2,024,380		2,024,380		-	-	-
		4,809,785	**-**	**4,809,785**	**-**	**-**	**-**	**-**
Liquidity gap		**25,403,600**	**-**	**11,580,920**	**4,776,852**	**1,529,583**	**2,417,636**	**5,098,609**

Company

31-Dec-24				Contractual cash flows				
	Note	Carrying amount		3 month or less	3 - 12 months	1-2 years	2-5 years	More than 5 years
Non-derivative finacial assets		N'000		N'000	N'000	N'000	N'000	N'000
Cash and cash equivalents	3	9,830,861		9,830,861				
Fair value through profit or loss	4a	138,264					138,264	
Reinsurance contract assets	17	5,841,671		2,336,668	3,505,002			
Armotised Cost	4b	5,084,068		254,203	508,407	762,610	1,016,814	2,542,034
Fair Value through OCI	4c	492,056					492,056	
Premium receivables	5	1,545,616		1,545,616				
Other receivables	6	91,004		91,004				
		23,023,540	**-**	**14,058,353**	**4,013,409**	**762,610**	**1,647,134**	**2,542,034**
Non-derivative financial liabilities								
Other technical liabilities	13	2,785,404		2,785,404		-	-	-
Insurance contract liabilities	17	16,303,627		6,521,451	9,782,176			
Other payables	15	1,399,832		1,399,832		-	-	-
		4,185,236	**-**	**4,185,236**	**-**	**-**	**-**	**-**
Liquidity gap		**18,838,304**	**-**	**9,873,117**	**4,013,409**	**762,610**	**1,647,134**	**2,542,034**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Maturity analysis

The table below summarises the expected utilisation or settlement of assets and liabilities as at 31 December:

Group		**2025**			**2024**	
	Current	**Non-current**	**Total**	**Current**	**Non-current**	**Total**
Financial assets	8,117,643	13,089,827	21,207,470	11,877,964	10,146,317	22,024,281
Reinsurance assets	3,279,213	-	3,279,213	5,841,670	-	5,841,670
Premium receivables	2,321,542	-	2,321,542	1,545,616	-	1,545,616
Other receivables and prepayments	1,217,353	-	1,217,353	884,867	-	884,867
Statutory deposit	-	355,000	355,000	-	355,000	355,000
PPE and intangible assets	-	6,699,269	6,699,269	-	6,572,123	6,572,123
Other assets	-	316,884	316,884	-	316,884	316,884
	14,935,751	**20,144,096**	**35,396,731**	**20,150,117**	**17,073,440**	**37,540,441**
Insurance contract liabilities	9,706,533	-	9,706,533	16,303,627	-	16,303,627
Other technical liabilities	2,729,426	-	2,729,426	2,785,405	-	2,785,405
Other payables and accruals	3,060,445	-	3,060,445	2,360,534	-	2,360,534
Current tax payable	275,050	-	275,050	404,691	-	404,691
Deferred Tax	-	469,729	469,729	-	372,737	372,737
Retirement benefit obligation	-	28,401	28,401	-	27,710	27,710
Total liabilities	**15,771,454**	**498,130**	**16,269,584**	**21,854,257**	**400,447**	**22,254,704**

Company		**2025**			**2024**	
	Current	**Non-current**	**Total**	**Current**	**Non-current**	**Total**
Financial assets	7,320,730	6,787,500	14,108,230	9,972,740	5,572,509	15,545,249
Reinsurance assets	3,279,213	-	3,279,213	5,841,670	-	5,841,670
Premium receivables	2,321,542	-	2,321,542	1,545,616	-	1,545,616
Other receivables and prepayments	237,275	-	237,275	174,054	-	174,054
Statutory deposit	-	355,000	355,000	-	355,000	355,000
PPE		5,549,837	5,549,837		5,573,065	5,573,065
Other assets		4,026,300	4,026,300		4,026,300	4,026,300
	13,158,760	**16,718,637**	**29,877,397**	**17,534,080**	**15,526,874**	**33,060,954**
Insurance contract liabilities	9,706,533	-	9,706,533	16,303,627	-	16,303,627
Other technical liabilities	2,729,428	-	2,729,428	2,785,404	-	2,785,404
Other payables and accruals	1,857,862	-	1,857,862	1,690,510	-	1,690,510
Current tax payable	130,294	-	130,294	173,210	-	173,210
Deferred Tax	-	280,162	280,162	-	190,671	190,671
Retirement benefit obligation	-	-	-	-	-	-
Total liabilities	**14,424,117**	**280,162**	**14,704,279**	**20,952,751**	**190,671**	**21,143,422**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Market risk

Market risk is the risk that changes in market prices - such as foreign exchange rates, interest rates and equity prices - will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the returns.

Currency risk

The Company is exposed to currency risk to the extent that there is a mismatch between the currencies in which premium and claims are denominated and the respective functional currencies of the Company. The functional currency of the Company is the Nigerian naira.

The currencies in which these transactions are primarily denominated are the Nigerian naira.

However, the Company receives some premium in foreign currencies and also pays some claims in foreign currencies. The foreign currencies the Company transacts in include euro, british pounds and united states dollars.

Exposure to currency risk

The summary quantitative data about the Group's exposure to currency risk as reported to the management of the Company is as follows:

	31 December 2025			31 December 2024		
In Thousands of	**Carrying value**	**USD**	**NGN**	**Carrying value**	**USD**	**NGN**
Cash and cash equivalent	7,975,130	3,968	7,971,162	11,196,743	3,248	11,193,495
Financial assets	-		-	-		-
Net statements of financial position exposure	7,975,130	3,968	7,971,162	11,196,743	3,248	11,193,495

The following significant exchange rates have been applied.

	Period- end spot rate	
	2025	**2024**
Naira		
USD 1	1435	1536

Sensitivity analysis

A reasonably possible strengthening (weakening) of the US dollar against all other currencies at 31 December would have affected the measurement of financial instruments denominated in a foreign currency and affected equity and profit or loss by the amounts show below. This analysis assumes that all other variables, in particular interest rates, remain constant and ignores any impact of forecast sales and purchases.

	Profit or Loss		Equity, net of tax	
Effects in thousand of naira	**Strengthening**	**Weakening**	**Strengthening**	**Weakening**
31 December 2025				
USD (20% movement)	794	(794)	794	(794)
31 December 2024				
USD (20% movement)	650	(650)	650	(650)

(c)(v) Interest rate risk

The Group adopts a policy of ensuring that all its interest rate risk exposure is at a fixed rate.
This eliminates the variability in the risks and returns on the Group's interest bearing assets and liabilities.

Exposure to interest rate risk

The interest rate profile of the Group's interest-bearing financial instruments as reported to the management of the Group is as follows.

The Group purchases reinsuranceas part of its risks mitigation programme. Reinsurance ceded is placed on both aproportional and non-proportional basis.The majority of proportional reinsurance is quota-sharere insurance which is taken out to reduce the overall exposure of the Group to certain classes of business.Non-proportional reinsurance is primarily excess-of-loss reinsurance designed to mitigate the Group’s net exposure to catastrophe losses. Retention limits for the excess-of-loss reinsurance vary by product line and territory.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision and are in accordance with the reinsurance contracts.Although the Company has reinsurance arrangements,it is not relieved of its direct obligations to its policyholders and thus a credit exposure exists with respect to ceded insurance,tothe extent that any reinsurer is unable to meet its obligations assumed under such reinsurance agreements. The Company's placement of reinsurance is diversified such that it is neither dependent on a single reinsurer nor are the operations of the Company substantially dependent upon any singlere insurance contract.

The Group principally issues the following types of general insurance contracts: fire, motor, bond, personal accident, aviation, marine and oil and gas. Risks under non–life insurance policies usually cover twelve months duration. For general insurance contracts, the most significant risks arise from climate changes, natural disasters and terrorist activities. For longer tail claims that take some years to settle, there is also inflation risk. The above risk exposure is mitigated by

Furthermore,strict claim review policies and procedures exist to assess all new and on-going claims, regular detailed review of claims handling procedure sand frequent investigation of possible fraudulent claims are all policies and procedures put in place to reduce the risk exposure of the Company.The Company further enforces a policy of actively managing and promptly pursuing claims, inorder to reduce its exposure to unpredictable future developments that can negatively impact the business. Inflation risk is mitigated by taking expected inflation into account when estimating insurance contract liabilities.

The Group has also limited its exposure by imposing maximum claim amounts on certain contracts as well as the use of reinsurance arrangements inorder to limit exposure to catastrophic events (e.g.,hurricanes,earthquakes and flood damage).

The purpose of these underwriting and reinsurance strategiesis to limit exposure to catastrophes based on the Company's risk appetite as decided by management.The overall aim is currently to restrict the impact of a single catastrophic even to approximately 50% of shareholders'equity on a gross basis and 10% on a net basis.In the event of such acatastrophe, counterparty exposure to a single reinsurer is estimated not to exceed2% of shareholders'equity. The Board may decide to increase or decrease the maximum tolerances based on market conditions and other factors.

Key assumptions

The principal assumption underlying the liability estimates is that the Company's future claims development will follow a similar pattern to past claims development experience. This includes assumptions in respect of average claim costs, claim handling costs,claim inflation factors and claim numbers for each accident year.

We have adopted actuarial methods and assumptions that are consistent with those used in prior years. The level of reserve was deternined after data cleasing by using our internationally accepted actuarial models

The calculation of the reserves was conducted on both deterministic (assuming average historic experience would be reflected in the future experience without attaching probability or level of uncertainty of variations arround such experince) and stochastic(allowing for likely future variation arround the average expected experince) and stochastic approach uses Bootstrap-Mark method

Chain Ladder Method (CL)

We have used the Chain Ladder method which is the most widely used method in loss reserving, and it is the starting point of the other reserving methods described in this report. The Chain Ladder also called Loss development triangle method uses statistical projection technique that relies on the setting of past known claim payments by year of origin (accident year) and year of payment (development year). Using historical claims paid for each class, we grouped the claims into 10 years cohorts, considering the age-age-claim amounts paid. These cohorts are called loss development triangles. Each left - right diagonal represents the total loss amounts paid in that year for losses reported in each accident year. The age-to-age claim amounts are then accumulated from the origin year to the valuation date. The cumulated incremental paid claims (2008-2017) to the valuation date are then projected to their expected ultimate claim estimate, using factors called link ratios or development factors. The gross claim reserves are then derived from the difference between the cumulated actual paid claims and the estimated ultimate claim. Variants of the chain ladder method were exploited to reflect adequately the key characteristics of the risks being reserved for by the company.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

The IACL is a variant of the chain ladder method and it could be used with allowance for time value of money (discounting or no discounting). Under this method, the historical age -to- age paid claims are increased in line with relevant inflation index from their accident year of or payment to the valuation year before being cumulated. The cumulated payments in money terms of the valuation year are projected into the future. The decumulated payments are then projected forward to their expected year of payment and ultimate claim estimate, allowing for future inflation. Published year - to - year inflation factors used in our projection is as stated in the assumptions section of this report. We have calculated for two types of this

Expected Loss Ratio Method

We estimated the ultimate loss ratio from historical data for each class of business and multiplied this by the earned premium for that class in each accident year to obtain the ultimate claim for each accident year. In arriving at the historical loss ratio, we considered the underwriter's views. We then deducted the actual paid claim amount to date to give the required outstanding claim reserve. This approach is considered appropriate for as it is not affected by distortions in data and although it is simplistic but gives an approximate estimate. We applied this method for classes where there is no sufficient mass of data to generate credible results using other more sophisticated methods.

Claims development table

The following tables show the estimates of cumulative incurred claims,including both claims notified and IBNR for each successive accident year at each reporting date, together with cumulative payments to date.The estimated technical reserves are derived statiscally through analysing the company's non-life policy data for policies underwritten and emerging claims over each of the past 6 (six) underwriting years.

In general,the uncertainty associated with the ultimate claims experience in an accident year is greatest when the accident year is at an early stage of development and the margin necessary to provide the necessary confidence in the provisions adequacy is relatively at its highest.As claims develop,and the ultimate cost of claims becomes more certain,the relative level of margin maintained should decrease.However,due to the uncertainty inherited in the estimation process,the actual overall claim provision may not always be in surplus.

In Thousands of naira	31-Dec-25	31-Dec-24
Fixed-rate instruments		
Cash deposit	1,567,584	2,602,973
Money market placement	6,417,329	8,655,504
Debt instruments at amortised cost	12,451,756	10,197,218
	20,436,669	21,455,695

Cashflow sensitivity analysis for fixed-rate instruments

	Profit	loss	Equity,	net of tax
Effect in thousands of naira	100bp increase	100bp decrease	100bp increase	100bp decrease
31 December 2025				
Financial instruments	2,043,667	(2,043,667)		
	2,043,667	(2,043,667)	-	-
31 December 2024				
Financial instruments	2,145,570	(2,145,570)		
	2,145,570	(2,145,570)	-	-

The analysis assumes that all other variables, in particular, foreign currency exchange rates remain constant.

Fair value sensitivity analysis for fixed-rate instruments

The Group does not account for any fixed-rate financial assets and financial liabilities at fair value through profit or loss. Therefore, a change in interest rates at the reporting date would not affect profit or loss.

Other market price risk

The Group is exposed to equity price risk, which arises from available-for-sale equity securities held for partially meeting the claims and benefits obligations.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

The management of the Group monitors the proportion of equity securities in its investment prortfolio based on market indices.

Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Risk Management Committee.

The primary goal of the Group's investment strategy is to maximise investment returns, both to partially meet the Group's claims and benefits obligations and to improve its returns in general.

49 For the purpose of statement of cashflows

a **Proceed from sale of property and equipment**

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
Cost	9	63,881	45,811	11,727	42,134
Accumulated depreciation	9	(48,385)	(45,483)	(9,220)	(27,047)
Net book value		**15,496**	**328**	**2,506**	**15,087**
Profit on sale of PPE	33	-	17,205	-	15,876
Sales proceed		**15,496**	**17,533**	**2,506**	**30,963**

50 **Other comprehensive income net of tax**

		Group 2025 N'000	Group 2024 N'000	Company 2025 N'000	Company 2024 N'000
a Net acturial gains/(loss) on retirement benefit obligation	14(i)	1,694	(16,793)	-	-
Income tax effect	16.2	(508)	1,679	-	-
		1,186	**(15,114)**	**-**	**-**
b Gain on revaluation of property, plant and equipment	9	183,562	377,012	183,562	377,012
Income tax effect	16.2	(55,069)	(37,701)	(55,069)	(37,701)
		128,493	**339,311**	**128,493**	**339,311**
c Fair value gain on financial asset at FVOCI	4c	114,743	57,467	114,743	57,467
Income tax effect	16.2	(34,423)	(17,571)	(34,423)	(17,571)
		80,320	**39,896**	**80,320**	**39,896**

OTHER NATIONAL DISCLOSURES

Value Added Statement

	Group 2025	%	Group 2024	%	Company 2025	%	Company 2024	%
Gross premium income	23,733,535		23,694,266		23,733,535		23,694,266	
Investment Income	3,565,624		2,801,394		942,684		899,447	
Other income	738,932		5,455,121		(562,324)		5,134,560	
Reinsirance claims, commission and operating expenses	(20,410,867)		(29,727,899)		(19,203,538)		(29,927,055)	
Value added	**7,627,224**	**100**	**2,222,882**	**100**	**4,910,357**	**100**	**(198,782)**	**100**
Applied to pay employees and government								
To employees and government	2,775,315	36%	2,259,134	102%	1,455,459	30%	1,069,303	(538%)
Income tax	144,939	2%	465,319	21%	110,042	2%	149,092	(75%)
To provider finance:								
Shareholders as dividend								
Retained in the business:								
Deferred Tax	231,096	3%	231,096	10%	-	-	-	-
Depreciation and amortisation	440,172	6%	360,201	16%	298,084	6%	217,419	(109%)
Profit/(loss) for the year	4,035,702	53%	(1,092,868)	(49%)	3,046,772	62%	(1,634,596)	822%
	7,627,224	**100%**	**2,222,882**	**100%**	**4,910,357**	**100%**	**(198,782)**	**100%**

FIVE YEAR FINANCIAL SUMMARY

STATEMENT OF FINANCIAL POSITION	Group 2025 N'000	Group 2024 N'000	Restated Group 2023 N'000	Restated Group 2022 N'000	Group 2021 N'000
ASSETS					
Cash and cash equivalents	7,975,130	11,196,743	6,564,667	4,408,793	5,891,133
Financial assets	-	-	-	-	-
Fair value through profit or loss	173,376	138,264	113,615	68,090	69,913
Amortised cost	12,451,756	10,197,218	7,472,050	5,192,133	3,004,760
Fair value through OCI	607,208	492,056	433,485	92,575	83,416
Trade receivables	2,321,542	1,545,616	1,029,780	738,347	119,564
Reinsurance assets	3,279,213	5,841,671	1,647,856	812,061	1,052,006
Other receivables and prepayments	1,217,353	884,867	826,508	535,433	422,450
Investment properties	-	-	-	45,000	45,000
Goodwill	316,884	316,884	316,884	316,884	316,884
Intangible assets- Software	411,196	551,789	422,753	68,114	102,297
Property and equipment	6,288,073	6,020,334	5,436,390	4,556,848	4,729,375
Statutory deposits	355,000	355,000	355,000	355,000	355,000
Deferred tax asset	-	-	60,854	60,854	22,293
Total assets	35,396,731	37,540,441	24,679,842	17,250,133	16,214,090
LIABILITIES					
Insurance contract liabilities	9,706,533	16,303,627	4,539,202	3,217,225	4,015,143
Other contract liabilities	6,389	8,899	15,539	15,912	6,144
Trade payables	2,729,426	2,785,405	2,105,972	548,733	488,190
Employees retirement benefit obligations	28,401	27,710	23,933	22,187	17,024
Provision and other payables	3,054,056	2,351,635	1,254,607	850,252	996,709
Income tax liabilities	275,050	404,691	187,033	109,064	86,652
Deferred tax liabilities	469,729	372,737	184,753	27,459	20,741
Total liabilities	16,269,584	22,254,704	8,311,039	4,790,831	5,630,602
EQUITY					
Issued and paid up share capital	6,933,333	6,933,333	6,933,333	6,933,333	6,933,333
Share premium	663,600	663,600	663,600	663,600	663,600
Statutory contingency reserves	3,323,290	2,611,284	1,900,456	1,434,593	1,303,505
Retained earnings	1,560,415	(1,189,506)	1,008,862	(985,525)	(1,455,577)
Asset revaluation reserve	4,102,776	3,974,282	3,634,971	2,572,253	2,509,957
Fair value reserve	356,200	275,880	235,984	(50,953)	(60,112)
Non Controlling interest(NCI)	2,187,533	2,016,863	1,991,597	1,892,000	688,780
Shareholders fund	19,127,147	15,285,737	16,368,802	12,459,302	10,583,487
TOTAL LIABILITIES AND EQUITY	35,396,731	37,540,441	24,679,842	17,250,133	16,214,090
Gross premium written	23,733,535	23,694,266	7,563,210	4,670,162	6,318,949
Insurance service result	7,962,692	(4,202,282)	(217,739)	972,734	-
Profit(loss) before taxation	4,180,641	(627,549)	2,982,272	782,672	344,414
Profit/(loss) after taxation	4,035,702	(1,092,868)	2,750,288	712,432	225,949

FIVE YEAR FINANCIAL SUMMARY

STATEMENT OF FINANCIAL POSITION

	Company 2025 N'000	Company 2024 N'000	Company 2023 N'000	Restated Company 2022 N'000	Company 2021 N'000
ASSETS					
Cash and cash equivalents	7,179,475	9,830,861	4,718,745	2,337,933	3,834,178
Financial assets					
Fair value through profit or loss	173,376	138,264	113,615	68,090	69,913
Amortised cost	6,148,171	5,084,068	3,161,226	1,481,075	1,326,510
Fair value through OCI	607,208	492,056	433,485	92,574	83,417
Trade receivables	2,321,542	1,545,616	1,029,780	738,347	119,565
Reinsurance assets	3,279,213	5,841,670	1,647,858	812,061	1,052,006
Other receivables and prepayments	237,275	174,054	352,853	197,154	220,975
Investment in subsidiaries	4,026,300	4,026,300	4,026,300	4,026,300	3,624,860
Investment properties	-	-	-	45,000	45,000
Intangible asset	400,006	539,166	401,541	48,162	69,901
Property and equipment	5,149,831	5,033,899	4,391,555	3,495,489	3,377,451
Statutory deposits	355,000	355,000	355,000	355,000	355,000
Deferred tax asset	-	-	21,745	21,745	21,745
Total assets	29,877,397	33,060,954	20,653,703	13,718,930	14,200,520
LIABILITIES					
Insurance contract liabilities	9,706,533	16,303,627	4,539,202	3,217,225	4,015,143
Trade payables	2,729,428	2,785,404	2,105,972	548,733	488,190
	-	-	-	-	-
Provision and other payables	1,857,862	1,690,510	597,590	488,843	572,865
Income tax liabilities	130,294	173,210	80,876	34,807	23,542
Deferred tax liabilities	280,162	190,671	157,143	-	-
Total liabilities	14,704,279	21,143,422	7,480,783	4,289,608	5,099,739
EQUITY					
Issued and paid up share capital	6,933,333	6,933,333	6,933,333	6,933,333	6,933,333
Share premium	663,600	663,600	663,600	663,600	663,600
Statutory contingency reserves	3,323,290	2,611,284	1,900,456	1,434,593	1,303,505
Retained earnings	29,016	(2,305,749)	39,673	(1,888,408)	(1,951,246)
Asset revaluation reserve	3,863,989	3,735,496	3,396,185	2,333,468	2,208,012
Fair value reserve	359,889	279,569	239,673	(47,264)	(56,423)
Shareholders fund	15,173,117	11,917,532	13,172,921	9,429,322	9,100,781
TOTAL LIABILITIES AND EQUITY	29,877,397	33,060,954	20,653,703	13,718,930	14,200,520
Gross premium written	23,733,535	23,694,266	7,298,401	4,369,573	6,055,352
Insurance service result	7,986,040	(4,182,925)	(217,739)	972,734	
Profit/(loss) before taxation	3,156,814	(1,485,504)	2,405,607	221,552	36,314
Profit/(loss) after taxation	3,046,772	(1,634,596)	2,317,819	193,925	294,928